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UNITED STATES BANKRUPTCY COURT
CENTRAL DISTRICT OF CALIFORNIA
SANTA ANA DIVISION

In re
DONALD CHAE,

Debtor and Debtor-in-Possession.

Case No. 8:21-bk-12493-SC

Chapter 11

**FIRST AMENDED DISCLOSURE
STATEMENT DESCRIBING THE FIRST
AMENDED PLAN OF
REORGANIZATION OF DONALD CHAE**

**Plan Confirmation Hearing (In-Person and
via Zoom for Government)**

Date: June 15, 2023

Time: 11:00 a.m.

Ctrm.: 5C

**411 West Fourth Street
Santa Ana, California 92701**

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Donald Chae, the Debtor and Debtor-in-Possession ("Debtor") in the above captioned chapter 11 case ("Case") submits this *First Amended Disclosure Statement Describing the Plan of Reorganization of Donald Chae* (the "Disclosure Statement") pursuant to § 1125 of the Bankruptcy Code, in connection with the solicitation of acceptances of the *First Amended Plan of Reorganization of Donald Chae* (the "Plan") filed with the United States Bankruptcy Court for the Central District of California (the "Court").

I. INTRODUCTION

This Case was commenced by the filing of a voluntary chapter 11 petition under the United States Bankruptcy Code (the "Bankruptcy Code" or "Code"), 11 U.S.C. §§ 101 et seq., on October 3, 2021 (the "Petition Date").

Chapter 11 allows debtors and, under some circumstances, creditors and other parties in interest, to propose a plan. A plan may provide for a debtor to reorganize by continuing to operate, to liquidate by selling assets of the estate, or a combination of both. The Debtor is the proponent of the Plan, which was sent to you in the same envelope as this document. THE DOCUMENT YOU ARE READING IS THE DISCLOSURE STATEMENT FOR THE ENCLOSED PLAN.

A. Executive Summary of the Plan

The Plan is meant to effectuate a fair and equitable compromise between the Debtor and his creditors. As described herein, as of the Petition Date, the Debtor's assets were largely comprised of two parcels of real estate and equity interests in various companies. The Plan is designed to maximize the value of both categories of assets for the benefit of creditors holding Allowed Claims.

First, the Plan creates a trust (*i.e.*, the Plan Trust) for the benefit of the General Unsecured Creditors. Each holder of an Allowed General Unsecured Claim will receive a beneficial interest in the Plan Trust in satisfaction of such Claim. The Plan Trustee, selected by the Committee of Creditors Holding Unsecured Claims (the "Committee"), will be charged with administering the assets of the Plan Trust and making the Distributions required by the Plan to the Holders of

1 Allowed Claims in accordance with the order of priority set forth in the Plan and, in particular, the
2 Distribution Waterfalls set forth in Section VII.E.9.

3 Second, the real estate directly owned by the Debtor has been, or will be, sold for the
4 highest and best price. Creditors secured by the Debtor's real estate will be paid their Allowed
5 Claims in full directly from escrow upon the closing of the sale. Any remaining net sale proceeds
6 will be paid to the Plan Trust to be administered by the Plan Trustee. In addition, as part of the
7 settlement embodied in the Plan, the Debtor is offering to sell, and to contribute the net proceeds
8 from, a non-estate parcel. For this reason, and due to the other consideration provided by the
9 Debtor under the Plan as part of his proposed settlement with creditors, the sale of real property is
10 expected to yield meaningful sums for the Plan Trust. (*See* Ex. 1.)

11 Third, the Plan preserves, for creditors holding Allowed Unsecured Claims, any potential
12 economic upside of the Debtor from the companies he owns. The Plan Trust will be admitted as
13 the sole preferred equity member of the entities owned directly by the Debtor. The Plan Trust will
14 receive any equity distributions from such entities otherwise payable to the Debtor until the
15 "Allowed GUC Distribution Amounts" (as defined herein) are paid in full or the term of the Plan
16 Trust otherwise expires. Moreover, the Plan requires the distribution of any profits of the Direct-
17 Owned Companies (defined herein as "Excess Cash") to the Plan Trust on an annual basis. The
18 Debtor will continue to manage his companies and their respective operations and projects as is
19 currently the case, subject to the oversight of the Plan Trustee as set forth herein.

20 Fourth, the Plan settles any alleged avoidance claims against the Debtor's family members
21 that have been disclosed in this case on fair and equitable terms. The settlement effectuated by the
22 Plan is discussed in more detail in Section VII.E.3. The Plan provides for significant proceeds far
23 in excess of any potential recoveries on the disputed claims settled therein. In exchange for the
24 valuable consideration provided under the Plan, any and all claims against any relatives of the
25 Debtor will be released upon the Effective Date of the Plan.

26 The Plan will become effective upon the date that is fifteen (15) days after entry of the
27 Confirmation Order.

B. The Purpose of this Document

This Disclosure Statement summarizes what is in the Plan, and tells you certain information relating to the Plan and the process the Court follows in determining whether or not to confirm the Plan.

READ THIS DISCLOSURE STATEMENT CAREFULLY IF YOU WANT TO KNOW ABOUT:

1. WHO CAN VOTE ON OR OBJECT TO THE PLAN;
2. WHAT THE TREATMENT OF YOUR CLAIM IS UNDER THE PLAN (*i.e.* what you will receive on account of your Claim if the Plan is confirmed), AND HOW THIS TREATMENT COMPARES TO WHAT YOUR CLAIM WOULD RECEIVE IN LIQUIDATION IN CHAPTER 7;
3. THE HISTORY OF THE DEBTOR AND SIGNIFICANT EVENTS DURING THE BANKRUPTCY CASE;
4. WHAT THE COURT WILL LOOK AT TO DECIDE WHETHER OR NOT TO CONFIRM THE PLAN;
5. WHAT IS THE EFFECT OF CONFIRMATION; AND
6. WHETHER THIS PLAN IS FEASIBLE.

This Disclosure Statement cannot tell you everything about your rights. You should consider consulting your own lawyer to obtain more specific advice on how the Plan will affect you and what is the best course of action for you. Smiley Wang-Ekvall, LLP, counsel for the Debtor, does not represent you.

Be sure to read the Plan as well as the Disclosure Statement. If there are any inconsistencies between the Plan and the Disclosure Statement, the Plan provisions will govern.

The Code requires that a disclosure statement contain "adequate information" concerning the Plan. Following a hearing on March 1, 2023, the Court approved this document as an adequate Disclosure Statement, containing enough information to enable parties affected by the Plan to make an informed judgment about the Plan. Any party can now solicit votes for or against the Plan.

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C. Deadlines for Voting and Objecting; Date of the Plan Confirmation Hearing

THE COURT HAS NOT YET CONFIRMED THE PLAN DESCRIBED IN THIS DISCLOSURE STATEMENT. IN OTHER WORDS, THE TERMS OF THE PLAN ARE NOT YET BINDING ON ANYONE. HOWEVER, IF THE COURT LATER CONFIRMS THE PLAN, THEN THE PLAN WILL BE BINDING ON THE DEBTOR AND ON ALL CREDITORS AND INTEREST HOLDERS IN THIS CASE.

1. Time and Place of the Confirmation Hearing

The hearing where the Court will determine whether or not to confirm the Plan will take place on **June 15, 2023 at 11:00 a.m.**, in Courtroom 5C of the Ronald Reagan Federal Building and United States Courthouse located at 411 West Fourth Street, Santa Ana, California 92701.

2. Deadline for Voting for or Against the Plan

If you are entitled to vote, it is in your best interest to timely vote on the enclosed ballot and return the ballot in the enclosed envelope to Smiley Wang-Ekvall, LLP, attention: Timothy W. Evanston, Esq., 3200 Park Center Drive, Suite 250, Costa Mesa, California 92626. It can also be emailed to tevanston@swelawfirm.com or faxed to (714) 445-1002.

Your ballot must be received no later than **April 28, 2023** or it will not be counted. The Debtor will file with the Court and serve the results of voting by **May 12, 2023**.

3. Deadline for Objecting to the Confirmation of the Plan

Objections to the confirmation of the Plan must be filed with the Court and served upon Robert S. Marticello, Smiley Wang-Ekvall, LLP, 3200 Park Center Drive, Suite 250, Costa Mesa, California 92626, by no later than **June 1, 2023**. The Debtor's memorandum in support of confirmation of the Plan must be filed with the Court and served by **May 12, 2023**. Any reply must be filed with the Court and served by **June 8, 2023**.

4. Identity of Person to Contact for More Information Regarding the Plan

Any interested party desiring further information about the Plan should contact Robert S. Marticello of Smiley Wang-Ekvall, LLP, by telephone at (714) 445-1000 or by email at rmarticello@swelafirm.com.

D. Disclaimer

The financial data relied upon in formulating the Plan is based on financial records or information of the Debtor or his subsidiaries. The professionals employed by the Debtor drafted the Plan and the Disclosure Statement based on this information and have no independent knowledge regarding the accuracy of the data. Efforts have been made to ensure that all information is fairly presented. The Court has not yet determined whether the Plan is confirmable and makes no recommendation as to whether you should support or oppose the Plan.

THIS DISCLOSURE STATEMENT CONTAINS "FORWARD-LOOKING STATEMENTS" WITHIN THE MEANING OF FEDERAL SECURITIES LAWS. SUCH STATEMENTS CONSIST OF ANY STATEMENT OTHER THAN A RECITATION OF HISTORICAL FACT AND CAN BE IDENTIFIED BY THE USE OF FORWARD-LOOKING TERMINOLOGY SUCH AS "MAY," "EXPECT," "ANTICIPATE," "ESTIMATE" OR "CONTINUE" OR THE NEGATIVE THEREOF OR OTHER VARIATIONS THEREON OR COMPARABLE TERMINOLOGY. THE DEBTOR AND HIS ADVISORS CONSIDER ALL STATEMENTS REGARDING ANTICIPATED OR FUTURE MATTERS TO BE FORWARD-LOOKING STATEMENTS. FORWARD-LOOKING STATEMENTS MAY INCLUDE STATEMENTS ABOUT:

- **FINANCIAL CONDITION, CASH INFLOWS, CASH OUTFLOWS, AND EXPENSES;**
- **OPINIONS OF VALUE OF REAL ESTATE ASSETS OWNED BY THE DEBTOR AND ENTITIES HE MANAGES AND CONTROLS;**
- **FINANCIAL PROJECTIONS, INCLUDING BUT NOT LIMITED TO PROCEEDS AVAILABLE FROM THE SALE OF ASSETS, LIVING EXPENSES, AND ALLOWED CREDITOR CLAIMS; AND**
- **AVAILABILITY AND TERMS OF CAPITAL TO FUND REAL ESTATE PROJECTS.**

STATEMENTS CONCERNING THESE AND OTHER MATTERS ARE NOT GUARANTEES OF THE DEBTOR'S FUTURE CASH FLOWS AVAILABLE FOR DISTRIBUTION TO CREDITORS. THERE ARE RISKS, UNCERTAINTIES, AND OTHER IMPORTANT FACTORS THAT COULD CAUSE THE DEBTOR'S ACTUAL CASH FLOWS TO BE DIFFERENT FROM THOSE BEING PROJECTED, AND THE DEBTOR AND HIS ADVISORS UNDERTAKE NO OBLIGATION TO UPDATE THE PROJECTIONS MADE HEREIN. THE READER IS CAUTIONED THAT ALL FORWARD-LOOKING STATEMENTS ARE NECESSARILY SPECULATIVE AND THERE ARE CERTAIN RISKS AND UNCERTAINTIES THAT COULD CAUSE ACTUAL EVENTS OR RESULTS TO DIFFER MATERIALLY FROM THOSE REFERRED TO IN SUCH FORWARD-LOOKING STATEMENTS. THE LIQUIDATION ANALYSIS, PROJECTIONS AND OTHER INFORMATION CONTAINED HEREIN AND ATTACHED HERETO ARE ESTIMATES ONLY, AND THE VALUE OF THE PROPERTY DISTRIBUTED TO HOLDERS OF ALLOWED CLAIMS MAY BE AFFECTED BY MANY FACTORS THAT CANNOT BE PREDICTED. THEREFORE, ANY ANALYSES, ESTIMATES, OR RECOVERY PROJECTIONS MAY OR MAY NOT TURN OUT TO BE ACCURATE.

1 **II. BACKGROUND**

2 **A. General Background**

3 The Debtor filed a petition for relief under chapter 11 of the Bankruptcy Code on
4 October 3, 2021. The Debtor is a 65-year old Korean American. The Debtor emigrated from
5 South Korea to Southern California as a teenager with his single parent mother in 1974. The
6 family had very little. During high school, the Debtor and his brother, Min Chae ("Min" and
7 collectively with the Debtor, the "Chaes"), worked in the garment industry in downtown Los
8 Angeles to help support their family. The brothers assimilated by learning both English and
9 Spanish, despite not previously speaking a word of either prior to their arrival in the United States.
10 The Debtor has been married to his wife, Eun Hee Chae ("Spouse"), for nearly 30 years, and they
11 have two daughters, Leslie and Estelle.

12 The Debtor has more than 30 years of experience in real estate investment, development,
13 and management. The Debtor's specialty and expertise rest in creating vibrant and thriving
14 cultural retail centers at previously under-performing locations, particularly in ethnically diverse
15 areas. The Debtor, with his brother, built a substantial real estate portfolio. Min Chae passed
16 away shortly before the Debtor commenced this Case.

17 **B. Summary of Assets and Liabilities**

18 **1. The Debtor's Liabilities**

19 The Debtor scheduled unsecured debt totaling \$530,459,257.90. The Debtor's debts are
20 largely secondary liabilities based on guaranty or other agreements related to loans or investments
21 made to companies in which the Debtor holds an ownership interest indirectly and, as such, are
22 contingent and unliquidated as to the Debtor. In addition, certain debts, while unsecured in this
23 case, are secured by the real estate of the primary borrower. As discussed in further detail below,
24 the total debt scheduled by the Debtor was reduced substantially post-petition (by the scheduled
25 amount of \$167,831,150.93) in connection with the sale of Plaza Mexico, leaving scheduled debt
26 in the face amount of approximately \$369,833,914.63.

27 Many of the investments or loans to the Debtor's companies were arranged through the
28 EB-5 Immigrant Investor Program (the "EB-5 Program"). The EB-5 Program enables individuals

(and their spouses and children) to apply for green cards in the United States in exchange for such individuals making an investment in a commercial enterprise that creates jobs. Capital invested under the EB-5 Program must be placed "at risk" by the investor and, as such, cannot be a debt arrangement and cannot entitle the investor to a guaranteed return or rate of return. *See, e.g.*, <https://www.uscis.gov/policy-manual/volume-6-part-g-chapter-2>.

Here, individuals would invest in a limited liability company (an "Investment Company") created for such purpose and that Investment Company would then use the invested funds to make a loan to, or preferred equity investment in, another company (owned indirectly by the Chaes) to help fund the development of a real estate project. Each individual invested \$500,000. The Debtor holds a nominal interest in the Investment Companies through M&D Regional Center, LLC ("MDRC"), and MDRC is the manager of certain of the Investment Companies. (*See* Ex. 3.) "Loans" by an Investment Company were guaranteed by the Debtor and secured by property of the primary borrower. Investments by an Investment Company were, on the other hand, subject to "contribution agreements" among the Debtor, Min, the company receiving the investment, and the Investment Company. The contribution agreements generally required, upon certain conditions, that the Chaes contribute funds to the company receiving the investment as needed to enable such company to return the investment to the Investment Company by a specified time. Thus, whether the funds contributed to the Debtor's companies by an Investment Company were documented as loans or investments, the individual investors are not creditors of the Debtor.

2. The Family Trust

On March 16, 2006, the Debtor and his spouse created The Donald and Eun Hee Chae Family Trust (the "Family Trust"). The Family Trust provides that all of their respective assets are transferred to the Family Trust and that such assets retain their separate or community property character. As identified in the Debtor's schedules, the assets of the Debtor discussed herein are owned through the Family Trust. The Debtor's position is that, due to the terms of the Family Trust, any separate property of the Debtor or community property interest of the Debtor held through the Family Trust is property of the Estate.

1 The Debtor's brother, Min, created the Min Chae Living Trust dated July 29, 2021 (the
2 "Min Chae Living Trust"). Upon Min's passing, the Debtor became the sole initial successor
3 beneficiary and trustee of the Min Chae Living Trust. The Debtor is the holder or asserts an
4 interest in Min's assets held by the Min Chae Living Trust as the beneficiary thereof.

5 **3. The Direct-Owned Real Estate**

6 The Debtor's assets include real property and ownership interests in various companies.
7 As of the Petition Date, the Debtor owned two real properties directly, 22003 Pacific Coast
8 Highway, Malibu CA (the "Debtor Malibu Property"), and 6840 Beach Blvd., Buena Park, CA
9 (the "Beach Property" and together with the Debtor Malibu Property, the "Direct-Owned Real
10 Estate"). As discussed in further detail below, the Beach Property has been sold.

11 **(a) The Malibu Properties**

12 The Debtor Malibu Property is a residential lot in Malibu. M+D Properties ("M+D"),
13 owns a contiguous residential parcel located at 3849 Carbon Canyon, Malibu, CA (the "M+D
14 Malibu Property" and together with the Debtor Malibu Property, the "Malibu Properties"). There
15 are no structures on the Malibu Properties; the prior homes were lost in the 2018 Woolsley Malibu
16 fires. The Malibu Properties were purchased in 1999. The Debtor Malibu Property is encumbered
17 by two debts, a deed of trust currently held by APSEC Resolution Trust, LLC ("APSEC"), in the
18 amount of \$3,140,719.29 as of January 9, 2023 (according to APSEC), and a deed of trust in favor
19 of Placo Investment, LLC ("Placo Investment"), securing the principal amount of \$4,000,000, for
20 a grand total of \$6,834,435.50. APSEC's deed of trust also encumbers the M+D Malibu Property.

21 The Malibu Properties are currently listed for sale. The original list price was a combined
22 price of \$12,000,000. The list price has been adjusted downward on a few occasions at the
23 recommendation of the Debtor's broker and the current combined list price is \$8,500,000. The
24 broker hired to market and sell the Malibu Properties believes that such properties are collectively
25 worth approximately \$8,500,000 to \$9,000,000 on a going concern basis. The Malibu Properties
26 were collectively appraised at \$8,940,000 as of January 31, 2020. The Debtor Malibu Property is
27 the larger, and better situated, of the two properties and holds the majority of the combined value.
28 The respective values of the Malibu Properties are set forth in Exhibits "1 " and "2" hereto.

1 (b) **The Beach Property**

2 The Beach Property has a structure on it, which was previously operated as a donut shop.
3 The Beach Property is vacant and is located next to the parking garage for The Source. The Beach
4 Property was previously appraised at \$1,000,000 as of September 13, 2021 and was subject to
5 secured debt totaling approximately \$351,036.79 as of the Petition Date in favor of United
6 Business Bank. As discussed in further detail below, through the sale of the Beach Property
7 subject to overbid post-petition, the Beach Property was sold at the price of \$1,700,000 and the
8 claim of United Business Bank was paid in full.

9 4. **The Debtor's Life Insurance Policies**

10 The Debtor's Schedule A/B lists an interest in three life insurance policies, Metlife Life
11 Insurance, New York Life Insurance, and Equitable (collectively, the "Life Insurance Policies").
12 The Debtor's Spouse is the beneficiary of the policies.

13 5. **The Debtor's Subsidiaries**

14 The Debtor's schedules list an ownership interest in 46 entities. A chart listing each of the
15 Debtor's companies and summarizing any assets or operations of such companies is attached
16 hereto as Exhibit "5." The Debtor is an owner of some of the listed entities directly (*i.e.*, the
17 Direct-Owned Companies) and others are owned indirectly through one or more other companies.
18 Organizational charts are attached hereto as Exhibit "3." Fourteen of the listed entities were, as
19 discussed above, created in connection with project-level EB-5 investments and the Debtor holds
20 only a nominal interest through a subsidiary, MDRC. Generally speaking, ultimate ownership in
21 the various entities was originally split 50/50 between the Debtor and Min. Due to Min's passing,
22 the Debtor is the holder or asserts an interest in Min's prior 50% ownership interest as the initial
23 successor trustee and beneficiary of the Min's Chae Living Trust. Some of the Debtor's companies
24 have no assets and/or are otherwise inactive. (*See* Ex. 5.) Other subsidiaries hold completed real
25 estate projects or undeveloped land or have operations. A financial statement prepared by Force
26
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1 10 Partners with the estimated equity of each entity is attached hereto as Exhibit "4" (the
2 "Financial Statement").¹

3 The Debtor is (or was) the indirect owner of certain large real property developments. This
4 Disclosure Statement will describe certain of the companies, which have or had, more material
5 operations or assets. For a summary description of all entities in which the Debtor holds an
6 interest refer to Exhibit "5" hereto.

7 (a) Plaza Mexico

8 Placo Investment holds a 100% interest in 3100 E. Imperial Investment, LLC ("3100"),
9 which, in turn, holds a 100% interest in Plamex Investment, LLC ("Plamex"). Plamex owned a
10 mixed use development project known as "Plaza Mexico." Plaza Mexico is a 403,242 square-foot
11 community shopping center offering specialty retail and dining located in Lynwood, California.
12 The Debtor first became involved with Plaza Mexico in the late-1980s when he and his brother
13 assumed the lease of an abandoned Montgomery Ward department store. They then purchased the
14 building and acquired a nearby shopping center to develop Plaza Mexico.

15 On June 16, 2016, Plamex, as borrower, obtained loans in the principal amount of
16 \$106,000,000 (the "Senior Loans") from Natixis, New York Branch ("Natixis"), secured by
17 substantially all assets of Plamex, including Plaza Mexico. At the same time Plamex obtained the
18 Senior Loans, 3100 obtained mezzanine loans in the principal amount of \$14,000,000 from
19 Natixis (the "Mezz Loans"). The Mezz Loans were secured by liens on substantially all assets of
20 3100. In June 2016, at the time the Senior and Mezz Loans were incurred, Plaza Mexico was
21 appraised at approximately \$184,000,000 to \$187,000,000 million. The Senior Loans and the
22 Mezz Loans were later sold by Natixis to Wells Fargo, N.A., as trustee ("Wells Fargo"), and the
23 Waterfall Olympic Fund Grantor Trust Series III and Quarry Head 2017-1 Grantor Trust ("Quarry
24 Head"), respectively. WF I105, LLC ("WF I105"), was admitted as the preferred equity member
25 of Placo Investment pursuant to an agreement whereby WF I105 agreed to make a capital

26
27 ¹ Force 10 Partners prepared the Financial Statement attached hereto as Exhibit "4" based on the information
28 obtained from the Debtor, the financial information reported by his companies, and/or third-party broker price
opinions of value, and Force 10 Partners computed whether there is equity in each entity based on the information it
received. Force 10 Partners did not independently verify the accuracy of the information it received nor did it opine
on the value of any of the assets of the Debtor's companies, including, without limitation, real property.

1 contribution of \$18 million to Placo Investment. The Debtor guaranteed the debts of Wells Fargo,
2 Quarry Head, and WF I105. Quarry Head and WF I105 are collectively referred to herein as the
3 "Waterfall Parties." As discussed in further detail below, Plaza Mexico was sold during the
4 Debtor's case.

5 **(b) The Source Master Development**

6 The Debtor is the indirect owner of a mixed use development project in Buena Park,
7 California (the "Source Master Development"). The Source Master Development is comprised of
8 the following: (a) the 400,000 square foot three-story retail and entertainment center known as
9 "The Source"; (b) a 50,000 square foot seven-story office building (the "Office Building"); and (c)
10 a partially-completed seven-story, 178-room hotel (the "Hotel"). The Source at Beach, LLC
11 ("TSB"), owns the Source Master Development. The land for the Office Building and the Hotel is
12 owned by TSB and is or was leased by TSB to The Source Office, LLC (the "TSO"), and The
13 Source Hotel, LLC (the "TSH"), respectively. Prior to development, the site upon which the
14 Source Master Development is situated was largely undeveloped land. In addition to the Source
15 Master Development, TSB owns a number of smaller, undeveloped parcels of real property that
16 are located next to the Source Master Development.

17 The Debtor owns interests in TSB, TSO, and TSH, and The Source Tower & Residences,
18 LLC, through Direct-Owned Company DMC Investment Holdings, LLC ("DMC"). (*See* Ex. "3.")

19 **(i) The Source Retail**

20 The Source is a premier dining and entertainment center in Buena Park. Its tenants
21 currently include multiple restaurants, a theater, karaoke lounge, internet/gaming café, and
22 multiple retailers, among other stores. The Source is currently approximately 67% leased. The
23 Source was valued "as-is" as of November 2022 at \$143,240,000.

24 There are eight creditors who assert claims in the Debtor's case related to loans or
25 investments to TSB. Beach Orangethorpe, LLC ("BO1"), Beach Orangethorpe II, LLC ("BO2"),
26 Beach Orangethorpe Ventures, LLC ("BO3"), and Beach Orangethorpe Source, LLC ("BO4"),
27 assert loans owed by TSB and secured by The Source in the respective amounts of
28 \$43,741,527.78, \$42,895,990.73, \$42,281,131.13, and \$10,211,098.59. BO1BO2 United

1 Management, LLC, the asserted collateral agent for BO1, BO2, BO3, and BO4, filed a proof of
2 claim in the Debtor's case in the collective amount of \$172,617,015.99. Beach Orangethorpe
3 Investors, LLC ("BO5"), Beach Orangethorpe VI, LLC ("BO6"), and Beach Orangethorpe VII,
4 LLC ("BO7"), were scheduled as having contingent claims in the Debtor's case based on preferred
5 equity investments in TSB in the respective principal amounts of \$20,000,000, \$20,000,000, and
6 \$7,000,000. BO1 through BO7 are "Investment Companies" that received EB-5 investments. YG
7 Entertainment filed a proof of claim in the amount of \$5,225,000 arising from its alleged exercise
8 of a put option to sell its units in TSB to TSB. Thus, the debt asserted in this case related to TSB
9 totals approximately \$225,896,015.90.

10 **(ii) The Source Office**

11 The Office Building was completed in 2016. It is located on the same property as The
12 Source (the Source Master Development) and is seven stories with a total of 50,000 leasable
13 square feet. TSO leases the land for the Office Building pursuant to a 99-year lease. The Office
14 Building is currently approximately 90% leased and was valued at \$11,558,000 as of November
15 2022. Two creditors assert claims for loans and investments related to the Office Building. Woori
16 Bank made a loan to TSO in the amount of \$9,250,000.00, which is secured by the TSO's
17 leasehold interest in the Office Building. Beach Orangethorpe Office, LLC, was scheduled as
18 having a contingent, unliquidated, and disputed claim in the Debtor's case in the amount of
19 \$6,000,000 based on loan to TSO that was guaranteed by the Debtor.

20 **(iii) The Source Hotel**

21 The Hotel is located on the Source Master Development. TSB leased the land for the
22 Hotel to TSH pursuant to a 99-year ground lease effective as of April 6, 2015, in exchange for,
23 among the other consideration in the lease, a lump sum payment of minimum rent in the amount
24 of \$5,000,000. Upon its completion as contemplated by TSH, the Hotel was to offer 178 guest
25 rooms, banquet and conference space, fitness facilities, a full-service restaurant, and a rooftop
26 pool. The Hotel was valued "as-is" at \$41,300,000 as of May 2019.

27 To finance construction of the Hotel, TSH obtained a \$29.5 million construction loan from
28 Evertrust Bank, as well as funding through EB-5 investments. As discussed in more detail below,

1 Shady Bird Lending, LLC ("Shady Bird"), acquired the loan from Evertrust Bank and foreclosed
2 upon the TSH's leasehold interest. Shady Bird has filed a proof of claim in the case in the amount
3 of \$31,931,000.70. Beach Orangethorpe Hotel, LLC ("BOH1"), filed a claim in the amount of
4 \$10,000,000, Beach Orangethorpe Hotel II, LLC ("BOH2"), filed a claim in the amount of
5 \$11,500,000, and Beach Orangethorpe Hotel III, LLC ("BOH3"), filed a claim in the amount of
6 \$14,500,000. The claims of BOH1 and BOH2 are based on loans to TSH guaranteed by the
7 Debtor, and BOH3's claim is based on a preferred equity investment in TSH that is subject to a
8 contribution agreement with the Debtor.

9 (c) **The Plaza Mexico Residences**

10 3000 E. Imperial, LLC ("3000 E. Imperial"), is the owner of raw land located near Plaza
11 Mexico on 3000 E. Imperial Hwy, Lynwood ("PMR"). The Debtor holds ownership interests in
12 3000 E. Imperial directly. Based on the current development plan, once completed, PMR is to
13 consist of a six-story residential tower known as the "Plaza Mexico Residences" with 348 units, a
14 ground floor retail component, and many amenities. The estimated "as is" value of PMR as of
15 December 7, 2022 is \$12,510,000 and its projected stabilized value is \$300,460,263 (assuming
16 construction financing is obtained and the project is completed in the future and based on market
17 conditions).

18 Preferred Bank made a loan to 3000 E. Imperial in the principal amount of \$5,300,000
19 secured by the PMR and guaranteed by the Debtor. In addition, Plaza Mexico Residences, LLC
20 ("PMR 1"), and Plaza Mexico Residences II, LLC ("PMR 2"), both of which received EB-5
21 investments, are scheduled as holding contingent, unliquidated, and disputed unsecured claims in
22 the respective amounts of \$20,500,000 and \$10,000,000 based on loans to 3000 E. Imperial.
23 Thus, the debt of 3000 E. Imperial exceeds the current "as is" value of PMR.

24 3000 E. Imperial has negotiated a joint venture with a non-debtor third party. Under the
25 proposed joint venture, the non-debtor third party will be tasked with securing the necessary
26 construction financing, and construction of, PMR. The hope is that the proposed joint venture
27 should clear the way for the completion of the PMR project (provided the necessary construction
28 financing can be secured) and projected established value discussed above. A motion to seek the

1 Court's authorization for the Debtor to proceed with the proposed joint venture agreement is in
2 process.

3 3000 E. Imperial owns a second, smaller parcel located at 2949 E. Imperial Hwy,
4 Lynwood, CA, which is approximately 30,000 square feet and is not to be included in the
5 proposed joint venture.

6 **(d) The Source Tower Residences**

7 The Source Tower and Residences, LLC ("TSTR"), owns largely undeveloped land near
8 The Source in Buena Park, California (the "TSTR Property"). Based on the current development
9 plan, once completed, the TSTR Property is to contain a five-story building with 34 residential
10 units, approximately 1,400 square feet of retail space, and other amenities. The estimated "as is"
11 value of the TSTR Property as of December 2, 2022 is \$1,480,000 and its projected stabilized
12 market value is \$14,600,000 (assuming the project is completed in the future and based on market
13 conditions). To complete the development of the TSTR Property, construction financing is needed
14 and no assurances can be made that such financing will be available. The TSTR Property is
15 improved with an LED billboard that generates some income.

16 Pacific City Bank made a loan to TSTR secured by the TSTR Property in the principal
17 amount of \$600,000. 6555 Beach, LLC, has filed a proof of claim in the amount of \$3,000,000 in
18 connection with an investment in TSTR and a contribution agreement with the Debtor. RHRG
19 Investments, Inc., is scheduled as having a contingent, unliquidated, disputed unsecured claim in
20 the amount of \$5,400,000 based on a promissory note by TSTR, M+D, and TSO. Quang Cong
21 Nguyen, Manh Thong Nguyen, and Quang D. Tran have each filed proofs of claim in the amount
22 of \$500,000 associated with preferred equity investments in TSTR.

23 **(e) M+D Properties**

24 M+D was founded in 1990 and is a real estate development company. As set forth in the
25 most recent FRBP 2015.3 Report filed on November 15, 2022, for the nine-month period ending
26 September 30, 2022, M+D received \$200,859 in revenues and generated a net loss of
27 \$35,427. (See Ex. 6.) M+D owns the M+D Malibu Property and it owns a commercial property
28 located at 6832 Beach Blvd., Buena Park, CA 90621, which is situated next to the Beach Property

1 and is currently leased to an unrelated third party operating a Pizza Hut restaurant (the "Pizza Hut
2 Property"). The "as is" market value of the Pizza Hut Property as of November 2022 is
3 \$1,895,000. The Pizza Hut Property is encumbered by a loan in the amount of approximately
4 \$1,006,000. The estimated value of M+D assets in excess of its liabilities is a negative
5 \$3,545,448. (*See Ex. 4.*)

6 (f) **Greenland Property Management**

7 Greenland Property Management, as its name suggests, is a property management
8 company that manages the real estate assets of other companies (namely, TSB and TSO).
9 Greenland Property receives a management fee for its services. As set forth in the most recent
10 FRBP 2015.3 Report filed on November 15, 2022, for the nine-month period ending September
11 30, 2022, Greenland Property Management received \$316,500 in management fee income and
12 generated a net loss of \$25,845. (*See Ex. 6.*) The estimated value of Greenland Property
13 Management's assets in excess of its liabilities is \$36,828. (*See Ex. 4.*)

14 (g) **Comex Food Service**

15 The Debtor owns 100% of Comex Food Service, Inc. ("Comex"). Comex owns 100% of
16 each Comex KC, LLC ("Comex KC"), and Comex Korean BBQ, LLC ("Comex BBQ"). Comex
17 KC previously owned and operated a Kickin' Crab restaurant and Comex BBQ previously owned
18 and operated an AMG Korean BBQ restaurant, both of which restaurants were located at Plaza
19 Mexico pursuant to leases with Plamex. Pre-petition, Comex KC and Comex BBQ sold their
20 assets to J&E Entertainment, LLC (the "Comex Buyer"), in exchange for the Comex Buyer
21 assuming their liabilities in the collective amount of approximately \$4,160,918. The leases with
22 Comex KC and Comex BBQ were not assumed and assigned to the buyer of Plaza Mexico.

23 Comex operated two La Huasteca restaurants, one at Plaza Mexico and one at The Source.
24 The lease for the Plaza Mexico location was not assumed and assigned to the buyer of Plaza
25 Mexico and the operation of that restaurant has since ceased. Comex's operations are currently
26 limited to the La Huasteca restaurant at The Source. The estimated value of Comex's assets in
27 excess of its liabilities is a negative \$3,798,916. (*See Ex. 4.*)
28

1 **C. Related Bankruptcy Cases**

2 There were three bankruptcy cases pending in the Central District of California related to
3 the Debtor's case. The owner of Plaza Mexico, Plamex, Case No. 8:21-bk-10958-SC, and its
4 parent, 3100, Case No. 8:21-bk-10958-SC, filed chapter 11 bankruptcy petitions on April 14,
5 2021. The prior lessee of the Hotel, TSH, filed a chapter 11 case on February 26, 2021, Case No.
6 8:21-bk-10525-ES. The bankruptcy cases of Plamex and 3100 are currently pending. The Court
7 dismissed the bankruptcy case of the TSH on February 10, 2022.

8 Plamex, 3100, and TSH were adversely impacted by the COVID-19 pandemic. Due to
9 government-imposed stay-at-home orders and related restrictions starting in March of 2020, Plaza
10 Mexico's tenants were required to close and/or experienced a drastic loss of business, sales and
11 income. Many of the tenants could not and did not pay full or any rents to Plamex, which, in turn,
12 impacted the ability of both Plamex and 3100 to pay their secured lenders. Plamex and 3100 were
13 also in the process of a re-financing that was halted by pandemic. The bankruptcies of Plamex and
14 3100 were the result of two primary factors: (i) substantial loss of rent revenue from Plamex's
15 tenants due to the COVID-19 pandemic, and (ii) the resulting efforts by the secured lenders to
16 foreclose on their collateral. Plamex and 3100 would later obtain the Court's approval to proceed
17 with a sale process of Plaza Mexico in their cases.

18 The COVID-19 pandemic set into motion a chain of events that led to TSH's bankruptcy
19 filing. Through October 2019, TSH had completed approximately 85% of the Hotel construction.
20 Construction of the Hotel was financed in part by Evertrust Bank ("Evertrust"). In late 2019,
21 Evertrust refused to issue the remaining \$4 million of its loan, citing a cost overrun on the
22 construction of the Hotel. Evertrust's refusal to fund the final \$4 million forced TSH to cease
23 construction.

24 To complete construction, TSH began discussions with Hall Structured Finance ("Hall")
25 and was ultimately able to reach an agreement with Hall for refinancing in the amount of
26 \$42,000,000. The parties had a target closing date of March 20, 2020 and were on the verge of
27 closing when local, county, and State officials issued lockdown orders due to the COVID-19
28 pandemic. Consequently, Hall put an indefinite hold on the refinancing. During the forbearance

1 negotiations that followed, Evertrust commenced litigation against the Debtor and others. Then,
2 under circumstances that have been more fully explained in the TSH's case, Shady Bird purchased
3 Evertrust's loan, ramped up the collection efforts to seize the Hotel, and, ultimately, foreclosed on
4 the TSH's leasehold interest in October 2021.

5 **D. Events that Led to the Commencement of the Case**

6 The timing of this Case resulted from the collection activities of Shady Bird. Shady Bird
7 acquired the loan and the deed of trust on TSH's leasehold interest in the Hotel from Evertrust.
8 Pre-petition, Shady Bird commenced litigation against TSH in state court, sought and obtained a
9 receiver, and scheduled a non-judicial foreclosure sale for March 1, 2021. TSH filed its case on
10 February 26, 2021, in order to prevent the foreclosure sale.

11 Post-petition in TSH's case, Shady Bird filed motions for relief from the automatic stay, to
12 designate TSH's case as a single asset real estate case, and to excuse the receiver from the
13 requirement of turning over TSH's assets. During this same period, Shady Bird continued to
14 pursue pending litigation against the Chaes on account of their personal guaranties ("Guarantor
15 Action"). Shady Bird obtained pre-judgment right to attach orders and writs of attachment against
16 the Chaes. Shady Bird also filed a motion for summary adjudication (the "MSA") in the
17 Guarantor Action. The state court's tentative ruling was to deny the MSA, but the hearing was
18 continued to July 28, 2021 for further briefing.

19 Ultimately, the parties reached an interim settlement of the pending disputes. TSH, Shady
20 Bird, the Debtor, and Min entered into that certain *Stipulation for Relief From the Automatic Stay*
21 *and Ancillary Relief* (the "RFS Stipulation"). The RFS Stipulation was approved by Court order in
22 TSH's case. The RFS Stipulation provided for a consensual marketing and sale process of the
23 TSH's assets and, in particular, the Hotel, over an approximate three-month period and hopefully
24 culminating in an auction. The proposed auction was set for September 30, 2021. The RFS
25 Stipulation set certain deadlines for the submission of bids, the approval of a sale, and the closing
26 of such sale. Absent a Court-approved sale to a qualified bidder that closed within the specified
27 time period, Shady Bird was authorized to proceed with its foreclosure sale.
28

1 As to the Debtor, by the RFS Stipulation and separate tolling agreements, Shady Bird
2 agreed to toll and extend the 90-day period under California Code of Civil Procedure § 493.030(b)
3 to terminate (by the filing of a bankruptcy) any liens arising from or created by Shady Bird's writs
4 of attachment or right to attach orders. The "Tolling Period" (as defined in the RFS Stipulation)
5 was extended to and including 11:59 p.m. on the date of Shady Bird's foreclosure sale, *i.e.*,
6 October 4, 2021. Shady Bird also granted the Chaes and others certain releases.

7 TSH's sale process ended on October 1, 2021. Two potential buyers submitted bids for
8 TSH's assets, McKinney Capital and LCP Acquisitions. McKinney Capital bid \$22,000,000 and
9 LCP Acquisition bid \$22,250,000. TSH's sale motion was initially heard on September 30, 2021,
10 and the Court continued the hearing to October 1, 2021, in an effort to facilitate bidding.
11 However, neither bidder became a qualified bidder and TSH's sale motion was denied.

12 Shady Bird's foreclosure sale proceeded on October 4, 2021. Neither McKinney Capital
13 nor LCP Acquisition attended the foreclosure sale. The foreclosure sale lasted less than ten
14 minutes and ended with Shady Bird acquiring the leasehold interest and its other collateral for a
15 \$200,000 credit bid. Post-petition, Shady Bird filed a claim in this Case in the amount of
16 \$31,931,000.70.

17 The Debtor filed this Case on Sunday, October 3, 2021, during the Tolling Period. The
18 filing of the Debtor's bankruptcy case automatically terminated any and all liens of Shady Bird
19 arising from its writs of attachment or right to attach orders. Moreover, absent the bankruptcy
20 filing, Shady Bird could have proceeded with collection efforts. As such, the filing of the
21 bankruptcy preserved the Debtor's assets for the benefit of all creditors. While the timing of the
22 case was due to Shady Bird's collection activities, as discussed above, the Debtor has substantial
23 other debt in need of restructuring.

24 **E. The Sherwood Property**

25 The Debtor resides at 2200 Sherwood Road, San Marino, CA 91108 (the "Sherwood
26 Property"). According to Zillow, the Sherwood Property is worth \$1,574,800 as of November 23,
27 2022. The Sherwood Property is not subject to any debt.
28

1 The Sherwood Property was purchased in May 1993 and, at the time of acquisition, title to
2 the Sherwood Property was placed in the name of the Debtor's Spouse alone, as her sole and
3 separate property. The Sherwood Property remained in the Spouse's name alone for
4 approximately 13 years until about March 2006, when, due to a mistake, title was changed from
5 the Spouse to the Debtor and the Spouse, husband and wife, as community property. Upon the
6 discovery of this mistake in 2019, title to the Sherwood Property was changed back to the Spouse
7 as her sole and separate property by an interspousal transfer grant deed recorded on December 6,
8 2019. The Sherwood Property is the subject of a Post-Nuptial (Transmutation) Agreement dated
9 November 8, 2019. It is the Debtor's position that the Sherwood Property is the separate property
10 of the Spouse (and has been since its purchase). Nevertheless, in the interests of disclosure, the
11 Debtor disclosed and discussed the transfer of title in his Statement of Financial Affairs, in his
12 status reports filed in the Case, and in this Disclosure Statement.

13 The litigation commenced by Evertrust and continued by Shady Bird (*i.e.*, the Guarantor
14 Action) included a cause of action against the Spouse asserting that the transfer of the Sherwood
15 Property constituted a fraudulent transfer. Pursuant to the RFS Stipulation, the Spouse was
16 dismissed from the Guarantor Action without prejudice.

17 However, post-petition, on October 7, 2021, Shady Bird commenced a new action against
18 the Spouse in the Los Angeles Superior Court, as case number 21STCV37075 (the "Post-Petition
19 Shady Bird Sherwood Action"). The Post-Petition Shady Bird Sherwood Action against the
20 Spouse asserts a claim for fraudulent transfer under California Civil Code §§ 3439 *et seq.* related
21 to the Sherwood Property. Any claim to avoid a transfer of the Sherwood Property as a fraudulent
22 transfer is property of the Estate. *See Lockyer v. PG&E Corp. (In re Pacific Gas & Elec. Co.)*,
23 281 B.R. 1, 14 (N.D. Cal. 2002) ("[Fraudulent transfer] claims belong to the estate of Debtor. . .
24 ."). As such, the commencement of the Post-Petition Shady Bird Sherwood Action violated the
25 automatic stay as will any continued pursuit of such action. *See Lockyer*, 281 B.R. at 14 ("Since
26 the estate is the only party with standing to assert the Fraudulent Transfer Claim . . . Behr cannot
27 pursue these claims. By initiating such actions Behr violated the automatic stay."). Shady Bird
28

1 recorded a notice of lis pendens against the Sherwood Property based on the Post-Petition Shady
2 Bird Sherwood Action, document number 2020-941880 (the "Sherwood Lis Pendens").

3 On January 26, 2022, the Debtor filed a Notice of Stay of Proceedings (the "Notice of
4 Stay") in the Post-petition Shady Bird Sherwood Action informing the court of the automatic stay.
5 On February 7, 2022, the court held a case management conference. Both the Debtor and the
6 Committee appeared at the status conference through their respective counsel and reiterated the
7 position set forth in the Debtor's Notice of Stay (e.g., that the action violated the stay and the
8 alleged claim belonged to the Estate). The state court continued the case management conference
9 to June 30, 2022 and set a status conference re bankruptcy case and bankruptcy stay on that same
10 date. In advance of the status conferences, on June 17, 2022, the Debtor filed a status report.
11 Counsel for the Debtor and the Committee attended the case management conference and the
12 status conference on June 30, 2022 and the court continued both to January 12, 2023. The January
13 12, 2023 case management conference and status conferences were continued to April 3, 2023.

14 As discussed in more detail in Section VII.E.3 below, the Debtor is proposing to settle any
15 alleged claims related to the Sherwood Property.

16
17 **III. Significant Events During the Bankruptcy Case**

18 **A. Appointment of the Committee**

19 On November 10, 2021, the Office of the United States Trustee ("OUST") appointed the
20 Committee in the Debtor's Case.

21 **B. Sale of Plaza Mexico**

22 As noted earlier, Plamex and 3100 (together, the "PM Debtors") each filed petitions for
23 relief under chapter 11 of the Bankruptcy Code on April 14, 2021, their cases were pending as of
24 the Debtor's Petition Date.

25 Post-petition, the PM Debtors proceeded with a stalking horse bid to purchase Plaza
26 Mexico for \$162,500,000 pursuant to a Plan Support Agreement (the "Plamex PSA"). The
27 Plamex PSA was among the Debtor, the PM Debtors, and the Waterfall Parties. The negotiation
28 and documentation of the Plamex PSA began prior to the Debtor's filing of his bankruptcy case.

1 The Plamex PSA contemplated the sale of Plaza Mexico (subject to overbid), with the sale
2 proceeds to be distributed under a joint plan of liquidation of the PM Debtors. Moreover, under
3 the Plamex PSA, certain of the Debtor's guaranties were to be satisfied or released, resulting in the
4 elimination of approximately \$167 million in scheduled debt in his case.

5 On October 28, 2021, Plamex filed a motion to establish bidding procedures, approval of
6 the Plamex PSA, and for other relief related to the sale process for Plaza Mexico [Docket No.
7 189]. On December 2, 2021, the Court entered an order granting Plamex's motion.

8 On November 24, 2021, the Debtor filed a motion to approve the Plamex PSA in his Case
9 [Docket No. 64] ("Chae PSA Motion"). On January 18, 2022, the Court held a hearing on the
10 Chae PSA Motion, ultimately granting it. The granting of the Chae PSA Motion involved a
11 compromise with the Committee by which certain information related to the sale of Plaza Mexico
12 will be shared with the Committee. Accordingly, the Plamex PSA was approved in the
13 bankruptcy cases of Plamex, 3100, and the Debtor.

14 The auction for Plaza Mexico occurred on August 11, 2022. On April 14, 2022, the Court
15 held a hearing to approve the sale of Plaza Mexico to the winning bidder for \$164,625,000. The
16 Court entered the order approving the sale on April 19, 2022.

17 On December 30, 2021, the PM Debtors filed their joint chapter 11 plan (the "Plamex
18 Plan"), disclosure statement, and motion for approval of chapter 11 disclosure statement. Wells
19 Fargo Bank and the Office of the United States Trustee filed limited objections, including
20 asserting that the Plamex Plan included improper releases of the Debtor (releases which benefit the
21 Debtor's case). The Debtor and his counsel negotiated resolutions with the objecting parties. On
22 May 5, 2022, the Court held a confirmation hearing. On May 24, 2022, the Court entered an order
23 confirming the Plamex Plan.

24 The sale of Plaza Mexico closed on June 30, 2022 and the Plamex Plan became effective
25 on August 8, 2022. Both required the significant involvement of the Debtor and his counsel.
26 Based on the analysis conducted by the Debtor's tax professional, the sale of Plaza Mexico is not
27 expected to result in any administrative or priority capital gains taxes in this Case that are not
28 offset by losses and plan payments.

1 **C. Sale of Real Property**

2 On October 10, 2022, the Debtor filed a motion to sell the Beach Property for \$1,350,000,
3 subject to overbid, and for certain related relief. The Beach Property Sale Motion was heard on
4 December 14, 2022. The winning bid for the Beach Property was \$1,700,000. The sale of the
5 Beach Property closed on January 12, 2023, and the Debtor received \$1,184,431.05 from escrow
6 on that same date. United Business Bank was paid \$349,047.39 from escrow in full satisfaction of
7 its Claim in the Case.

8 On March 23, 2022, the Debtor filed an application to employ Coldwell Banker as his
9 broker to list the Malibu Properties for sale. As discussed above, the Malibu Properties were
10 originally listed on MLS.com and was also advertised on the cover of Homes & Land of Malibu to
11 Beverly Hills Magazine at the combined price of \$12,000,000. The Malibu Properties have
12 received thousands of online clicks from Facebook and Instagram advertisements and over 27,000
13 impressions (*i.e.*, when a user views an online advertisement). From May 24, 2022 to December
14 12, 2022, the Malibu Properties received 18,773 views online. The list price has been adjusted
15 downward and the Malibu Properties are currently listed at the combined price of \$8,500,000.

16 **D. Extension of Certain Deadlines**

17 **1. Exclusivity Deadlines**

18 Pursuant to 11 U.S.C. §§ 1121(b) and (c)(3), upon the filing of the Debtor's chapter 11
19 petition, the exclusivity periods for the Debtor to file a plan and disclosure statement and solicit
20 acceptance of the plan was January 31, 2022 and April 1, 2022 (the "Exclusivity Deadlines"). On
21 January 28, 2022, the Debtor filed a motion to extend the exclusivity deadlines. The motion was
22 granted by order entered February 18, 2022. Pursuant to the February 18, 2022 order, the
23 deadlines were extended as follows:

- 24 1. The Debtor's exclusive period to file a plan and disclosure statement pursuant to 11
25 U.S.C. § 1121(b) was extended through and including July 31, 2022;
- 26 2. The Debtor's exclusive period to solicit acceptances of a plan pursuant to 11 U.S.C.
27 § 1121(c)(3) is extended through and including September 29, 2022.
- 28

1 On July 29, 2022, the Debtor filed a second motion to extend the Exclusivity Deadlines.
2 The motion was granted by order entered August 17, 2022. Pursuant to the August 17, 2022
3 order, the deadlines were extended as follows:

- 4 1. The Debtor's exclusive period to file a plan and disclosure statement pursuant to 11
5 U.S.C. § 1121(b) was extended through and including November 30, 2022;
- 6 2. The Debtor's exclusive period to solicit acceptances of a plan pursuant to 11 U.S.C.
7 § 1121(c)(3) was extended through and including January 30, 2023.

8 On November 30, 2022, the Debtor filed a third motion to extend the Exclusivity
9 Deadlines. The motion was granted by order entered December 20, 2022. Pursuant to the
10 December 20, 2022 order, the deadlines were extended as follows:

- 11 1. The Debtor's exclusive period to file a plan and disclosure statement pursuant to 11
12 U.S.C. § 1121(b) is extended through and including January 18, 2023;
- 13 2. The Debtor's exclusive period to solicit acceptances of a plan pursuant to 11 U.S.C.
14 § 1121(c)(3) was extended through and including March 15, 2023.

15 **2. Deadlines to File a Complaint Under 11 U.S.C. § 523 and to Object to**
16 **the Debtor's Exemptions**

17 At the Committee's request and in an effort to work with the Committee, the Debtor agreed
18 to extend the deadline to file a complaint under 11 U.S.C. § 523 and the deadline to object to the
19 Debtor's exemptions. On December 30, 2021, the Debtor filed a stipulation for order extending
20 these deadlines. On January 3, 2022, the Court entered an order extending the deadlines to
21 January 18, 2022.

22 Prior to July 18, 2022, BOH 1, BOH 2, and BOH 3 (together, the "TSH Investors")
23 requested an extension of the deadline to file a complaint under 11 U.S.C. § 523. On July 15,
24 2022, the Debtor filed a stipulation for order extending the deadline to file a complaint under 11
25 U.S.C. § 523 for the TSH Investors only. On July 18, 2022, the Court entered an order approving
26 the stipulation and the TSH Investor's deadline to file a complaint under 11 U.S.C. § 523 was
27 October 18, 2022. As such, the deadline for all creditors to file a complaint under 11 U.S.C. § 523
28 has passed.

On July 18, 2022, the Debtor filed a stipulation for order extending the deadline for all creditors to object to the Debtor's exemptions under FRBP 4003(b). On July 19, 2022, the Court entered an order approving the stipulation. The deadline for all creditors to object to the Debtor's exemptions was October 18, 2022 and has now passed.

3. Proof of Claim Deadline

On December 9, 2021, the Court held a status conference in the Debtor's case. Also on December 9, 2021, the Court entered its Chapter 11 Status Conference Order. (*See* Docket No. 79.) Pursuant to the Court's Chapter 11 Status Conference Order, the Court fixed February 10, 2022, as the last date by which proofs of claim and interest shall be filed. The Court also ordered the Debtor to serve notice of the last date to file proofs of claim no later than December 10, 2021.

On December 9, 2021, the Debtor filed a Notice of Bar Date for Filing Proofs of Claim in a Chapter 11 Case (the "Bar Date Notice") setting forth that February 10, 2022 was the last day to file a proof of claim in the Debtor's Case. (*See* Docket No. 78.) The Bar Date Notice was served on all creditors.

E. Resolution of Disputes

Since the filing of the Debtor's chapter 11 petition, certain disputes and issues have arisen. The Debtor has worked to resolve these issues consensually to avoid unnecessary contested matters and prevent any obstacles in his case.

Pre-petition, Preferred Bank commenced a lawsuit against the Debtor and other non-debtor entities to collect on a promissory note in the amount of \$4,118,059.00. On August 16, 2021, M+D secured refinancing and paid off the promissory note. On March 7, 2022, the Debtor filed a motion to approve compromise with Preferred Bank. On March 28, 2022, the Court entered an order approving the settlement agreement with Preferred Bank.

The Debtor obtained a loan from United Business Bank pre-petition. The loan was secured by the Beach Property. The loan matured post-petition and United Business Bank threatened to seek stay relief absent payments being made. Although the Debtor did not believe that United Business Bank would prevail if it moved for stay relief, the Debtor entered into a stipulation with United Business Bank to avoid the cost and risk of a stay relief motion.

1 Under the UBB Stipulation, the Debtor agreed to make monthly payments to United
2 Business Bank. However, in exchange for these payments, the UBB Stipulation provides for a
3 reduction in the default interest rate that United Business Bank may otherwise be entitled to,
4 thereby maximizing the value of the equity in the real property that secured the loan. On March
5 16, 2022, the Debtor filed the motion to approve the UBB Stipulation. On April 13, 2022, the
6 Court entered an order approving the UBB Stipulation. As discussed above, United Business
7 Bank was ultimately paid in full from the sale of the Beach Property.

8 The Debtor, with the support of the Committee, also resolved a dispute with APSEC. Pre-
9 petition, the Debtor and M+D obtained a loan from Pacific City Bank, which later assigned its
10 loan to APSEC. The loan is secured by the Debtor Malibu Property and the M+D Malibu
11 Property. The loan has since matured and APSEC threatened to seek relief from stay as to the
12 Debtor's parcel as well as to take action to collect against the parcel owned by M+D. The Debtor
13 asserted that M+ D Malibu Property is protected by the automatic stay or alternatively, that
14 grounds existed to extend the automatic stay to the M+D Malibu Property. APSEC disputed these
15 contentions. Ultimately, the Debtor and APSEC were able to reach a settlement, which was
16 documented in a stipulation (the "APSEC Stipulation"). On June 23, 2022, the Debtor filed a
17 motion to approve the APSEC Stipulation, which was granted by order of the Court entered on
18 July 13, 2022.

19 The APSEC Stipulation provided for monthly payments to APSEC in the amount of
20 \$16,607.74. Under the APSEC Stipulation, the Debtor had until December 12, 2022 to file a
21 motion or plan with a fully executed agreement providing for the sale of the Malibu Properties and
22 the sale of such properties was required to close by January 24, 2023. The Debtor did not receive
23 any written offers to purchase the Malibu Properties before December 12, 2022. Because the
24 foregoing deadlines were not, or will not be, met, the APSEC Stipulation has terminated. As such,
25 the automatic stay arising from the Debtor's case shall not prevent APSEC from taking steps to
26 collect its debt from M+D and the M+D Malibu Property and APSEC may file a motion for relief
27 from the automatic stay as the Debtor Malibu Property, subject to the rights of the Debtor and the
28 Committee to oppose any such motion.

F. The Employment of Estate Professionals

The Debtor has obtained orders employing the following professionals:

1. Smiley Wang-Ekvall, LLP, as bankruptcy counsel (*see* Order [Docket No. 50]);
2. Force Ten Partners, LLC, as financial advisor (*see* Order [Docket No. 117]);
3. Coldwell Banker, as real estate broker for the Malibu Properties (*see* Order [Docket No. 151]);
4. Grobstein Teeple, LLP, as tax advisor (*see* Order [Docket No. 154]); and
5. Kidder Matthews of California, Inc., as real estate broker for the Beach Property (*see* Order [Docket No. 159]).

The Committee has employed the following professionals:

1. Greenberg Traurig, LLP, former bankruptcy counsel (*see* Order [Docket No. 93]);
2. Development Specialists, Inc., as financial advisor (*see* Order [Docket No. 94]); and
3. Buchalter, a Professional Corporation, as current bankruptcy counsel (*see* Order [Docket No. 176]).

The Estate's professionals filed first interim fee applications, which were set for hearing on December 21, 2022. The interim fee applications were not opposed. Smiley Wang-Ekvall, LLP, entered into a stipulation with the Office of the United States Trustee providing for a reduction of \$40,000 to the requested fees. The Court otherwise awarded the fees as requested. On January 13, 2023, the Court entered an order allowing the following amounts:

- Fees of \$23,709.50 and expenses of \$0.00 to Grobstein Teeple, LLP, on an interim basis for the period of February 23, 2022 through November 30, 2022;
- Fees of \$160,049.50 and expenses of \$4.84 to Development Specialists, Inc., on an interim basis for the period of November 22, 2021 through November 30, 2022;
- Fees of \$263,158.00 and expenses of \$0.00 to Force Ten Partners, LLC, on an interim basis for the period of November 23, 2021 through November 30, 2022;

- Fees of \$53,832.50 and expenses of \$6,312.29 to Buchalter, a Professional Corporation, on an interim basis for the period of May 9, 2022 through December 16, 2022;
- Fees of \$202,069.35 and expenses of \$2,018.01 to Greenberg Traurig, LLP, on a final basis for the period of November 17, 2021 through December 16, 2022; and
- Fees of \$766,697.50 and expenses of \$12,097.79 to Smiley Wang-Ekvall, LLP, on an interim basis for the period of October 4, 2021 through December 19, 2022.

G. The Debtor's Schedules, Statements, and Operating Reports

The Debtor believes he is in compliance with the requirements under 11 U.S.C. § 521, Federal Rule of Bankruptcy Procedure ("FRBP") 1006 and 1007, and the applicable Guidelines of the OUST.

Pursuant to FRBP 2015.3, the Debtor is required to file reports of financial information on non-debtor entities in which the Debtor holds a controlling or substantial interest (the "Rule 2015.3 Report"). On December 10, 2021, the Debtor filed his first Rule 2015.3 Report. On September 16, 2022, the Debtor filed his second Rule 2015.3 Report. On November 15, 2022, the Debtor filed his third Rule 2015.3 Report.

On November 12, 2021, the Debtor filed his bankruptcy schedules. On December 10, 2021, the Debtor filed an Amended Schedule A/B and Statement of Financial Affairs. At the request of the OUST, the amended schedules included a detailed chart of the Debtor's companies in which the Debtor holds an interest directly or indirectly. The chart includes the Debtor's ownership percentage and a short summary describing each entity's assets and operations.

The Debtor is in the process of amending his schedules further. Among other items, the amended Schedule A/B will include two accounts at Shinhan Bank in South Korea: a CD and savings account. Both accounts were in the name of only the Debtor's Spouse. These accounts were mistakenly omitted because they were used sparingly when the Spouse was visiting family in South Korea or to provide care to her parents in South Korea prior to her mother's passing. There were no withdrawals or disbursements from these accounts post-petition. The only post-petition

1 activity were credits for interest. The Debtor disclosed the accounts to the Committee and in his
2 prior status reports.

3 Closing the accounts required the Spouse to visit Shinhan Bank in person in South
4 Korea. The amounts contained in the accounts were in South Korean won. As of May 30, 2022,
5 the accounts collectively held 96,119,099 won. On May 30, 2022, this amount was converted and
6 wired to the Debtor's DIP account, with the exception of 7,759 won (approximately \$5.88) that the
7 bank required the Spouse to accept in cash. On May 31, 2022, the Debtor's DIP account received
8 a wire of \$76,949.24. The Debtor's May Monthly Operating Report discloses these two accounts
9 and reflects the funds received from Shinhan Bank.

10 In addition, the Debtor will be amending his Statement of Financial Affairs to disclose a
11 few additional transfers that were inadvertently omitted. The Committee is aware of these
12 transfers from bank accounts the Debtor provided to the Committee and the Debtor has provided
13 explanations to the Committee for the transfers.

14 The Debtor has prepared and submitted Monthly Operating Reports ("MOR") for the
15 Estate through October 31, 2022. The Debtor is current on the quarterly fees owed to the OUST.

16
17 **IV. POTENTIAL AVOIDANCE ACTIONS**

18 Attached hereto as Exhibit "8" is the Debtor's Amended SOFA, which lists all of the
19 payments made to creditors during the 90-day period prior to the Petition Date and certain other
20 pre-petition transfers. The listed transfers include certain annual amounts to the Debtor's
21 daughters and amounts to care for the Debtor's mother-in-law in South Korea, who was very ill
22 and passed away pre-petition. Avoidance Actions may exist against some or all of these
23 transferees, and, unless released by the Plan (*see* Section III.C.), all Avoidance Actions under 11
24 U.S.C. §§ 544 through 550, including, but not limited to, are hereby reserved against all entities
25 for the benefit of the Estate. The omission of the identity of a recipient of a potentially avoidable
26 and recoverable transfer or of a particular payment from Exhibit "8" is unintentional and shall not
27 be deemed a waiver of the right of the Estate to recover any distribution(s), payment(s), or
28 transfer(s) from any entity under any provision of the Bankruptcy Code. It is possible that a

1 significant majority of the payments are either not avoidable or are subject to a valid affirmative
2 defense.

3 **A. The Sherwood Property**

4 As discussed in detail above, an action is pending in state court, which was commenced
5 by Shady Bird post-petition in violation of the automatic stay, against the Spouse asserting a claim
6 for fraudulent transfer under California Civil Code §§ 3439 *et seq.* related to the Sherwood
7 Property. Assuming the Sherwood Property was an asset of the Estate, the estimated equity in
8 such property based on its liquidation value and after the Debtor's \$600,000 homestead exemption,
9 capital gains taxes, and costs of sale is approximately \$567,825 (*See* Ex. 2.) The Plan proposes a
10 settlement of any and all alleged claims, including avoidance claims, against the Spouse as to
11 Sherwood Property. (*See* Section III.C. in Plan.)

12 **B. Amount to the Debtor's Daughters**

13 Throughout his case, the Debtor has cooperated with the Committee and has provided
14 financial and other documents when requested by the Committee. Through these productions, the
15 Debtor voluntarily disclosed to the Committee an amount paid to his daughters, Leslie and Estelle
16 Chae. Over three years prior to the Petition Date, on or about March 19, 2018, the Debtor paid to
17 Estelle, for the benefit of both Estelle and Leslie, the sum of \$880,025.00 (collectively, the "L&E
18 Transfers") to use as a down payment to purchase the home where they currently reside. The
19 Committee has inquired about the L&E Transfers and may assert that such transfers constitute a
20 constructive fraudulent transfer. The Debtor's daughters are currently represented by counsel and
21 are in discussions with counsel for the Committee. The Plan proposes to settle any and all
22 disclosed alleged claims against any relatives of the Debtor, including any claims against Estelle
23 and Leslie based on the L&E Transfers. (*See* Section III.C. in Plan.)

24
25 **V. CURRENT AND HISTORICAL FINANCIAL CONDITIONS**

26 The Debtor's income is comprised of wages derived from the management of his
27 companies and their operations, which include developing various real estate projects. The
28 Debtor's spouse does not work. During this Case, the Debtor has generated a net gain of

1 approximately \$97,805 through December 31, 2022, which is largely due to the receipt of the
2 funds from Shinhan Bank (and does not include the proceeds from the sale of the Beach Property).
3 The Debtor is currently holding approximately \$1,395,570.55 in his debtor-in-possession account
4 as of January 17, 2023. Attached hereto as Exhibit "1" are the Debtor's plan projections (the
5 "Plan Projections"). The Debtor's assets and their values are identified and discussed in the
6 liquidation analysis attached hereto as Exhibit "2" (the "Liquidation Analysis"). The Debtor's
7 most recent MOR is attached hereto as Exhibit "7." The Debtor's most recent FRBP 2015.3 report
8 is attached hereto as Exhibit "6." The Financial Statement prepared by Force 10 Partners with the
9 estimated equity of the Debtor's companies is attached hereto as Exhibit "4."

10
11 **VI. PROCEDURES IMPLEMENTED TO RESOLVE FINANCIAL PROBLEMS**

12 As discussed above, the Debtor's case was filed due to the collection efforts of Shady Bird.
13 The filing of the Debtor's case halted such collection efforts and, critically, terminated the liens of
14 Shady Bird. The filing of the bankruptcy case preserved the value of the Debtor's assets for all
15 creditors.

16 The Debtor's debt is being (or has been) addressed in multiple ways. First, the Plamex
17 PSA, the sale of Plaza Mexico, the confirmation of the Plamex Plan led to the satisfaction or
18 release of debt scheduled in the amount of over \$167,000,000 (approximately 32% of the
19 scheduled debt). Second, the Debtor has sold or is attempting to sell his Direct-Owned Real
20 Estate, resulting in the payment of the Allowed Claims secured by such real estate in full and,
21 hopefully, net sale proceeds for the Estate. Third, all Holders of Allowed Unsecured Claims will
22 receive a beneficial interest in the Plan Trust in satisfaction of their claims. Such Holders will
23 then receive *pro rata* Distributions from the Plan Trust of any proceeds derived from the Trust
24 Assets, including any Net Sale Proceeds from the Direct-Owned Real Estate and any value
25 potentially available from the Debtor's ownership of the Direct-Owned Companies. The Plan
26 allows the Debtor to continue to manage his companies as is currently the case so that value can be
27 maximized for all stakeholders. The Debtor's role in managing his companies and their respective
28 projects will be subject to the input and oversight of the Plan Trustee.

VII. SUMMARY OF THE PLAN

The following is a summary of the material provisions of the Plan.

A. What Creditors and Interest Holders Will Receive Under the Proposed Plan

As required by the Bankruptcy Code, the Plan classifies Claims in various Classes according to their right to priority. The Plan states whether each Class of Claims is impaired or unimpaired. The Plan provides the treatment each Class will receive. In no event shall any creditor receive more than the creditor's Allowed Claim, plus interest to the extent expressly provided herein.

B. Unclassified Claims

Certain types of Claims are not placed into voting classes but are instead unclassified. They are not considered impaired and they do not vote on the Plan because they are automatically entitled to certain treatment under the Bankruptcy Code. Accordingly, the following Claims have not been placed into a Class:

1. Administrative Expenses

Administrative Claims are Claims for costs or expenses of administering the Debtor's Case allowed under § 507(a)(2) of the Bankruptcy Code. The Bankruptcy Code requires that all Allowed Administrative Claims be paid on the Effective Date of the Plan, unless a particular claimant agrees to a different treatment. The following chart lists all of the Debtor's § 507(a)(2) unpaid Administrative Claims and their treatment under the Plan:

Non-Professional Administrative Claims		
Description	Estimated Amount Owed	Treatment
Ordinary-Course Administrative Claims	\$0.00	Unless the Debtor objects to an Ordinary-Course Administrative Claim, the Claim will be Allowed in accordance with the terms and conditions of the particular transaction that gave rise to the Ordinary-Course Administrative Claim, and the Person holding the Ordinary-Course Administrative Claim need not File any Request for Payment of its Claim.
Other Non-Ordinary Course Administrative Claims	\$0.00	To the extent that any Non-Ordinary Course Administrative Claims are Allowed, they will be paid in full by

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Non-Professional Administrative Claims		
Description	Estimated Amount Owed	Treatment
		the Debtor on the later of (i) the Effective Date, and (ii) the date that is ten (10) Business Days after the Court enters a Final Order allowing the Non-Ordinary-Course Administrative Claim.
Clerk's Office Fees	\$0.00	Paid in full on or before the Effective Date.
Office of the United States Trustee Fees	\$0.00	Paid in full on or before the Effective Date.
Administrative Tax Claims	\$0.00	Unless the Debtor objects to an Administrative Tax Claim or otherwise disputes the Administrative Tax Claim in accordance with applicable law, the Claim will be Allowed in accordance with the terms and conditions of the particular transaction that gave rise to the Administrative Tax Claim, and the Person holding the Administrative Tax Claim need not file any Request for Payment of its Claim.
Total	\$0.00	

Professional Fee Claims		
Description	Estimated Amount Owed	Treatment
Smiley Wang-Ekvall, LLP	\$1,000,000 (inclusive of fees and costs awarded on an interim basis of \$778,795.29)	Paid in full in the amount Allowed by the Court on the later of the following: (i) the Effective Date; and (ii) the date that is ten (10) Business Days after the Court enters a Final Order allowing the claimant's Professional Fee Claim, in either case, as soon thereafter as is practicable.
Force Ten Partners, LLC	\$385,000 (inclusive of fees and costs awarded on an interim basis of \$263,158.00)	Paid in full in the amount Allowed by the Court on the later of the following: (i) the Effective Date; and (ii) the date that is ten (10) Business Days after the Court enters a Final Order allowing the claimant's Professional Fee Claim, in either case, as soon thereafter as is practicable.
Grobstein Teeple, LLP	\$42,322 (inclusive of fees and costs awarded on an interim basis of \$23,709.50)	Paid in full in the amount Allowed by the Court on the later of the following: (i) the Effective Date; and (ii) the date that is ten (10) Business Days after the Court enters a Final Order allowing the claimant's Professional Fee Claim, in either case, as soon thereafter as is practicable.

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Professional Fee Claims		
Description	Estimated Amount Owed	Treatment
Greenberg Traurig, LLP	\$204,087.36 in fees and costs have been awarded on a final basis	Paid in full in the amount Allowed by the Court on the later of the following: (i) the Effective Date; and (ii) the date that is ten (10) Business Days after the Court enters a Final Order allowing the claimant's Professional Fee Claim, in either case, as soon thereafter as is practicable.
Buchalter, a Professional Corporation	\$184,680 (inclusive of fees and costs awarded on an interim basis of \$60,144.79)	Paid in full in the amount Allowed by the Court on the later of the following: (i) the Effective Date; and (ii) the date that is ten (10) Business Days after the Court enters a Final Order allowing the claimant's Professional Fee Claim, in either case, as soon thereafter as is practicable.
Development Specialists, Inc.	\$236,500 (inclusive of fees and costs awarded on an interim basis of \$160,054.34)	Paid in full in the amount Allowed by the Court on the later of the following: (i) the Effective Date; and (ii) the date that is ten (10) Business Days after the Court enters a Final Order allowing the claimant's Professional Fee Claim, in either case, as soon thereafter as is practicable.
Total	\$2,052,589.36 ²	

The following applies to Administrative Claims asserted in the Estate:

(a) Ordinary Course Administrative Claims

Unless the Debtor or other party-in-interest objects to an Ordinary-Course Administrative Claim, the Claim will be deemed Allowed in accordance with the terms and conditions of the particular transaction that gave rise to the Ordinary-Course Administrative Claim, and the Person holding the Ordinary-Course Administrative Claim need not File any Request for Payment of its Claim. However, any Request for Payment, or Motion to allow a Claim as an Ordinary-Course Administrative Claim must be Filed with the Court and served on counsel for the Debtor and the

² The estimate of Professional Fee Claims is an estimate of the projected amounts as of the Effective Date of the Plan (including amounts allowed on an interim basis). Moreover, such estimate is only an estimate and will change based upon the services required during the Case and the amounts ultimate allowed by the Court.

1 OUST by no later than sixty (60) days after the Effective Date. The Debtor believes that there are
2 no Ordinary-Course Administrative Claims.

3 **(b) Non-Ordinary Course Administrative Claims**

4 A Non-Ordinary Course Administrative Claim will be paid by the Debtor on the later of:
5 (i) the Effective Date to the extent that prior to the Effective Date it has already been determined
6 to be an Allowed Non-Ordinary Course Administrative Claim by the Court pursuant to a Final
7 Order and (ii) the date that is ten (10) Business Days after the Court enters a Final Order allowing
8 the Non-Ordinary Course Administrative Claim.

9 Any other Non-Ordinary Course Administrative Claim will be paid by the Debtor to the
10 extent that it is allowed by the Court only if: (i) on or before sixty (60) days after the Effective
11 Date, the Person holding the Non-Ordinary Course Administrative Claim both Files with the Court
12 a Request for Payment of the Non-Ordinary Course Administrative Claim and serves the Request
13 for Payment of the Non-Ordinary Course Administrative Claim on counsel for the Reorganized
14 Debtor, his counsel, and the OUST, and (ii) the Court, in a Final Order, allows the Non-Ordinary
15 Course Administrative Claim.

16 Any party-in-interest, including, but not limited to, the Reorganized Debtor, may File an
17 objection to such a Request for Payment within the time provided by the Bankruptcy Rules or
18 within any other period the Court establishes. Persons holding Non-Ordinary Course
19 Administrative Claims who do not timely File and serve a Request for Payment will be forever
20 barred from asserting these Claims or sustaining any action seeking payment in any forum or from
21 any court deriving from these Claims against the Estate, the Debtor, the Reorganized Debtor, the
22 Plan Trust, the Plan Trustee, or their respective property.

23 **(c) Professional Fee Claims**

24 A Professional Fee Claim will be paid in full in the amount Allowed by the Court on the
25 later of the following: (i) the Effective Date; and (ii) the date that is ten (10) Business Days after
26 the Court enters a Final Order allowing Claimant's Professional Fee Claim, or in either case, as
27 soon thereafter as is practicable.

A Professional Fee Claim will be paid only if (i) on or before sixty (60) days after the Effective Date (or such further date if extended by Court order), the Person holding the Professional Fee Claim both Files with the Court an application requesting allowance and payment of the Professional Fee Claim; and (ii) the Professional Fee Claim is allowed by order of the Court (as to which fourteen (14) days has passed without a stay of the enforcement or effectiveness of such order or, if a stay has been obtained, such stay has lapsed or been dissolved). The Debtor or any other party-in-interest may File an objection to such an application within the time provided by the Bankruptcy Rules or within any other period that the Court establishes. Persons holding Professional Fee Claims who do not timely File and serve an application for allowance and payment will be forever barred from asserting these Claims against the Estate, the Debtor, the Reorganized Debtor, the Plan Trust, the Plan Trustee, or their respective property.

As is indicated above, it is estimated that the Debtor will need to pay Professional Fee Claims totaling approximately \$2,037,502 on the Effective Date, unless a particular claimant has agreed to be paid later or the Court has not yet ruled on the Professional Fee Claim. As of January 17, 2023, and with the proceeds from the sale of the Beach Property, the Debtor is holding \$1,395,570.55. The Debtor expects that he will have sufficient funds to pay the Professional Fee Claims on the Effective Date (to the extent required) or upon allowance by the Court or, to the extent necessary, that the Holders of Allowed Professional Fee Claims will agree to the payment of their respective Allowed Claims upon the Plan Trust's realization of sufficient cash to pay such Claims.

C. Priority Tax Claims

Priority Tax Claims include certain unsecured income, employment and other taxes described by Bankruptcy Code Section 507(a)(8). The Bankruptcy Code requires that each Holder of such a Section 507(a)(8) Priority Tax Claim receive the present value of such Claim in regular installment payments in Cash, over a period not exceeding five years from the Petition Date, unless the Holder agrees to a different treatment. The Debtor does not believe that he has any Section 507(a)(8) Priority Tax Claims. The following chart lists all of the Debtor's Section 507(a)(8) Priority Tax Claims and their treatment under the Plan:

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Priority Tax Claims		
Description	Estimated Amount Owed	Treatment
Any Priority Tax Claims	\$0.00	The Holders of allowed priority tax claims will be paid in full the allowed amount of their claims on the Effective Date or as soon as reasonably practicable thereafter, but, in no event, more than five (5) years from the entry of the order for relief. Allowed priority tax claims shall accrue interest from the Effective Date on the unpaid balance of the allowed priority tax claim at the rate required by 11 U.S.C. § 511 to provide "present value" of the allowed priority tax claim.
Total	\$0.00	

D. Classified Claims

1. Summary of Classes

Summary of Classes	
Class	Claimant(s)
1	Secured Claim of AmeriCredit Financial Services, Inc.
2	Secured Claim of Los Angeles County Treasurer and Tax Collector
3	Secured Claim of NorthStar Demolition and Remediation, LP
4	Secured Claim of BMW Financial Services
5	Secured Claim of APSEC Resolution Trust, LLC
6	Secured Claim of Placo Investment, LLC
7	General Unsecured Claims

2. Secured Claims

Secured Claims are Claims secured by liens against property of the Estate. The following chart lists all Classes of Secured Claims and their treatment under the Plan:

Secured Claims				
<u>Class #</u>	<u>Description</u>	<u>Insiders</u> (Y/N)	<u>Impaired</u> (Y/N)	<u>Treatment</u>
1	Secured Claim of AmeriCredit Financial Services, Inc. ("AFS") • Collateral: 2019 Chevrolet Colorado co-owned with Greenland Construction Services	N	Y	Upon the Effective Date, AFS shall have an Allowed Secured Claim in the amount of \$15,342.87 and such Allowed Secured Claim will be paid in full by Greenland Construction Services making the monthly payments as required by the Retail Installment Sale Contract – Simple Finance Charge (With Arbitration Provision) attached to Proof of Claim No. 1. The Debtor shall not be

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Secured Claims				
Class #	Description	Insiders (Y/N)	Impaired (Y/N)	Treatment
	• Total Claim Amount: \$15,342.87 (according to AFS's proof of claim) • Interest Rate: 0.00% per proof of claim • Collateral Value: \$15,342.87 (according to AFS's proof of claim)			required to pay any amount on account of AFS's Claim. Any valid, perfected, and unavoidable lien of AFS shall be retained to the same extent, validity, and priority as of the Petition Date pending payment of the AFS's Allowed Secured Claim in full as provided herein. Upon full satisfaction of AFS's Allowed Secured Claim, AFS's lien shall be released and the Reorganized Debtor shall retain title to the collateral subject to the lien free and clear of the lien. The treatment proposed herein shall be in full satisfaction of any Class 1 Secured Claim.
2	Secured Claim of Los Angeles County Treasurer and Tax Collector ("LACTTC") • Collateral: 2200 Sherwood Road, San Marino, CA 91108 • Total Claim Amount: \$5,619.61 • Collateral Value: \$621,953.00 per LACTTC's proof of claim	N	Y	LACTTC asserts that its Claim is secured by the Sherwood Property. As discussed above, the Sherwood Property is not property of the Debtor's Estate. LACTTC's Claim in the amount of \$5,619.61 will be paid in full by the Debtor on the Effective Date from the Cash on Hand. The treatment proposed herein shall be in full satisfaction of any Class 2 Secured Claim.
3	Secured Claim of NorthStar Demolition and Remediation LP ("Northstar") • Collateral: 6989 Beach Blvd, Buena Park, CA 90621 per Northstar's proof of claim • Total Claim Amount: \$53,948.00 per Northstar's proof of claim • Collateral Value: \$18,853,241.00 per Northstar's proof of claim	N	Y	Northstar appears to assert a Claim based on services provided to TSH on the Hotel and secured by the real property located at 6989 Beach Blvd, Buena Park, CA 90621, which is not property of the Debtor's Estate. The Debtor intends to object to the Claim of Northstar on the basis that it is not an obligation of the Debtor and it is not a Secured Claim in this Case because it is not secured by property of the Debtor's Estate. The Debtor expects that Northstar's claim will be disallowed in its entirety. Any Allowed Secured Claim of Northstar will be paid in full as required by 11 U.S.C. § 1129(b) in equal quarterly installments by the Debtor or a non-debtor company over a period of ten (10) years after the Effective Date, plus interest at a market rate determined by the Court to provide present value of any such Allowed Secured Claim until such Allowed Secured Claim is paid in full.

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Secured Claims				
Class #	Description	Insiders (Y/N)	Impaired (Y/N)	Treatment
				Any valid, perfected, and unavoidable lien of Northstar shall be retained to the same extent, validity, and priority as of the Petition Date pending payment of any Allowed Secured Claim of Northstar in full as provided herein. Upon full satisfaction of any Allowed Secured Claim of Northstar, Northstar's lien shall be released and the Reorganized Debtor shall retain title to the collateral subject to the lien free and clear of the lien The treatment proposed herein shall be in full satisfaction of any Class 3 Secured Claim. Any Allowed General Unsecured Claim held by Northstar will receive the treatment set forth in Class 7 below.
4	Secured Claim of BMW Financial Services ("BMW") • Collateral: 2019 BMW X1 owned by spouse • Total Claim Amount: \$20,000.00 • Collateral Value: \$20,335.47	N	N	BMW will continue to receive monthly payments of \$500.06, and its Allowed Claim will be paid in full in September 2024, in accordance with the agreements giving rise to such Claim. The treatment proposed herein shall be in full satisfaction of BMW's Class 4 Secured Claim.
5	Secured Claim of APSEC Resolution Trust, LLC • Collateral: 22003 Pacific Coast Highway and 3849 Carbon Canyon Road, Malibu, California 90265 (i.e., the "Malibu Properties") • Total Claim Amount: \$3,140,719.29 as of January 9, 2023 per APSEC • Collateral Value: \$8,500,000 - \$9,000,000 collectively	N	Y	APSEC holds an Allowed Secured Claim in the amount of \$3,140,719.29 as of January 9, 2023. APSEC's Allowed Secured Claim will be paid in full as required by 11 U.S.C. § 1129(b) by the APSEC Payment Deadline as provided in this Class 5 and in Section VII.E.2. below. The "APSEC Allowed Secured Claim" means APSEC's Claim secured by the Malibu Properties in the amount of \$3,140,719.29, plus any additional interest or reasonable attorney's fees and costs to which APSEC is entitled under 11 U.S.C. § 506(b), less any Other Distributions received by APSEC prior to, on, or after the Effective Date. <u>Monthly Payment.</u> Beginning on the 20 th of the first full month after the Effective Date and on the 20 th of each month thereafter until the earlier of (i) the payment of the APSEC Allowed Secured Claim in full or (ii) the APSEC Payment Deadline, M+D shall pay to APSEC the collective sum of \$18,000 (each, a "Monthly Payment"). APSEC shall apply the Monthly Payments to the APSEC Allowed Secured Claim as provided in the APSEC Loan Documents.

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Secured Claims				
Class #	Description	Insiders (Y/N)	Impaired (Y/N)	Treatment
				<u>Interest Rate.</u> Upon and after the Effective Date, the unpaid balance of the APSEC Allowed Secured Claim will continue to accrue simple interest at the non-default rate set forth in the APSEC Note. <u>Payment Deadline.</u> The APSEC Allowed Secured Claim shall be paid in full by no later than the first Business Day that is six (6) months after the Effective Date (the "<u>APSEC Payment Deadline</u>"). The APSEC Allowed Secured Claim will be paid in full directly from escrow upon the closing of a sale or refinancing of either or both of the Malibu Properties. If the APSEC Allowed Secured is not paid in full by the APSEC Payment Deadline, then it shall be permitted to proceed with its remedies with respect to the Debtor Malibu Property, including to foreclose on the Debtor Malibu Property. <u>APSEC's Lien.</u> APSEC's liens against the Malibu Properties to secure the APSEC Allowed Secured Claim shall be retained to the same extent, validity, and priority as of the Petition Date pending payment of the APSEC Allowed Secured Claim in full as provided herein. Upon full satisfaction of the APSEC Allowed Secured Claim, APSEC's liens shall be released and title to the Malibu Properties shall be retained by the Reorganized Debtor and M+D free and clear of the liens. <u>Taxes and Insurance.</u> The Reorganized Debtor and M+D shall continue to pay property taxes on the Malibu Properties on a timely basis while such properties continue to be owned by the Reorganized Debtor and M+D and they shall provide evidence of adequate insurance, with APSEC named as secured party loss payee pursuant to the express terms of the APSEC Deed of Trust. <u>Inspection Rights.</u> APSEC shall have the right to inspect the Malibu Properties (and if it so elects, to obtain its own appraisal) with one (1) business day's written notice by email to counsel for the Reorganized Debtor. The Reorganized Debtor does not need to be physically present for any such inspection or appraisal. <u>Offers to Purchase.</u> Pending the APSEC Payment Deadline, the Reorganized Debtor and M+D shall share all written offers for any of the Malibu Properties within three (3) business days of

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Secured Claims				
Class #	Description	Insiders (Y/N)	Impaired (Y/N)	Treatment
				receipt; <u>provided, however</u>, that such offers shall be kept confidential by APSEC and, without the prior written and express approval of the Debtor, neither APSEC nor anyone acting for APSEC or on its behalf shall contact any person or entity who submits a written offer to purchase any of the Properties to the Debtor and/or M+D. <u>Broker Contact.</u> APSEC shall have the right to contact Coldwell Banker, the Reorganized Debtor's current real estate broker, or any other broker employed to sell the Malibu Properties on three business (3) days' written notice by email to counsel for the Reorganized Debtor, solely for the purpose of hearing an update on the status of the marketing and sale of the Properties. The Reorganized Debtor and/or his counsel may participate in any such update. Any discussions between APSEC and Coldwell Banker or any other broker shall be considered inadmissible and confidential settlement communications. The treatment proposed herein shall be in full satisfaction of any Class 5 Secured Claim.
6	Secured Claim of Placo Investment, LLC • Collateral: 22003 Pacific Coast Highway, Malibu, CA 90265 (<i>i.e.</i>, the Debtor Malibu Property) • Total Claim Amount: \$4,000,000.00, plus interest pursuant to Placo Investment's deed of trust • Collateral Value: \$8,500,000 - \$9,000,000 collectively	Y	Y	As a material part of the compromise set forth in the Plan and conditioned upon confirmation of the Plan, upon the Effective Date, (a) Placo Investment shall have any Allowed Secured Claim in the amount of \$4,000,000, plus interest as provided in Placo Investment's deed of trust, and (b) pursuant to 11 U.S.C. § 510(c), such Allowed Secured Claim shall be subordinated to all Allowed General Unsecured Claims, and the lien securing such Allowed Secured Claim (the "<u>Placo Malibu Lien</u>") will be preserved and transferred to the Plan Trust. Placo Investment's Allowed Secured Claim shall be paid in full directly from escrow from the proceeds of the sale of the Debtor Malibu Property and such payment will be made directly to the Plan Trust. The treatment proposed herein shall be in full satisfaction of Placo's Allowed Secured Class 6 Secured Claim.

3. Classes of Priority Unsecured Claims

Certain Claims that are referred to in Bankruptcy Code Sections 507(a)(4), (5), (6), and (7) are entitled to priority treatment and are required to be placed in Classes. The Bankruptcy Code

requires that each Holder of such Priority Claims receive Cash on the Effective Date equal to the allowed amount of such Claim. However, a Class of unsecured Priority Claim Holders may vote to accept deferred Cash payments of a value, as of the Effective Date, equal to the allowed amount of such Claim. The Debtor is an individual and there are no Claims that meet the requirements of Bankruptcy Code §§ 507(a)(4), (5), (6), or (7). As such, the Plan does not contain any Classes for such Priority Claims.

4. Class of Unsecured Claims

General Unsecured Claims are unsecured Claims that are not entitled to priority under 11 U.S.C. § 507(a). Below is a summary of the Plan's treatment of the Classes containing the Debtor's General Unsecured Claims.

General Unsecured Claims			
Class #	Description	Impaired (Y/N)	Treatment
7	General Unsecured Claims Estimated amount of claims: \$267,625,758.94 (see Exhibit 9 attached hereto for list of Holders of General Unsecured Claims)	Y	This Class consists of the General Unsecured Claims. The Holders of Allowed General Unsecured Claims in this Class will receive in full satisfaction, settlement, release, and discharge of their Allowed General Unsecured Claims a beneficial interest in the Plan Trust (each, a " <u>Trust Interest</u> ") on a <i>pro rata</i> basis based on the Holders' respective Allowed GUC Distribution Amount as provided in Section VII.E.4. herein. On each Distribution Date, the Holders of Allowed General Unsecured Claims will receive from the Plan Trustee distributions of any Distributable Proceeds <i>pro rata</i> based on their respective Allowed GUC Distribution Amounts in accordance with the Distribution Waterfalls specified in Section VII.E.9. The Debtor estimates that the Holders of Allowed General Unsecured Claims will receive a <i>pro rata</i> share of approximately \$2,678,174. (See Ex. 1.) The treatment proposed herein shall be in full settlement and satisfaction of the General Unsecured Claims.

5. Class of Interest Holders

Interest Holders are the parties who hold membership interests (i.e., equity interests) in the Debtor. The Debtor is an individual and has no interest holders.

E. Means of Implementation

This section is intended to explain how the Debtor intends to effectuate payments contemplated by the Plan, and how the Debtor intends to fund the obligations to Holders of Allowed Claims as provided in the Plan. This section provides information regarding the funding sources for Plan obligations, the establishment of the Plan Trust, and other material issues bearing upon performance of the Plan. The Plan will be effectuated through the sale of the Direct-Owned Real Estate and the vesting of the Trust Assets in the Plan Trust to be managed and administered by the Plan Trustee.

1. The Funding of the Plan

The Distributions required by the Plan will be made by the Debtor, the Plan Trustee, or from a non-estate source (*e.g.*, a company of the Debtor). Upon the Effective Date, the Debtor shall pay the Allowed Claim of the LACTTC from the non-exempt Cash on Hand prior to wiring such funds to the Plan Trust. APSEC's Allowed Secured Claim will be paid in full from the sale of the Malibu Properties. Any Monthly or quarterly debt service payments required by the Plan to the Holders of Allowed Secured Claims will be made by the Debtor or a non-debtor company of the Debtor as specified in the Plan, and not by the Plan Trust. Any Allowed Administrative Claims or Allowed Priority Claims, to the extent not paid on the Effective Date, will be obligations of the Plan Trust and will be paid by the Plan Trustee in accordance with the Distribution Waterfalls set forth in Section VII.E.9.

All post-Effective Date payments to the Holders of Allowed Administrative Claims or Allowed Priority Claims and all Distributions to the Holders of Allowed General Unsecured Claims under the Plan will be made by the Plan Trustee. Such Distributions will be funded from the following sources: (1) Net Cash On Hand; (2) any Net Sale Proceeds; (3) the Settlement Consideration; and (4) any proceeds on account of the New Direct-Owned Company Preferred Equity Interests. The Plan Trustee will distribute the proceeds from the Trust Assets to the Holders of Allowed Claims in accordance with the treatment in the Plan and the Distribution Waterfalls.

1 **2. The Sale of Real Properties**

2 Upon the Effective Date, the Reorganized Debtor will be authorized and directed to sell, or
3 cause the sale of, the Malibu Properties (if and to the extent not sold prior to the Effective Date).
4 The Reorganized Debtor shall consult with the Plan Trustee prior to accepting any offer to sell the
5 Malibu Properties. Any sale of the Malibu Properties by the Reorganized Debtor after the
6 Effective Date shall not require Court approval; provided, however, the Reorganized Debtor may
7 file a motion for a Court order authorizing the sale of such real property pursuant to 11 U.S.C.
8 363, including free and clear of liens pursuant to § 363(f). The Reorganized Debtor may employ
9 one or more real estate brokers to sell the Malibu Properties without further notice, motion or
10 application, hearing, or Court order. The Reorganized Debtor will be required to sell, or cause the
11 sale of, the Malibu Properties as necessary in order to pay APSEC's Allowed Secured Claim by
12 the APSEC Payment Deadline.

13 APSEC's Allowed Secured Claim will be paid in full upon the close of escrow of the sale
14 of the Malibu Properties or, if sold separately, upon the first such closing to occur. Any payment
15 on account of the Placo Malibu Lien shall be made directly from escrow to the Plan Trust and
16 such shall be considered Net Sale Proceeds and will be distributed in accordance with the
17 Distribution Waterfalls in Section VII.E.9. If the sale of the Malibu Properties closes after the
18 Effective Date, then the Net Sale Proceeds attributable to the Malibu Properties will be paid
19 directly from escrow to the Plan Trust.

20 **3. The Settlement and Release of Alleged Estate Claims Against Insiders**

21 The Plan represents a proposed settlement between the Debtor and his creditors. In
22 exchange for the consideration, value, and benefits provided under the Plan, including without
23 limitation, the voluntary subordination of Placo Investment's Allowed Secured Claim, the transfer
24 of the Placo Malibu Lien to the Plan Trust, and the Plan Trust's right to any Net Sale Proceeds
25 from the M+D Malibu Property (collectively, the "Settlement Consideration"), the Debtor is
26 receiving the benefits of the Plan, and upon the Effective Date, or if the sale of the Malibu
27 Properties closes after the Effective Date, then upon the Plan Trust's receipt of the Net Sale
28 Proceeds from the Malibu Properties, Eun Hee Chae, Leslie Chae, Estelle Chae, or any other

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1 relative of the Debtor, including, without limitation, in-laws (collectively, the "Released Parties"),
2 shall be deemed released and discharged, by the Debtor and the Estate, in each case, on behalf of
3 themselves and their respective successors, assigns, and representatives, and any and all persons
4 that may purport to assert any cause of action derivatively, by, through or on behalf of the Debtor
5 or the Estate, from any and all claims, obligations, suits, judgments, damages, demands, debts,
6 rights, causes of action, remedies, losses, and liabilities whatsoever, whether liquidated or
7 unliquidated, fixed or contingent, matured or unmatured, known or unknown, existing or
8 hereinafter arising, in law, equity, or otherwise, including, without limitation, pursuant to 11
9 U.S.C. §§ 544, 547, 548, 549, and/or 550 of the Bankruptcy Code and analogous non-bankruptcy
10 law, based on, relating to, or in any manner arising from, in whole or in part, the Debtor, the Case,
11 the Estate, the Sherwood Property, any alleged transfer of the Sherwood Property, any transfers
12 listed in the Debtor's Schedules and Statement of Financial Affairs, as amended, and any other
13 transfers received by the Released Parties or any of them to the extent such transfers are disclosed
14 in the Schedules, this Disclosure Statement, or the schedule attached hereto as Exhibit "10"
15 (collectively, the "Released Claims"). The Confirmation Order shall operate as a bar and
16 injunction against the commencement or pursuit of the Released Claims by any party against any
17 Released Parties.

18 The Plan constitutes a good faith settlement and compromise, including of the Released
19 Claims, in exchange for the Settlement Consideration.

20 Importantly, the Settlement Consideration by far exceeds any potential recovery on the
21 Released Claims, without considering the risk and cost of litigation. As detailed in Liquidation
22 Analysis attached hereto as Exhibit "2," assuming that the Sherwood Property was an asset of the
23 Estate, the estimated equity the Sherwood Property based on its liquidation value and after costs of
24 sale, capital gains taxes, and the Debtor's \$600,000 homestead exemption is approximately
25 \$567,825. The transfers to Estelle and Leslie over three years ago total \$880,025. Thus, these
26 alleged transfers collectively total at best \$1,447,850 (approximately .005% of the asserted
27 General Unsecured Claims) *without* factoring in any costs of litigation and assuming any litigation
28 is successful. Moreover, the Liquidation Analysis and Financial Statement indicate that the value

1 obtainable for the Holder of Allowed General Unsecured Claims from the forced liquidation of all
2 the Debtor's assets is zero.

3 In contrast, the Settlement Consideration is estimated to have a value of approximately
4 \$5,600,000 to the Plan Trust through the Placo Malibu Lien and the M+D Malibu Property,
5 neither of which are assets of the Estate. More specifically, the estimated going concern values of
6 the Debtor Malibu Property and the M+D Malibu Property are \$7,250,000 and \$1,500,000,
7 respectively, or \$8,750,000 combined.³ (See Exs. 1 and 2.) After payment of APSEC's Allowed
8 Secured Claim, the value remaining totals \$5,609,280.71 ($\$7,250,000 + \$1,500,000 = \$8,750,000$;
9 $\$8,750,000 - \$3,140,719.29 = \$5,609,280.71$). Absent the Plan and the Debtor's settlement offer
10 contained therein, this net value would be payable to non-debtor parties, *i.e.*, Placo Investments
11 and M+D Properties, and used for their respective operations and debts. Based on the significant
12 value to be paid under the Plan, the settlement embodied in the Plan is fair and equitable.

13 Because the claims asserted in the Post-Petition Shady Bird Sherwood Action are being
14 settled and released under the Plan (in addition to such action being filed in violation of the
15 automatic stay and, as such, void), upon the Effective Date, the Post-Petition Shady Bird
16 Sherwood Action, case number 21STCV37075, shall be dismissed with prejudice and the
17 Sherwood Lis Pendens shall be released and expunged. Upon and after the Effective Date, the
18 Debtor shall be empowered to take such action, file such pleadings, and record such instruments as
19 needed to cause the dismissal with prejudice of the Post-Petition Shady Bird Sherwood Action and
20 to expunge and release the Sherwood Lis Pendens.

21 **4. The Plan Trust**

22 **(a) Establishment of the Plan Trust**

23 The Plan Trust shall be established and shall become effective on the Effective Date. The
24 Plan Trust is created pursuant to the Plan and the Confirmation Order, and no separate trust
25 instrument shall be required. The sole purpose of the Plan Trust will be to hold, preserve, and
26 administer the Trust Assets and to make the Distributions required of it by the Plan. Each creditor
27

28 ³ This combined value is the midpoint of the range of \$8,500,000 to \$9,000,000 provided by the broker.

1 holding an Allowed General Unsecured Claim will receive in satisfaction, settlement, release, and
2 discharge of such Claim a Trust Interest on a *pro rata* basis based on such creditor's Allowed GUC
3 Distribution Amount. Holders of Allowed General Unsecured Claims will receive Plan
4 Distributions until their respective Allowed GUC Distribution Amounts are paid in full, the Trust
5 Assets are exhausted or abandoned, or the term of Plan Trust expires.

6 **5. The Trust Assets**

7 The Plan Trust will be funded with the Trust Assets. The Trust Assets are comprised of
8 the following:

- 9 1. New Direct-Owed Company Preferred Equity Interests (subject to Section VII.K.
10 below);
11 2. Any Net Sale Proceeds;
12 3. The Placo Malibu Lien;
13 4. The Net Cash on Hand; and
14 5. Any Avoidance Actions that are not Released Claims.

15 On the Effective Date, all Trust Assets (or the rights thereto) shall be deemed
16 automatically transferred to and vested in the Plan Trust free and clear of all Claims, liens,
17 encumbrances, or other interests (unless otherwise stated expressly in the Plan). Proceeds from
18 the Trust Assets, when realized, will be distributed by the Plan Trustee on Distribution Dates in
19 accordance with the Plan and the Distribution Waterfalls.

20 **6. The Term of the Plan Trust**

21 The initial term of the Plan Trust shall have an initial term of five (5) years (the "Initial
22 Term"); provided, however, that the term of the Plan Trust may be automatically extended once
23 for an additional five-year term by the Plan Trustee upon the filing of a notice by the Plan Trustee
24 prior to the expiration of the Initial Term and the Plan Trustee will service such notice on the
25 Reorganized Debtor's counsel. Thereafter, the term of the Plan Trust may be extended for a
26 further finite term upon a finding of "cause" by the Court. The Plan Trustee may seek such an
27 extension of the Plan Trust's term by motion filed by the expiration of the term to be extended.
28 The Reorganized Debtor shall have the right to oppose any such motion. The Plan Trust may be

1 terminated earlier than its scheduled termination if the Plan Trustee has completed all payments
2 required under the Plan, has paid any taxes, fees and penalties associated with the Plan Trustee's
3 administration of the Trust Assets, has administered all assets of the Plan Trust (or intends to
4 abandon assets no administered), and has performed all other duties required by the Plan. Upon
5 the termination of the Plan Trust, the Plan Trustee shall be discharged and exonerated and any
6 assets remaining in the Plan Trust shall revert in the Reorganized Debtor.

7 **7. The Plan Trustee**

8 **(a) Appointment**

9 The appointment of the Plan Trustee shall be effective as of the Effective Date. Bradley
10 Sharp of Development Specialists, Inc., shall be the initial Plan Trustee. The Plan Trustee may
11 resign upon sixty (60) days' advance written notice to the Reorganized Debtor so long as a
12 replacement trustee has been appointed. The Plan Trustee may be removed by order of the Court
13 for "cause."

14 The Plan Trustee shall act as a fiduciary and shall not be personally liable in connection
15 with the affairs of the Plan Trust or to any person except for such of the Plan Trustee's acts or
16 omissions that constitute fraud, willful misconduct, or gross negligence, as determined by a court
17 of competent jurisdiction. In addition, the Plan Trustee shall be indemnified by the Plan Trust
18 against and held harmless by the Plan Trust from any losses, claims, damages, liabilities, or
19 expenses (including without limitation, attorneys' fees, disbursements, and related expenses) to
20 which the Plan Trustee may become subject in connection with any action, suit proceeding, or
21 investigation brought or threatened against the Plan Trustee in connection with any matter arising
22 out of or related to the Plan Trust (other than in respect of acts or omissions that constitute fraud,
23 will misconduct, or gross negligence, as determined by a court of competent jurisdiction). The
24 Plan Trustee shall be entitled to obtain customary fiduciary and/or errors and omissions liability
25 insurance at the expense of the Plan Trust and engage independent legal counsel and financial
26 advisors to assist with its evaluation of any matters with respect to the Plan Trust as provided in
27 Section VII.E.7.c. below and at the expense of the Plan Trust.

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1 (b) **Term of the Plan Trustee**

2 Unless the Plan Trustee resigns, dies or is removed by Court order earlier, the Plan
3 Trustee's term shall expire upon termination of the Plan Trust pursuant to the Plan. In the event
4 the Plan Trustee resigns, dies or is removed by Court order prior to termination of the Plan Trust,
5 the Reorganized Debtor shall appoint a successor trustee. Upon the termination of the Plan Trust,
6 the Plan Trustee may destroy or otherwise dispose of the books and records of the Plan Trust.

7 (c) **The Plan Trustee's Powers and Duties**

8 On the Effective Date, the Plan Trustee shall have the rights, powers and duties set forth in
9 the Plan and the Confirmation Order. The Plan Trustee shall be governed in all things by the
10 terms of the Plan and the Confirmation Order and the Plan Trustee shall administer the Plan Trust
11 in accordance with the Plan. The Plan Trustee shall be authorized, empowered and directed to
12 take all actions necessary to comply with the Plan and exercise and fulfill the duties and
13 obligations arising thereunder, including, without limitation to:

- 14 a. Employ, retain, and replace one or more attorneys, accountants, auctioneers,
15 brokers, managers, consultants, other professionals, agents, investigators, expert
16 witnesses, consultants, and advisors as necessary to discharge the duties of the Plan
17 Trustee under the Plan and to pay such professionals their reasonable and necessary
18 fees and costs from the Trust Assets;
- 19 b. Open, maintain and administer bank accounts for Cash of the Plan Trust as
20 necessary to discharge the duties of the Plan Trustee under the Plan;
- 21 c. Make Distributions to the Holders of Allowed Claims in accordance with the Plan;
- 22 d. Administer or otherwise dispose of the Trust Assets held by the Plan Trust in
23 accordance with the terms of the Plan;
- 24 e. Incur and pay from the Trust Assets reasonable and necessary expenses in
25 connection with the performance of the Plan Trustee's duties under the Plan;
- 26 f. Represent the Plan Trust before the Court and other courts of competent
27 jurisdiction with respect to matters concerning the Plan Trust;
- 28

- g. Comply with applicable orders of the Court and any other court of competent jurisdiction over the matters set forth in the Plan;
- h. Comply with all applicable laws and regulations concerning the matters set forth in the Plan;
- i. Exercise such other powers as may be vested in the Plan Trust pursuant to the Plan, the Confirmation Order, or other Final Orders of the Court;
- j. Execute any documents, instruments, contracts, and agreements necessary and appropriate to carry out the powers and duties of the Plan Trust;
- k. Seek a determination of tax liability under § 505 of the Code, pay taxes, if any, related to the Plan Trust, and file, if necessary, any and all tax and information returns required with the respect to the Plan Trust, including, if appropriate, treating the Plan Trust as a "grantor trust" pursuant to Treas. Reg. 1.671-4 or otherwise, make tax elections by and on behalf of the Plan Trust, and pay taxes, if any, payable by the Plan Trust;
- l. To administer any Avoidance Actions (excluding the Released Claims), including to enforce, file, litigate, prosecute, settle and collect such Avoidance Actions; and
- m. Cause to be prepared and to file federal, state, and local tax returns related to the Plan Trust as necessary.

8. Trust Distributions

The Plan Trustee will make the Distributions to the Holders of Allowed Claims in accordance with the terms of the Plan. On a business day selected by the Plan Trustee within forty-five (45) days after the calendar quarter in which Distributable Proceeds are received by the Plan Trust (a "Distribution Date"), the Plan Trustee shall distribute such Distributable Proceeds in accordance with the Distribution Waterfalls set forth in Section VII.E.9. below. The Plan Trustee shall not be required to make more than one Distribution per calendar quarter. The Plan Trustee may delay or defer the Distribution of any Distributable Proceeds received by the Plan Trustee if the Plan Trustee determines that such deferral or delay is in the best interests of the Holders of Trust Interests. All Distributions to the Holders of Allowed General Unsecured Claims shall be

from the Plan Trust. Persons dealing with the Plan Trustee, or seeking to assert Claims against the Debtor, the Reorganized Debtor, the Estate, or the Plan Trust, shall look only to property of the Plan Trust to satisfy any liability to such Persons, and the Plan Trustee shall have no personal or individual obligation to satisfy any such liability.

9. The Distribution Waterfalls

**(a) Distributable Proceeds Excluding Distributions on Account of
New Direct-Owed Company Preferred Equity Interests**

Any Net Cash on Hand, Net Sale Proceeds, and/or proceeds on account of the Placo Malibu Lien received by the Plan Trust shall be distributed by the Plan Trustee on a Distribution Date in the following order of priority:

1. To the Holders of Allowed Administrative Expense Claims on a *pro rata* basis until such claims are paid in full;
2. To the Holders of Allowed Priority Claims (in the order set forth in the Bankruptcy Code) on a *pro rata* basis until such claims are paid in full such Trust Assets have been exhausted;
3. To pay or reserve for the reasonable fees and costs of the Plan Trustee and the Plan Trustee's professionals and all fees payable under section 1930 of chapter 123 of title 28 of the United States Code; and
4. To holders of Allowed GUC Distribution Amounts (subject to any reserves for Disputed Claims) until such Holders have received aggregate Distributions equal to the full amount of such Holders' Allowed GUC Distribution Amounts or such Trust Assets have been exhausted.

**(b) Distributions on Account of the New Direct-Owed Company
Preferred Equity Interests**

Any Distributable Proceeds (excluding Cash on Hand, Net Sale Proceeds, and proceeds on account of the Placo Malibu Lien) received by the Plan Trust shall be distributed by the Plan Trustee on a Distribution Date in the following order of priority:

1. To the Holders of Allowed Administrative Expense Claims on a *pro rata* basis until such claims are paid in full;
2. To the Holders of Allowed Priority Claims (in the order set forth in the Bankruptcy Code) on a *pro rata* basis until such claims are paid in full or such Trust Assets have been exhausted;
3. To pay or reserve for the reasonable fees and costs of the Plan Trustee and the Plan Trustee's professionals and all fees payable under section 1930 of chapter 123 of title 28 of the United States Code;
4. Allocated 100% to holders of Allowed GUC Distribution Amounts (subject to any reserves for Disputed Claims) until the Holders of Allowed GUC Distribution Amounts have received aggregate Trust Distributions equal to 25% of the Allowed Debt Claim Distribution Amounts or such Trust Assets have been exhausted;
5. Allocated (a) 95% to holders of Allowed GUC Distribution Amounts (subject to any reserves for Disputed Claims), and (b) 5% to the Reorganized Debtor until the Holders of the Allowed GUC Distribution Amounts have received aggregate Trust Distributions pursuant to this clause equal to 35% of the Allowed Debt Claim Distribution Amounts or such Trust Assets have been exhausted;
6. Allocated (a) 80% to holders of Allowed GUC Distribution Amounts (subject to any reserves for Disputed Claims), and (b) 20% to the Reorganized Debtor until the Holders of the Allowed GUC Distribution Amounts have received aggregate Trust Distributions pursuant to this clause equal to 50% of the Allowed Debt Claim Distribution Amounts or such Trust Assets have been exhausted; and
7. Allocated (a) 50% to holders of Allowed GUC Distribution Amounts (subject to any reserves for Disputed Claims), and (b) 50% to the Reorganized Debtor until the Holders of the Allowed GUC Distribution Amounts have received aggregate Trust Distributions pursuant to this clause equal to the full amount of such Holders' Allowed GUC Distribution Amounts or such Trust Assets have been exhausted.

1 The priority of distribution of Distributable Proceeds set forth in these Sections VII.E.9.a.
2 and VII.E.9.b. shall be referred to collectively herein as the "Distribution Waterfalls."

3 Nothing in the Plan prevents the right of the Reorganized Debtor, in his sole discretion, to
4 reach an agreement with any Holder of Trust Interests to eliminate, settle, or release or acquire
5 such Trust Interests.

6 **10. Federal Income and Taxation of the Plan Trust**

7 For federal income tax purposes, the Plan Trust is a "liquidating trust" within the meaning
8 of Treasury Income Tax Regulation Section 301.7701-4(d) and IRS Revenue Procedure 94-45,
9 1994-2 C.B. 124. The transfer of assets to the Plan Trust under the Plan is treated as a deemed
10 transfer to the persons entitled to receive Distributions from the Plan Trust followed by a deemed
11 transfer of assets by such persons to the Plan Trust. The persons entitled to receive Distributions
12 under the Plan will be deemed the grantors and owners of the Plan Trust and its assets. The Plan
13 Trust will be taxed as a "grantor trust" within the meaning of IRC Sections 671-677 (a non-taxable
14 pass-through tax entity) owned by the persons entitled to receive Distributions under the Plan.
15 The Plan Trust will file federal income tax returns as a grantor trust under IRC Section 671 and
16 Treasury Income Tax Regulation Section 1.671-4 and report, but not pay tax on, the Plan Trust's
17 tax items of income, gain, loss deductions, and credits ("Tax Items"). The persons entitled to
18 receive Distributions under the Plan will report such Tax Items on their federal income tax returns
19 and pay any resulting federal income tax liability. The Plan Trust and the persons entitled to
20 receive Distributions under the Plan will use consistent valuations of the assets transferred to the
21 Plan Trust for all federal income tax purposes, such valuations to be determined by the Plan
22 Trustee. The taxation of the Plan Trust does not alter the Reorganized Debtor's obligations to file
23 appropriate tax returns and pay taxes.

24 **11. Beneficiaries of the Plan Trust**

25 The Holders of Allowed Unsecured Claims under the Plan, or any successors to such
26 Holders' Allowed Unsecured Claims ("Beneficiary" or "Beneficiaries") shall own a beneficial
27 interest in the Plan Trust as otherwise set forth in the Plan and shall, subject to the Plan, be entitled
28 to a Distribution, if any, in the amounts, and at the times, set forth in the Plan. Ownership of a

beneficial interest in the Plan Trust shall not be evidenced by any certificate, security, or receipt or in any other form or manner whatsoever, except as maintained on the books and records of the Plan Trust by the Plan Trustee. The ownership of a beneficial interest in the Plan Trust shall not entitle any Beneficiary to any title in or to the Trust Assets or to any right to call for a partition or division of the Trust Assets or to require an accounting. The Plan Trustee shall make Distributions, if any, to the Beneficiaries in the manner provided in the Plan. The rights of the Beneficiaries arising under the Plan Trust may be deemed "securities" under applicable law. However, such rights have not been defined as "securities" under the Plan because (a) the intent of the Plan is that such rights shall not be securities, and (b) if the rights arising under the Plan Trust are deemed to be "securities," the exemption from registration under § 1145 of the Bankruptcy Code is intended to be applicable to such securities.

F. Reporting to the Plan Trust

The Reorganized Debtor shall cause to be prepared and distributed to the Plan Trustee, on each anniversary of the Effective Date and until the Plan Trust is terminated, a balance sheet, income statement, and cash flow statement for the Direct-Owned Companies and each Subject Company. The Debtor shall also respond to reasonable requests for information regarding the finances of the Direct-Owned Companies or of a Subject Company from the Plan Trustee.

G. Retention of Professionals and Fees and Expenses

On or after the Effective Date, the Plan Trustee and the Reorganized Debtor may, without further application or Motion, notice, hearing, or Court order, engage or employ such professionals and experts as they deem necessary and appropriate to assist in carrying out their respective rights or duties under the Plan. Such professionals and experts may be employed on any reasonable terms and conditions of employment to be determined by the Plan Trustee or the Reorganized Debtor, as the case may be. For the services performed on and after the Effective Date, the professionals engaged by the Plan Trustee (the "Plan Trustee Professionals") or by the Reorganized Debtor (the "Post-Confirmation Chae Professionals") shall receive reasonable compensation and reimbursement of expenses in a manner to be determined by the Plan Trustee or the Reorganized Debtor, respectively.

1 The Plan Trustee, the Plan Trustee Professionals, and the Post-Confirmation Chae
2 Professionals shall be entitled to reasonable compensation for their services and reimbursement for
3 expenses. The Plan Trustee shall be paid on an hourly basis at the Plan Trustee's customary
4 hourly rate. The Plan Trustee shall be authorized, without further order, notice, or application to
5 the Court, to pay his or her reasonable fees and actual expenses and the reasonable fees and actual
6 expenses of any Plan Trustee Professionals and such all reasonable fees and actual expenses shall
7 be paid solely from the Trust Assets. The Plan Trustee shall be authorized to reserve funds from
8 the Trust Assets as is reasonable to pay the expenses and fees of the Plan Trustee and the Plan
9 Trustee Professionals before making any Distributions under the Plan to the Holders of Allowed
10 General Unsecured Claims. The sole source of payment for the Plan Trustee and the Plan Trustee
11 Professionals shall be the assets of the Plan Trust. The Reorganized Debtor shall pay, without
12 further order, notice, or application to the Court, the reasonable fees and actual expenses of any
13 Post-Confirmation Chae Professionals.

14 **H. The Plan Trustee as Disbursing Agent**

15 The Plan Trustee shall serve as the disbursing agent under the Plan and, as set forth above
16 in Section VII.E.1. and VII.E.8 through VII.E.9., shall be responsible paying any Allowed
17 Administrative Claims or Allowed Priority Claims not paid on the Effective Date and making all
18 Distributions to the Holders of Allowed Unsecured Claims required under the Plan.

19 **I. Bond**

20 The Plan Trustee shall not be required to post a bond or surety or other security for the
21 performance of his or her duties under the Plan. The Reorganized Debtor shall not be required to
22 post a bond or surety or other security for the performance of his duties under the Plan.

23 **J. Release of Liens**

24 Except as otherwise expressly provided in the Plan for the Holders of Allowed Claims in
25 Classes 1, 2, 3, 4, 5, and 6, or the Confirmation Order, or in any document, instrument or other
26 agreement created in connection with the Plan, on the Effective Date, all mortgages, deeds of trust,
27 liens, or other security interests in or against property of the Estate shall be released. The Plan
28 Trustee and the Reorganized Debtor shall be empowered to file such pleadings and/or record such

documents or instruments as necessary to eliminate, expunge or release such liens from their respective assets.

K. Post-Confirmation Ownership and Management of Subsidiaries

1. Ownership

Upon the Effective Date, all equity in the Direct-Owned Companies shall be cancelled and extinguished. The Plan Trust will be issued the New Direct-Owned Company Preferred Equity Interests and the Reorganized Debtor will receive and be issued 100% of the common ownership in the Direct-Owned Companies. The Reorganized Debtor, the Direct-Owned Companies, and the Plan Trustee shall prepare amended and restated operating agreements for each of the Direct-Owned Companies to, among other things, admit the Debtor as the new common owner and the Plan Trust as a new preferred member, and such agreements shall have the following material terms:

1. The Plan Trust will be admitted as the sole Preferred Equity Member;
2. The Plan Trust's New Direct-Owned Company Preferred Equity Interests shall be redeemed upon the earlier of the payment of the Allowed GUC Distribution Amounts in full or the termination of the Plan Trust;
3. The Reorganized Debtor will be admitted as the sole Common Equity Member;
4. The Reorganized Debtor shall not receive any distribution on account of being a Common Equity Member until and unless the Plan Trust's New Direct-Owned Company Preferred Equity Interests are redeemed; provided, however, that such restriction shall not apply to (i) amounts that the Reorganized Debtor is entitled to receive from the Plan Trust under the Distribution Waterfalls as set forth in Section VII.E.9. or (ii) ordinary course compensation from any company of the Debtor for services performed by the Reorganized Debtor;
5. On each Annual Distribution Date, the Reorganized Debtor shall distribute, or cause to be distributed, to the Plan Trust any Excess Free Cash Flow or Excess Capital Transaction Cash;

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- 1 6. The Reorganized Debtor shall consult with the Plan Trustee regarding the
- 2 calculation of Excess Free Cash Flow or Excess Capital Transaction Cash in
- 3 accordance with the Plan;
- 4 7. The Reorganized Debtor shall not be required to make, or cause the Direct-Owned
- 5 Companies, to make any distribution of Excess Free Cash Flow or Excess Capital
- 6 Transaction Cash if and to the extent that such distribution would violate applicable
- 7 law or any term or covenant in any loan document of any Direct-Owned Company
- 8 or any Subject Company;
- 9 8. The Plan Trustee shall not be permitted to transfer, sell, assign, or encumber the
- 10 New Direct-Owned Company Preferred Equity Interests pending redemption of the
- 11 New Direct-Owned Company Preferred Equity Interests;
- 12 9. The Debtor shall not be permitted to transfer, sell, assign, or encumber his new
- 13 common interests in the Direct-Owned Companies without the prior written
- 14 consent of the Plan Trustee pending redemption of the New Direct-Owned
- 15 Company Preferred Equity Interests; and
- 16 10. No member shall be required to make any capital contributions.
- 17 The issuance of the New Directly Owned Company Preferred Equity Interests is meant to
- 18 capture and provide to the Plan Trust the economic value of 100% of the equity in the Direct-
- 19 Owned Companies. The issuance and transfer of the New Directly Owned Company Preferred
- 20 Equity Interests to the Plan Trust will be documented in a commercially reasonable manner and so
- 21 as to not impede the ability the Direct-Owned Companies or any subsidiaries thereof to refinance
- 22 or sell their real estate projects or other property and create value for the Plan Trust. The New
- 23 Direct-Owned Company Preferred Equity Interests granted to and held by the Plan Trust will be
- 24 passive, non-voting interests and the Plan Trust will have only the right to receive distributions on
- 25 account of such interests as provided herein and will not have the right to vote or exercise any
- 26 other rights incident to ownership. For abundance of caution and purposes of clarity, the New
- 27 Directly Owned Company Preferred Equity Interests are interests in the Direct-Owned Companies
- 28 and are not an interest in any real estate of such companies or their subsidiaries.

1 **2. Management**

2 The Debtor will continue to be the Manager and to manage the Direct-Owned Companies,
3 the subsidiaries of the Direct-Owned Companies, and their respective operations and real estate
4 projects as is currently the case; provided, however, that any Major Decision shall require the prior
5 written consent of the Plan Trustee until the New Directly Owned Company Preferred Equity
6 Interests are redeemed. As used herein, the term "Major Decision" means any of the following by
7 a Subject Company:

- 8 1. The sale, transfer, or encumbrance of substantially all of the assets or of the real
9 property of a Subject Company;
- 10 2. The merger or consolidation of a Subject Company with any other person; and
- 11 3. The (a) incurrence of debt secured by assets of a Subject Company or (b) receipt of
12 new investment requiring the issuance of new shares or units by a Subject
13 Company outside the ordinary course of business and in an amount of \$500,000 or
14 more.

15 If the Plan Trustee does not consent to a Major Decision, then the Reorganized Debtor may
16 seek approval of such Major Decision by the Bankruptcy Court.

17 **L. Risk Factors**

18 Performance of the obligations under the Plan are subject to various factors and
19 contingencies, some of which are described in this section. The following discussion summarizes
20 some of the material risks associated with the Plan but is not intended to be exhaustive. Moreover,
21 it should be read in connection with the other disclosures contained in this Disclosure Statement
22 and the Plan. Each creditor, in conjunction with its advisors, should supplement the following
23 discussion by analyzing and evaluating the Plan and the Disclosure Statement as a whole. THE
24 RISKS ASSOCIATED WITH THE PLAN MUST BE CAREFULLY CONSIDERED IN
25 DETERMINING WHETHER TO ACCEPT THE PLAN.

26 The Distributions proposed to creditors under the Plan are largely dependent upon the sale
27 of the Malibu Properties and the realization of value on account of the Debtor's ownership of the
28 Direct-Owned Companies. As detailed in Sections II.B.3 to II.B.5 herein, between this Estate and

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1 the real estate projects owned by companies of the Debtor are significant secured and other debt
2 and preferred equity investments that must be paid in full (or otherwise in accordance with their
3 terms) before any proceeds can be distributed to this Estate on account of the Debtor's ownership
4 interests in the Direct-Owned Companies. (*See, e.g.,* Ex. 3, the Financial Statement.) For
5 example, the debts and preferred equity investments associated with TSB (approximately
6 \$225,896,015.90) exceed the current estimated value of TSB's assets, primarily, The Source
7 (\$143,240,000). (*See, supra*, Section II.B.5.b.i.) There is a risk that, for all of the Debtor's
8 companies, value in excess of such debt and preferred investments will not be realized in the
9 future. There is a risk that a creditor secured by real estate owned by a company of the Debtor
10 forecloses, as happened with respect to TSH's leasehold interest of the Hotel, or otherwise seeks to
11 collect from its collateral.

12 Certain of the real estate owned by entities in which the Debtor holds an interest (directly
13 or indirectly) is raw land and construction financing must be secured to complete development.
14 For example, 3100 E. Imperial and TSTR each own undeveloped parcels, PMR and the TSTR
15 Property, respectively. The value of such real estate currently does not exceed the debt of the
16 entities that own it, leaving no value for the Estate on account of the Debtor's ownership. (*See* Ex.
17 "3," the Financial Statement). There is the risk that the necessary construction financing will not
18 be available or obtained or that such real estate cannot be developed as planned.

19 Much of the real property (whether owned by the Debtor directly or by a company of the
20 Debtor) was purchased at lower prices and value was created through the Debtor's development of
21 such properties and/or improvements in the market. Thus, as reflected in the Liquidation Analysis
22 attached hereto Exhibit "2," the sale of the real property is expected to result in capital gains taxes
23 that would reduce any potential net sale proceeds.

24 A significant portion of the value to be paid under the Plan is to be obtained from the
25 Malibu Properties. The Malibu Properties consist of raw land, making them more challenging
26 than other real property to sell. For this reason, and due to the size and value of the properties, the
27 sale of the Malibu Properties has always been expected to be a multi-month process. The Malibu
28 Properties have been listed for approximately 8 months. It appears that the Malibu Properties'

1 original list price was too high. Also, market conditions have worsened during the period that the
2 Malibu Properties have been listed for sale. The real estate market is currently volatile and
3 interest rates have been rising, which could impact the ability to sell any real estate, including the
4 Malibu Properties. The APSEC Stipulation has terminated. APSEC could seek to foreclose on
5 the M+D Malibu Property and stay relief to foreclose on the Debtor Malibu Property. However,
6 the Debtor expects that the Malibu Properties can be sold for an amount greater than APSEC's
7 debt, resulting in substantial net proceeds for the Estate. (*See* Ex. 1.)

8 **M. Provisions Governing Distributions**

9 **1. Dates of Distributions**

10 Effective Date Payments shall be deemed timely made if made as soon as practicable after
11 the Effective Date, but, in any event, within fifteen (15) days of the Effective Date. All other
12 payments shall occur as set forth in the Plan.

13 **2. Manner of Distribution**

14 Monetary Distributions payments under the Plan may be made by (i) wire transfers from,
15 or (ii) a check drawn on a domestic bank, at the option of the Reorganized Debtor or the Plan
16 Trustee, whomever is to make, or cause to be made, the Distribution or payment in question as
17 provided in the Plan.

18 **3. Delivery of Distribution in General**

19 Distributions to the Holders of Allowed Claims shall be made, (a) at the addresses set forth
20 on the Proof of Claim filed by such Holders, (b) at the addresses reflected in the Schedules if no
21 Proof of Claim has been filed, or (c) in the case of a Holder of a Claim that is governed by an
22 agreement and is administered by an agent or servicer, at the address (i) set forth on any Proof of
23 Claim filed by the agent or servicer, (ii) in the Schedules for the agent or servicer if no Proof of
24 Claim has been filed, or (iii) contained in the official records of such agent or servicer. Holders of
25 Claims may change the address to which Distributions will be sent by filing a written change of
26 address with the Court and serving a copy of the change of address on the Plan Trustee and the
27 Reorganized Debtor.
28

1 If a Distribution to a Holder of an Allowed Claim is returned to the Plan Trustee or the
2 Reorganized Debtor, whomever made such Distribution, as undeliverable or otherwise unclaimed
3 ("Undeliverable Distribution"), the Plan Trustee and the Reorganized Debtor shall make no further
4 Distributions to such Holder unless and until the Plan Trustee and the Reorganized Debtor are
5 notified in writing of such Holder's then-current address, at which time all Undeliverable
6 Distributions shall be made to such Holder without interest. All Undeliverable Distributions shall
7 be retained by the Plan Trustee or the Reorganized Debtor (whomever made such Undeliverable
8 Distributions) until such Undeliverable Distributions are claimed or are forfeited. In the case of
9 Cash, the Plan Trustee or the Reorganized Debtor, as the case may be, shall hold returned
10 Undeliverable Distributions in a segregated interest-bearing account for Undeliverable
11 Distributions until such Undeliverable Distributions are claimed or are forfeited. Nothing
12 contained in the Plan shall require the Plan Trustee, the Reorganized Debtor, or anyone else, to
13 attempt to locate the intended recipient of an Undeliverable Distribution.

14 Any Holder of an Allowed Claim that does not present itself within six (6) months of the
15 Distribution date upon which the Undeliverable Distribution was made shall be deemed to have
16 forfeited its right or Claim to or interest in the Undeliverable Distribution and shall be forever
17 barred and enjoined from asserting any Claim for the Undeliverable Distribution against the
18 Reorganized Debtor, the Estate, the Plan Trustee, the Plan Trust, and their respective agents,
19 attorneys, representatives, employees or independent contractors, and/or any of its or their
20 property. In such cases, the Undeliverable Distribution and accrued interest thereon shall become
21 property of the Plan Trust or the Reorganized Debtor (whomever made the Undeliverable
22 Distribution) free and clear of any restrictions thereon and notwithstanding any federal or state
23 escheat laws to the contrary and shall be distributed in accordance with the terms of this Plan.

24 **4. Rounding of Payments**

25 The Plan Trustee and the Reorganized Debtor shall not be required to make Distributions
26 or payments of fractions of dollars. Whenever any payment of a fraction of a dollar under this
27 Plan would otherwise be called for, the actual payment may reflect a rounding of such fraction to
28 the nearest whole dollar (up or down), with half dollars being rounded down.

1 **5. Interest on Claims**

2 Unless otherwise specifically provided for in the Plan, post-petition interest shall not
3 accrue or be paid on any Claims, and no Holder of a Claim shall be entitled to interest accruing on
4 or after the Petition Date on any Claim.

5 **6. Compliance with Tax Requirements**

6 In connection with this Plan and Distributions under this Plan, the Plan Trustee shall, to the
7 extent applicable, comply with all tax withholding, payment and reporting requirements imposed
8 by federal, state, or local taxing authorities. The Plan Trustee shall be authorized to take any and
9 all actions that may be necessary or appropriate to comply with such withholding, payment, and
10 reporting requirements. All amounts properly withheld from Distributions to a Holder of a Claim
11 as required by applicable law and paid over to the applicable taxing authority for the account of
12 such Holder shall be treated as part of the Distributions to such Holder. All persons holding
13 Claims shall be required to provide any information necessary to effect information reporting and
14 withholding of such taxes. If such information has not been received by the Plan Trustee, then the
15 Plan Trustee may, at its option, withhold the amount required and distribute the balance to such
16 Holder or decline to make the Distribution until the information is received.

17 Notwithstanding any other provision of the Plan, (a) each Holder of an Allowed Claim that
18 is to receive a Distribution pursuant to this Plan shall have sole and exclusive responsibility for the
19 satisfaction and payment of any tax obligations imposed by any governmental unit, including
20 income, withholding, and other tax obligations, on account of such Distribution, and (b) no
21 Distribution shall be made to or on behalf of such Holder pursuant to the Plan unless and until
22 such Holder has made arrangements satisfactory to the Plan Trustee, for the payment and
23 satisfaction of such withholding tax obligations or such tax obligation that would be imposed upon
24 the Plan Trustee in connection with such Distribution. Any property to be distributed pursuant to
25 the Plan shall, pending implementation of such arrangements, be treated as an Undeliverable
26 Distribution.

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1 **7. De Minimis Distributions**

2 The Plan Trustee and the Reorganized Debtor shall not have any obligation to make a
3 Distribution on account of an Allowed Claim if the amount to be distributed to the specific Holder
4 of the Allowed Claim on a Distribution Date is for an amount of \$5.00 or less, and may, at the
5 option of the Plan Trustee or the Reorganized Debtor, whomever is making the Distribution in
6 question, either add the Distribution to the next Distribution if the collective amount would be
7 greater than \$5.00, or treat the Distribution as an Undeliverable Distribution.

8 **8. Setoffs**

9 Except as otherwise provided in the Plan, the Plan Trustee and the Reorganized Debtor
10 may, pursuant to 11 U.S.C. § 553 or applicable non-bankruptcy law, but shall not be required to,
11 set off against any Allowed Claim and the Distribution to be made by them pursuant to the Plan on
12 account of such Allowed Claim any account stated, Claim, right, or Cause of Action which the
13 Debtor or the Estate possess against the Holder of such Allowed Claim; provided, however, that
14 neither the failure to effect such a setoff nor the allowance of any Claim shall constitute a waiver
15 or release by the Plan Trustee or the Reorganized Debtor of any such account, Claim, right, and
16 Cause of Action that the Debtor or the Estate may possess against the Holder of such Allowed
17 Claim.

18 **9. Limitation on Liability**

19 The Plan Trustee, the Debtor, the Reorganized Debtor and any of their respective
20 employees, members, officers, directors, shareholders, agents, or professionals shall not be liable
21 for (i) any acts or omissions, except for willful misconduct, in connection with implementing the
22 Distribution provisions of the Plan and the making or withholding of Distributions under the Plan,
23 or (ii) any change in the value of Distributions made under the Plan resulting from any delays in
24 making such Distributions in accordance with the terms of the Plan (including, but not limited to,
25 any delays caused by the resolution of Disputed Claims).

N. Other Provisions of the Plan

1. Claim Objections and Disputed Claims

THE CLAIM BAR DATE FOR FILING A PROOF OF CLAIM IN THIS CASE BY CLAIMANTS WHOSE CLAIMS WERE NOT SCHEDULED OR WERE SCHEDULED AS DISPUTED, CONTINGENT OR UNLIQUIDATED WAS FEBRUARY 10, 2022 .

(a) Standing

On the Effective Date, the Reorganized Debtor, the Plan Trustee, and any other party-in-interest shall have standing to file objections to Claims. An objection to any Claim, whether based on the Schedules or any proof of claim, may be filed after the Effective Date by such parties and there is no deadline after the Effective Date to file objections to Claims. The Reorganized Debtor may settle or compromise any Disputed Claim without approval or order of the Court, notice, or hearing. The Reorganized Debtor shall be deemed the real party in interest in any objections to Claims commenced prior to or after the Effective Date.

(b) No Distribution Pending Allowance

Notwithstanding any other provision of the Plan, no payments or Distributions shall be made with respect to all or any portion of a Disputed Claim unless and until all objections to such Disputed Claim have been settled or withdrawn or have been determined by Final Order, and the Disputed Claim, or some portion thereof, has become an Allowed Claim.

(c) Reserves for Disputed Claims

In the event that Disputed Claims are pending at the time of a Distribution under the Plan, the Plan Trustee shall establish and maintain a reserve for such Disputed Claims. For purposes of establishing a reserve for all Disputed Claims as otherwise required herein (excluding Contingent Claims), Cash will be set aside equal to the amount that would have been distributed to the Holders of the Disputed Claims had the Disputed Claims been Allowed on the date a Distribution is made to the Holders of Allowed Claims in the same Class or of the same priority as the Disputed Claims. For purposes of establishing a reserve for any Contingent Claim, Cash will be set aside equal to the amount that would have been distributed to the Holder of such Contingent Claim had such Contingent Claim been Allowed at five percent (5%) of the amount reflected in

1 the Proof of Claim filed by the Holder of such Contingent Claim, or in the Schedules if no Proof
2 of Claim has been filed, on the date a Distribution is made to the Holders of Allowed Claims in
3 the same Class or of the same priority as such Contingent Claim. If a Disputed Claim ultimately
4 becomes an Allowed Claim, the amount of Cash reserved for that Disputed Claim shall be
5 distributed on the earlier of: (a) the Distribution Date following the date when the Disputed Claim
6 becomes an Allowed Claim, or (b) ninety (90) days after such Disputed Claim becomes an
7 Allowed Claim. Any reserved Cash not ultimately distributed to the Holder of a Disputed Claim
8 because the Disputed Claim does not become an Allowed Claim shall become property of the Plan
9 Trust and shall be re-distributed in accordance with the terms of the Plan.

10 Absent further order of the Court, if and to the extent that a Contingent Claim does not
11 become an Allowed Claim by the one year anniversary of the Effective Date, then such Claim
12 shall be considered a Disallowed Claim and any Cash reserved on account of such Claim shall
13 become property of the Plan Trust and shall be re-distributed in accordance with the terms of the
14 Plan and the Holder of such Contingent Claim shall not be entitled to any further Distributions
15 under the Plan.

16 The Plan Trustee, the Reorganized Debtor, and any party-in-interest shall have the ability
17 to file a motion pursuant to 11 U.S.C. § 502I to seek an order of the Court estimating and
18 establishing the reserve for a Disputed Claim that is different than required by the Plan.

19 **2. Claims Paid By Third Parties**

20 To the extent that the Holder of a Claim receives an Other Distribution (before or after the
21 Effective Date) on account of such Claim, (i) the Holder of such Claim shall be required to, within
22 thirty (30) days of the receipt of such Other Distribution, file an amended Proof of Claim
23 reflecting a reduction of such Claim in the amount of such Other Distribution, and (ii) whether or
24 not such amended Proof of Claim is filed, such Claim shall be deemed disallowed and reduced in
25 the amount of such Other Distribution as of the Holder's receipt of such Other Distribution without
26 an objection having to be filed and without any further notice, action, order, or approval by the
27 Court.
28

1 **3. Executor Contracts and Unexpired Leases**

2 **(a) Assumption and Assignment**

3 The Debtor did not have any executory contracts or unexpired leases of the Petition Date.
4 If and to the extent that an insurance policy of the Debtor (including the Life Insurance Policies) is
5 considered or determined to be an executory contracts, then such insurance policy shall be
6 deemed, upon the Effective Date, assumed by the Debtor and assigned to the Reorganized Debtor
7 if necessary to continue such insurance policies in full force pursuant to § 365 of the Bankruptcy
8 Code without the payment of any cure amount under § 365 and shall continue in full force and
9 effect. Other than as provided in the preceding sentence, no executory contracts or unexpired
10 leases are to be assumed by the Plan.

11 **(b) Rejections**

12 On the Effective Date, except as expressly provided in Section VII.N.3. above, the Debtor
13 will be deemed to have rejected any and all executory contracts and unexpired leases not
14 previously assumed by order of this Court or identified as being expressly assumed under this
15 Plan. The Confirmation Order will constitute a Court order approving the rejection, as of the
16 Effective Date, of such executory contracts and unexpired leases. Any Claim for damages arising
17 from the rejection under the Plan of any executory contract or unexpired lease must be Filed with
18 the Court and served upon the Debtor and his counsel within thirty (30) days of the later of (a) the
19 Confirmation Date, and (b) the Debtor's amendment of the Plan to eliminate the executory contract
20 or unexpired lease. Any such damage Claims that are not timely Filed and served will be forever
21 barred and unenforceable against the Debtor, the Estate, the Plan Trust, the Plan Trustee and their
22 respective property. Persons holding these Claims who fail to timely File Claims will be barred
23 from receiving any Distributions under the Plan on account of their requested damage Claims.

24 IF YOU ARE A PARTY TO A LEASE OR CONTRACT TO BE REJECTED AND YOU
25 OBJECT TO THE REJECTION OF YOUR LEASE OR CONTRACT, THEN YOU MUST FILE
26 AND SERVE YOUR OBJECTION WITHIN THE DEADLINE FOR OBJECTING TO THE
27 CONFIRMATION OF THE PLAN.
28

O. Changes in Rates Subject to Regulatory Commission Approval

The Debtor is an individual and 11 U.S.C. § 1129(a)(6) is not applicable.

P. Preservation of Causes of Action and Avoidance Actions

Any Avoidance Actions (excluding the Released Claims) reserves for, and shall be vested in on the Effective Date, the Plan Trustee and, upon and after the Effective Date, the Plan Trustee shall have all rights to commence and pursue, as appropriate, any and all such Avoidance Actions, whether arising prior to or after the Petition Date, in any court or other tribunal. On the Effective Date, the Plan Trustee is vested with authority to enforce, file, litigate, prosecute, settle and collect any Avoidance Actions (excluding the Released Claims), although the Plan Trustee will not be required to do so. With respect to any Avoidance Action commenced prior to the Effective Date by the Debtor, the Plan Trustee shall stand in the shoes of the Debtor as the real party in interest.

With the exception of the Released Claims and the Avoidance Actions, the Plan reserves for the Reorganized Debtor all rights to commence and pursue, as appropriate, any and all other Estate Claims, whether arising prior to or after the Petition Date, in any court or other tribunal. On the Effective Date, the Reorganized Debtor is vested with authority to enforce, file, litigate, prosecute, settle and collect any Estate Claims (excluding the Avoidance Actions and Released Claims), although the Reorganized Debtor will not be required to do so. With respect to any Estate Claim commenced prior to the Effective Date to which the Debtor is a party, the Reorganized Debtor shall stand in the shoes of the Debtor as the real party in interest. The Estate Claims reserved for the Reorganized Debtor under the Plan specifically include any and all claims of the Debtor against Ed Choi and other parties based or arising from the facts set forth in Section II.C. concerning TSH and Shady Bird's acquisition of Evertrust's loan and subsequent collection efforts.

While the Debtor has attempted to identify Estate Claims in the Disclosure Statement which may be pursued, and hereby incorporate by reference those disclosures and provisions, the failure to list any potential Estate Claim or defendant, generally or specifically, is not intended to limit the rights of the Reorganized Debtor to pursue any Estate Claim. Unless an Estate Claim against any Person is expressly waived, relinquished, released, compromised or settled as provided

1 or identified in the Plan (as with the Released Claims), any Confirmation Order or prior
2 Bankruptcy Court order, the Debtor expressly reserves Estate Claims for later adjudication.
3 Therefore, no preclusion doctrine, including, without limitation, the doctrine of res judicata,
4 collateral estoppel, issue preclusion, claim preclusion, estoppel (judicial, equitable or otherwise) or
5 laches shall apply to any Estate Claim upon or after Confirmation or consummation of the Plan.

6 All Estate Claims are preserved under the Plan for the benefit of the Reorganized Debtor
7 (excluding Avoidance Actions and the Released Claims). The Reorganized Debtor may settle or
8 compromise any Estate Claims (other than the Avoidance Actions) without further notice, motion,
9 or order of the Bankruptcy Court. The Plan Trustee may settle or compromise any Avoidance
10 Actions (excluding Released Claims) without further notice, motion, or order of the Bankruptcy
11 Court. Notwithstanding anything in this Section VII.P. to the contrary, the Released Claims are
12 released as provided in Section VII.E.3.

13 ANY CREDITORS THAT BELIEVE THEY RECEIVED A TRANSFER OR SETOFF
14 THAT IS AVOIDABLE UNDER THE CODE OR THAT HOLD A CLAIM AGAINST THE
15 ESTATE THAT COULD BE SUBJECT TO AN OBJECTION BASED UPON FAILURE TO
16 RETURN AN AVOIDABLE TRANSFER OR SETOFF, ARE DIRECTED TO REVIEW THEIR
17 RECORDS AND/OR THE DEBTORS' SCHEDULES FOR FURTHER INFORMATION.
18 HOWEVER, ALL RIGHTS OF THE DEBTOR AND THE ESTATE ARE RESERVED WITH
19 RESPECT TO ANY AND ALL TRANSFERS OR SETOFFS WHICH MAY BE AVOIDABLE
20 UNDER THE BANKRUPTCY CODE OR OTHER LAW.

21 **Q. Retention of Jurisdiction**

22 The Court will retain exclusive jurisdiction during the Plan payout period to resolve
23 disputes and conflicts arising from the administration of the Plan, upon request of a party-in-
24 interest and after notice and a hearing, including, without limitation:

- 25 a. The adjudication of the validity, scope, classification, allowance, and disallowance
26 of any Claim;
27 b. The estimation of any Claim;

- c. The allowance or disallowance of Professional-Fee Claims, compensation, or other Administrative Expense Claims;
- d. To hear and determine Claims concerning taxes pursuant to Bankruptcy Code §§ 346, 505, 525, and 1146;
- e. To hear and determine any action or proceeding brought under Bankruptcy Code §§ 108, 510, 543, 544, 545, 547, 548, 549, 550, 551, and 553;
- f. To hear and determine all actions and proceedings which relate to pre-confirmation matters;
- g. To hear and determine any issue relating to the assumption or rejection of executory contracts and unexpired leases;
- h. To hear and determine any modification to the Plan in accordance with the Bankruptcy Rules and the Bankruptcy Code;
- i. To enforce and interpret the terms of the Plan;
- j. To correct any defects, cure any omissions, or reconcile any inconsistency in the Plan or the Confirmation Order as may be necessary to carry out the purpose and intent of the Plan;
- k. To enforce any release, injunction or discharge provided in the Plan;
- l. The entry of any order, including injunctions, necessary to enforce title, rights and powers of the Debtor and/or the Plan Trust, and to impose such limitations, restrictions, terms and conditions on such title, rights and powers as the Court may deem necessary including, without limitation, any right of the Debtor and/or the Plan Trust to recover and liquidate assets;
- m. To determine the validity, extent and priority of all liens and security interests against property of the Debtor, the Estate, or the Plan Trust;
- n. To hear and resolve any disputes regarding employment applications and professional fees;

- o. To hear and determine such matters and make such orders as are consistent with the Plan as may be necessary to carry out the provisions thereof and to adjudicate any disputes arising under or relating to any order entered by the Court in this Case;
- p. The entry of an order concluding and terminating this Case; and
- q. To resolve any disputes as to whether there has been a default under the Plan.

R. Tax Consequences of the Plan

CREDITORS CONCERNED WITH HOW THE PLAN MAY AFFECT THEIR TAX LIABILITY SHOULD CONSULT WITH THEIR OWN ACCOUNTANTS, ATTORNEYS, AND/OR ADVISORS. The following disclosure of possible tax consequences is intended solely for the purpose of alerting readers about possible tax issues the Plan may present to the Debtor or the Plan Trust. The Debtor and his professionals CANNOT and DO NOT represent that the tax consequences contained below are the only tax consequences of the Plan because the Tax Code embodies many complicated rules which make it difficult to state completely and accurately all the tax implications of any action.

Due to the unsettled and complex nature of some of the tax issues, as well as the possibility that developments subsequent to the date hereof could affect the tax consequences of the Plan, the following discussion should not be regarded as definitive or as covering all possible tax consequences. Additionally, this summary does not discuss all aspects of federal income taxation that may be relevant to a particular creditor in light of its individual circumstances or to certain creditors subject to special treatment under the federal income tax laws (for example, life insurance companies, tax-exempt organizations, foreign corporations and individuals who are not citizens or residents of the United States).

The liquidation of certain assets could trigger adverse tax consequences, such as capital gains taxes, that could reduce the value available for the Holders of Allowed Claims. The Debtor has employed a tax professional to assist in analyzing the potential tax consequences of the Plan and to help guard against any negative tax consequences. The Debtor is still in the process of determining the tax consequences of the Plan. However, the Debtor's tax advisor has calculated the tax consequences of liquidating certain real property and the results of such analysis is

1 included in the Liquidation Analysis attached hereto as Exhibit "2." The Debtor is attempting to
2 prevent or minimize any adverse consequences materially affecting the distributions to the Holders
3 of Allowed Claims under the Plan, to the extent possible.

4 The tax treatment of the Plan Trust is discussed in the Plan. As stated above, creditors
5 concerned with how the Plan will affect their own tax liability should consult with their own
6 accountants, attorneys, and/or advisors.

7 **S. Exemption from Transfer Taxes**

8 Pursuant to Bankruptcy Code § 1146(a), any transfers from the Debtor to the Plan Trust or
9 to any other Person pursuant to the Plan in the United States shall not be subject to any stamp, real
10 estate transfer, personal property, recording or other similar tax, and the Confirmation Order shall
11 direct the appropriate state or local governmental officials or agents to forgo the collection of any
12 such tax or governmental assessment and to accept for filing and recordation any of the foregoing
13 instruments or other documents without payment of any such tax or governmental assessment.
14

15 **VIII. CONFIRMATION REQUIREMENTS AND PROCEDURES**

16 PERSONS OR ENTITIES CONCERNED WITH CONFIRMATION OF THE PLAN
17 SHOULD CONSULT WITH THEIR OWN ATTORNEYS BECAUSE THE LAW ON
18 CONFIRMING A PLAN IS VERY COMPLEX. The following discussion is intended solely for
19 the purpose of alerting readers about basic confirmation issues, which they may wish to consider,
20 as well as certain deadlines for filing Claims. The Debtor CANNOT and DOES NOT represent
21 that the discussion contained below is a complete summary of law on this topic.

22 Many requirements must be met before the Court can confirm the Plan. Some of the
23 requirements include that the Plan must be proposed in good faith, acceptances of the Plan,
24 whether the Plan pays creditors at least as much creditors would receive in a chapter 7 liquidation,
25 and whether the Plan is feasible. These requirements are not the only requirements for
26 confirmation.
27
28

A. Who May Vote or Object

1. Who May Object to Confirmation of the Plan

Any party in interest may object to the confirmation of the Plan, but as explained below, not everyone is entitled to vote to accept or reject the Plan.

2. Who May Vote to Accept/Reject the Plan

A creditor has a right to vote for or against the Plan if that creditor has a Claim that: (a) either is an Allowed Claim or is allowed for voting purposes; (b) is classified in an impaired Class; and (c) is entitled to receive or retain some property on account of its Claim.⁴

(a) What is an Allowed Claim/Interest

As noted above, a creditor must first have an Allowed Claim to have the right to vote. Generally, any Proof of Claim will be Allowed, unless a party-in-interest Files an objection to that Claim. When an objection to a Claim is Filed, the Holder of the Claim cannot vote unless and until the Court, after notice and hearing, either overrules the objection or allows the Claim for voting purposes. Any Person who seeks temporary allowance of its Claim for the purpose of voting on the Plan must promptly take the steps necessary to File an appropriate motion requesting the same and to arrange an appropriate hearing with the Court.

THE BAR DATE FOR FILING A PROOF OF CLAIM IN THIS CASE BY CLAIMANTS WHOSE CLAIMS WERE NOT SCHEDULED OR WERE SCHEDULED AS DISPUTED, CONTINGENT, OR UNLIQUIDATED WAS FEBRUARY 20, 2022. A creditor may have an Allowed Claim even if a Proof of Claim was not timely filed. A Claim is deemed Allowed if (1) it is scheduled on the Debtors' Schedules and such Claim is not scheduled as disputed, contingent, or unliquidated, and (2) no party in interest has objected to the Claim. An Interest is deemed Allowed if it is scheduled and no party in interest has objected to the Interest.

(b) What is an Impaired Claim/Interest

As noted above, the Holder of an Allowed Claim only has the right to vote if it is in a Class that is impaired under the Plan. A Class is impaired if the Plan alters the legal, equitable, or

⁴ If the Plan provides that a Claim will receive or retain no property on account of its Claim, that Class is deemed to reject the Plan under Bankruptcy Code § 1126(g) and therefore is not entitled to vote.

1 contractual rights of the members of that Class. For example, a Class comprised of General
2 Unsecured Claims is impaired if the Plan fails to pay the members of that Class 100% of what
3 they are owed or otherwise impairs the legal rights of the Holders of the Claims.

4 In this case, the Debtor believes that Classes 1, 2, 3, 5, 6, and 7 are impaired and that
5 Holders of Allowed Claims in each of these Classes are therefore entitled to vote to accept or
6 reject the Plan, unless otherwise specified below. The Debtor believes that Class 4 is unimpaired
7 under the Plan. Any party in interest who disputes the Debtor's characterization of its Claim as
8 being in an impaired or unimpaired Class may File an objection to the Plan contending that the
9 Debtor incorrectly characterized the Claim or Class.

10 **3. Who is Not Entitled to Vote**

11 The following four types of Claims are not entitled to vote: (1) Claims that have been
12 disallowed; (2) Claims in unimpaired classes; (3) Claims entitled to priority pursuant to
13 Bankruptcy Code §§ 507(a)(2), (a)(3), and (a)(8); and (4) Claims in Classes that do not receive or
14 retain any value under the Plan. Claims in unimpaired Classes are not entitled to vote because
15 such Classes are deemed to have accepted the Plan. Claims entitled to priority pursuant to
16 Bankruptcy Code §§ (a)(2), (a)(3), and (a)(8) are not entitled to vote because such Claims are not
17 placed in Classes and they are required to receive certain treatment specified by the Bankruptcy
18 Code. Claims in Classes that do not receive or retain any value under the Plan do not vote because
19 such Classes are deemed to have rejected the Plan. EVEN IF YOUR CLAIM IS OF THE TYPE
20 DESCRIBED ABOVE, YOU MAY STILL HAVE A RIGHT TO OBJECT TO THE
21 CONFIRMATION OF THE PLAN.

22 **4. Who Can Vote in More Than One Class**

23 A creditor whose Claim has been Allowed in part as a Secured Claim and in part as a
24 General Unsecured Claim is entitled to accept or reject the Plan in both capacities by casting one
25 ballot for the secured portion of the Claim and another ballot for the unsecured portion of the
26 Claim. Also, a creditor who has a Claim for wages or unpaid vacation, healthcare or retirement
27 benefits may have both a Priority Claim up to the maximum specified in 11 U.S.C. §§ 507(a)(4)
28 and (a)(5), provided the conditions for priority treatment as specified under 11 U.S.C. § 507(a) are

1 met, and a General Unsecured Claim for all amounts exceeding the statutory maximum. The
2 Holder of such a Claim may cast a ballot for the priority portion of the Claim and another ballot
3 for the general unsecured portion of the Claim.

4 **5. Votes Necessary to Confirm the Plan**

5 If impaired Classes exist, the Court cannot confirm the Plan unless (1) at least one
6 impaired Class has accepted the Plan without counting the votes of any insiders within that Class,
7 and (2) all impaired Classes have voted to accept the Plan, unless the Plan is eligible to be
8 confirmed by "cramdown" on non-accepting Classes.

9 **6. Votes Necessary for a Class to Accept the Plan**

10 A Class of Claims is considered to have accepted the Plan when more than one-half ($\frac{1}{2}$) in
11 number, and at least two-thirds ($\frac{2}{3}$) in dollar amount, of the Claims which actually voted, voted in
12 favor of the Plan. A Class of Interests is considered to have accepted the Plan when at least two-
13 thirds ($\frac{2}{3}$) in amount of the Interest Holders of such Class which actually voted, voted to accept
14 the Plan.

15 **7. Treatment of Non-Accepting Classes**

16 If at least one impaired Class votes to accept the Plan, and other impaired Classes vote to
17 reject the Plan, the Court may nonetheless confirm the Plan if the nonaccepting Classes are treated
18 in the manner required by the Bankruptcy Code. The process by which nonaccepting Classes are
19 forced to be bound by the terms of a Plan is commonly referred to as "cramdown." The
20 Bankruptcy Code allows the Plan to be "crammed down" on nonaccepting Classes of Claims if it
21 meets all consensual requirements except the voting requirements of 11 U.S.C. § 1129(a)(8) and if
22 the Plan does not "discriminate unfairly" and is "fair and equitable" toward each impaired Class
23 that has not voted to accept the Plan as referred to in § 1129(b) and applicable case law.

24 To meet the "fair and equitable" test set forth in 11 U.S.C. § 1129(b), the Plan needs to
25 comply with the "absolute priority rule." In other words, as to a dissenting Class of General
26 Unsecured Claims that will not be receiving or retaining property of a value that is equal to the
27 Allowed General Unsecured Claim, holders of any claims or interests that is junior to such Class
28 should not receive or retain any non-exempt property except those under 11 U.S.C. § 1115.

1 However, under the "new value exception," a junior class may still retain property and meet the
2 requirements of the Absolute Priority Rule to the extent the junior class provides "new value,"
3 which is value that is: (1) new, (2) substantial, (3) money or money's worth, (4) necessary for a
4 successful reorganization, and (5) reasonably equivalent to the value or interest received.

5 The Plan satisfies the Absolute Priority Rule. The Absolute Priority Rule is an issue only
6 if an impaired Class of Unsecured Claims votes to reject the Plan. If all impaired Classes vote to
7 accept the Plan, then the Absolute Priority is not triggered. Assuming the Plan must comply with
8 the Absolute Priority Rule, it does so. The Trust Assets are not being retained by the Debtor, but
9 will be vested in the Plan Trust on the Effective Date. The Holders of Allowed Claims are
10 receiving Trust Interests in full satisfaction of their respective Claims. Moreover, to the extent
11 that any property is retained or received by the Debtor, it is in exchange for the Settlement
12 Consideration and is part of the multi-party settlement embodied in the Plan. The Settlement
13 Consideration provides value to the Plan Trust as of the Effective Date that is far in excess of any
14 property retained or received by the Debtor. Accordingly, the Plan can be confirmed whether or
15 not the Absolute Priority Rule must be satisfied.

16 **8. Request for Confirmation Despite Non-acceptance by Impaired Classes**

17 The Debtor will ask the Court to confirm the Plan by "cramdown" on all impaired Classes
18 if any of these Classes do not vote to accept the Plan.

19 **B. Liquidation Analysis**

20 Another confirmation requirement is the so-called "Best Interests Test" embodied in
21 Bankruptcy Code § 1129(a)(7), which requires a liquidation analysis. Under the Best Interests
22 Test, if a claimant is in an impaired Class and that claimant does not vote to accept the Plan, then
23 that claimant must receive or retain under the Plan property of a value not less than the amount
24 that such holder would receive or retain if the debtor was liquidated under Chapter 7 of the
25 Bankruptcy Code.

26 In a chapter 7 case, the debtor's assets are usually sold by a chapter 7 trustee. Property
27 claimed as exempt cannot be liquidated for creditors, but is retained by the debtor. Secured
28 creditors are paid first from the sales proceeds of the assets on which the secured creditors have a

1 lien. Administrative Expense Claims are paid next. Next, unsecured creditors are paid from any
2 remaining sales proceeds, according to their rights to priority. Unsecured creditors with the same
3 priority share in proportion to the amount of their Allowed Claims in relationship to the amount of
4 total allowed unsecured claims. Finally, in an individual case, the debtor would receive the
5 balance that remains after all creditors are paid, if any.

6 For the Court to be able to confirm the Plan, the Court must find that all creditors who do
7 not accept the Plan will receive at least as much under the Plan as such holders would receive
8 under a chapter 7 liquidation. The Debtor maintains that this requirement is met here because
9 creditors are projected to receive at least as much as they would receive in a hypothetical chapter 7
10 liquidation.

11 The Liquidation Analysis is attached hereto as Exhibit "2." As demonstrated by the
12 Liquidation Analysis, the Holders of Allowed Claims will receive significantly more under the
13 Plan than in a chapter 7 liquidation. **In short, the Holders of General Unsecured Claims are**
14 **projected to receive 0% of their respective Claims in a Chapter 7. Under the Plan, however,**
15 **Holders of General Unsecured Claims (assuming such claims are or become Allowed**
16 **Claims) are projected to receive a *pro rata* distribution from at least approximately**
17 **\$2,678,174.**

18 The Plan results in more value to creditors than a chapter 7 liquidation for multiple
19 reasons. The Distributions through the Plan will be more efficient and less costly than the
20 liquidation of such assets in a chapter 7, which would result in a trustee unfamiliar with this case
21 and a new set of professionals representing such trustee. Such new professionals would need to
22 become familiar with this case. The appointment of a trustee and his or her retention of new
23 professionals could delay any distributions and would result in an additional layer of
24 administrative expenses. Greater administrative expenses, in turn, would further reduce the
25 amount available to pay the Holders of Allowed Unsecured Claims.

26 The Plan increases substantially the value available for the Holders of Allowed Claims.
27 The Direct-Owned Real Estate has been or is being sold for the highest and best price for the
28 benefit of creditors. The Debtor's efforts to sell the Beach Property resulted in a substantial

1 increase in the expected value of such property and over \$1,000,000 in Net Sale Proceeds.

2 Moreover, the Plan provides value that the Holders of Allowed Claims would not receive in a
3 chapter 7 liquidation at all or without substantial additional cost that would erode any value for
4 such Holders. For example, as part of the compromise effectuated by the Plan, any recovery on
5 the Placo Malibu Lien encumbering the Debtor Malibu Property and any net proceeds from the
6 sale of the M+D Malibu Property are paid to the Plan Trust for the benefit of the Holders of
7 Allowed Unsecured Claims. (*See, supra*, Section VII.E.5.) In a chapter 7 liquidation, any such
8 recoveries would be paid to Placo Investments and M+D and used to pay their respective
9 operations and debts. For this reason alone, the Plan results in an estimated net value of over
10 \$5,600,000 for the Holders of Allowed General Unsecured Claims. (*See id.*)

11 The Plan preserves for the benefit of the Holders of Allowed Claims the potential to share
12 in any potential future economic upside on account of the Debtor's ownership of the Direct-Owned
13 Companies. In contrast, the liquidation of the Debtor's companies and their respective assets
14 today, if possible through a chapter 7 case of the Debtor, would not yield any value for creditors of
15 this Estate after satisfying the debt of, and preferred investments in, the Debtor's companies. As
16 reflected in the Financial Statement, the current estimated equity in the Debtor's companies net of
17 their liabilities is largely nominal or negative. (*See Ex. 4.*) This is so *before* factoring in any
18 preferred equity investments in such companies that must be paid ahead of the Debtor. The Plan
19 provides an opportunity for the Debtor's projects to stabilize following the Covid-19 pandemic and
20 the more-recent downturn in the market and to rebound in value. Under the Plan, the beneficiaries
21 of the Plan Trust will have the potential to share in the potential future upside in the real estate
22 projects through the Debtor's indirect ownership, upside that would not exist in a chapter 7
23 liquidation.

24 The Plan results in a fair and equitable compromise of the Released Claims. A chapter 7
25 trustee could be required to incur the attorney's fees and costs of litigating the alleged claims
26 related to the Sherwood Property and the L&E Transfers and would face the risk that he or she
27 either would not prevail in such litigation or be able to collect any judgment obtained. Moreover,
28 any recovery on such claims would be delayed until the litigation and any appeals were concluded.

1 As demonstrated by the attached Liquidation Analysis, assuming the Sherwood Property was an
2 asset of the Estate, after costs of sale, expected taxes, and the Debtor's \$600,000 homestead
3 exemption, the equity in the Sherwood Property is approximately \$567,825. The L&E Transfers
4 total \$880,025. The Plan avoids the costs, risk, and delay of litigation and provides the Plan Trust
5 with value that far exceeds the recoveries that could potentially be achieved in a chapter 7
6 liquidation and more quickly. (*See* Exs. 1 and 2.)

7 **C. Feasibility**

8 Another requirement for confirmation involves the feasibility of the Plan, which means
9 that confirmation of the Plan is not likely to be followed by the liquidation, or the need for further
10 financial reorganization of the Debtor or any successor to the Debtor under the Plan, unless such
11 liquidation or reorganization is proposed in the Plan. Based on the terms of the Plan, the
12 feasibility requirement is satisfied.

13 The Debtor anticipates having sufficient funds to pay Allowed Administrative Claims by
14 the time required under the Plan from the Net Cash on Hand, the Net Sale Proceeds, and the
15 Settlement Consideration. To the extent that the ability to pay Allowed Professional Fee Claims is
16 dependent upon the sale of the Malibu Properties after the Effective Date, the Debtor expects that
17 the Holders of such Claims will agree to receive payment after the Effective Date as proceeds to
18 pay such Claims become available. The payments to the Holders of Allowed Secured Claims are
19 feasible from the operations of the Debtor's companies as has been done to date and because the
20 value of the collateral securing such claims exceeds the amount of such Claims. The Holders of
21 Allowed Unsecured Claims are not receiving a fixed sum, but *pro rata* distributions from any
22 Distributable Proceeds and, therefore, feasibility is not an issue for such distributions.

23 **D. Disposable Income Test**

24 The Bankruptcy Code contains certain plan confirmation requirements that apply only in
25 individual cases. If the Holder of an Allowed Unsecured Claim objects to the Plan, then the value
26 of the property to be distributed under the Plan cannot be less than the Debtor's projected
27 disposable income, as otherwise defined in the Bankruptcy Code, to be received during the 5-year
28 period following the first Plan payment. *See* 11 U.S.C. § 1129(a)(15)(B). The Debtor asserts that

1 this provision is satisfied under the Plan. Based on the Debtor's Schedule J, the estimated value of
2 the Debtor's disposable income for the 5-year period following the Effective Date is \$0. Based on
3 the Liquidation Analysis, it is estimated that, under the Plan, value of at least approximately
4 \$2,678,174 will be distributed. Thus, assuming § 1129(a)(15)(B) applies to confirmation of the
5 Plan, it is satisfied because the value to be distributed under the Plan exceeds the total of the
6 Debtor's disposable income for the 5-year period after the Effective Date.

7
8 **IX. EFFECT OF CONFIRMATION**

9 **A. Discharge**

10 Confirmation of the Plan binds the Debtor, all creditors, and all other parties in interest to
11 the provisions of the Plan whether or not the claim of such creditor is impaired under the Plan and
12 whether or not such creditor or other party in interest has accepted the Plan.

13 The Debtor seeks a discharge as of the Effective Date. The Debtor asserts that "cause"
14 exists for a discharge upon confirmation of the Plan because, upon the Effective Date, the Trust
15 Assets are being vested in the Plan Trust and the Plan Trustee, subject to the terms and conditions
16 of the Plan, will be charged with distributing such assets as necessary to pay Allowed Unsecured
17 Claims. Nothing herein shall limit the effect of confirmation as described in §§ 524 and/or 1141
18 of the Bankruptcy Code.

19 Upon discharge, the Reorganized Debtor and his assets will, to the fullest extent permitted
20 by § 1141 of the Bankruptcy Code, including, without limitation as provided in § 1141(d)(1)(A) of
21 the Bankruptcy Code, be deemed discharged and released from any and all Claims, obligations,
22 suits, judgments, damages, demands, debts, rights, causes of action, remedies, losses, and
23 liabilities of any nature whatsoever, whether known or unknown, that arose before the Effective
24 Date or that are based upon, arise from, or otherwise relate to acts, events, omissions, transactions,
25 or other activities of any kind that occurred before the Effective Date, and all debts of the kind
26 specified in Bankruptcy Code §§ 502(g), 502(h), or 502(i), in each case, regardless of whether: (1)
27 a proof of claim based on such a debt is filed or deemed filed; (2) a Claim based on such a debt is
28 allowable under Bankruptcy Code § 502; or (3) the person holding the Claim based on such a debt

1 has accepted the Plan; provided, however, that in no event shall the Debtor shall not be discharged
2 of any obligations remaining under the Plan as of the Effective Date.

3 Except as expressly provided in the Plan, pursuant to section 1141(d)(5)(A), the
4 Confirmation Order will be a judicial determination of discharge of all liabilities of the Debtor to
5 the fullest extent allowed under section 1141 of the Bankruptcy Code, and the Reorganized Debtor
6 will not be liable for any Claims and will only have any obligations that are specifically provided
7 for in the Plan. Holders of any Claims or debts against the Debtor will, upon the Effective Date,
8 be enjoined from taking any action to collect, recover, or offset any such Claim or debt against the
9 Reorganized Debtor or as a personal liability of the Reorganized Debtor.

10 Except as otherwise expressly provided in the Plan or the Confirmation Order, all persons
11 will be precluded from asserting or pursuing against the Reorganized Debtor, the Estate, the Plan
12 Trustee, the Plan Trust, or their respective property any Claims based on, arising from, or in
13 connection with any act, event, omission, transaction, or other activity of any kind that occurred
14 before the Effective Date, and any debt of the Debtor or Claim against the Debtor, whether
15 secured or unsecured, which was in default up to the Effective Date, will no longer be deemed in
16 default and will be deemed in good standing.

17 **B. Injunction**

18 All Persons or entities who have held, hold, or may hold Claims (other than Claims that are
19 unimpaired under the Plan), and all other parties in interest in the Case, along with their respective
20 current and former employees, agents, officers, directors, principals, and direct and indirect
21 affiliates, are permanently enjoined, from and after the Effective Date, from, in respect of any
22 Claim or cause of action treated, discharged, released, or settled under the Plan, (i) commencing,
23 conducting, or continuing in any manner, directly or indirectly, any suit, action, or other
24 proceeding of any kind (including, without limitation, any proceeding in a judicial, arbitral,
25 administrative, or other forum) against the Reorganized Debtor; (ii) enforcing, levying, attaching,
26 collecting, or otherwise recovering by any manner or means, whether directly or indirectly, of any
27 judgment, award, decree, or order against the Reorganized Debtor; (iii) creating, perfecting, or
28 enforcing in any manner, directly or indirectly, any encumbrance of any kind against the

1 Reorganized Debtor; (iv) asserting any right of setoff, subrogation, or recoupment of any kind,
2 against any obligation due from the Reorganized Debtor, or against the property or interests in
3 property of the Debtor or Reorganized Debtor, on account of such Claims; or (v) commencing or
4 continuing in any manner any action or other proceeding of any kind on account of, in connection
5 with, or with respect to any such Claims released or settled pursuant to the Plan; provided,
6 however, that nothing contained herein shall preclude such entities from exercising their rights
7 pursuant to and consistent with the terms of the Plan.

8 **C. Revesting of the Assets**

9 Upon the Effective Date, all assets of the Estate, excluding the Trust Assets, are vested in
10 the Reorganized Debtor free and clear of all claims and interests, except as otherwise expressly set
11 forth in the Plan or the Confirmation Order.

12 **D. Exculpation and Releases**

13 Effective upon the entry of the Confirmation Order, the Debtor, the Committee, the Plan
14 Trustee, the Plan Trust, and the professionals, and any of their respective members, officers,
15 directors, shareholders, employees, or agents, shall not have or incur any liability to any Person,
16 including any creditor of the Debtor, for any act taken or omission made in connection with or
17 related to the negotiation, formulation, or preparation of the Plan and the Disclosure Statement, the
18 approval of the Disclosure Statement, the confirmation of the Plan, the consummation of the Plan,
19 or the administration of the Plan, the Case, or the property to be distributed under the Plan, to the
20 fullest extent permitted by applicable statutes and case law, except that the Debtor and the Plan
21 Trust will be liable for the performance of obligations assumed by it or imposed upon it under or
22 by the Plan.

23 **E. Disbanding of the Committee**

24 Upon the Effective Date, the Committee shall terminate and disband and the members of
25 the Committee shall be released and discharged of and from all further authority, duties,
26 responsibilities and obligations related to and arising from their service as Committee members.
27 The professionals retained by the Committee and the members thereof shall not be entitled to
28 compensation or reimbursement of expenses for any services rendered after the Effective Date,

1 except for services provided and expenses incurred in preparing, pursuing, or otherwise in
2 connection with any applications by such professionals for allowance of compensation and
3 reimbursement of expenses.

4 **F. Modification of the Plan**

5 The Debtor may modify the Plan at any time before confirmation. If the Plan is modified,
6 however, the Court may require a new Disclosure Statement or re-voting on the Plan depending on
7 the nature of the modifications and their effect on parties in interest. The Reorganized Debtor may
8 seek to modify the Plan at any time after confirmation if (a) the Plan has not been substantially
9 consummated, and (b) the Court, after notice and a hearing, authorizes the proposed modification.

10 **G. Post-Confirmation Status Report**

11 Within 120 days of the entry of the Confirmation Order, the Reorganized Debtor shall file
12 a status report with the Court explaining what progress has been made toward consummation of
13 the confirmed Plan. The status report shall be served on each of the following or their counsel via
14 notice of electronic filing: (a) the OUST; and (b) the Plan Trustee. Further status reports shall be
15 filed every 120 days and served on the same entities.

16 **H. Quarterly Fees**

17 Quarterly fees accruing under 28 U.S.C. § 1930(a)(6) prior to confirmation shall be paid to
18 the OUST on or before the Effective Date. Quarterly fees accruing under 28 U.S.C. § 1930(a)(6)
19 after confirmation shall be paid to the OUST by the Plan Trustee from the assets of the Plan Trust
20 until a final decree, or the entry of an order dismissing the Case or converting the Case to chapter
21 7, at the rate in effect at the time such fees are due.

22 **I. Post-Confirmation Conversion/Dismissal**

23 After the Plan is confirmed, a creditor or party in interest may bring a Motion, only after
24 notice and a hearing, to convert or dismiss the Case under Bankruptcy Code § 1112(b) if there is a
25 material default in performing the Plan. If the Court orders the Case converted to chapter 7 after
26 the Plan is confirmed, then all property that had been property of the Estate and transferred to the
27 Plan Trust, and that has not been distributed under the Plan will revest in the chapter 7 estate. The
28

1 the Plan is confirmed, then all property that had been property of the Estate and transferred to the
2 Plan Trust, and that has not been distributed under the Plan will revert in the chapter 7 estate. The
3 automatic stay will be reimposed upon the revested property only to the extent that relief from stay
4 was not previously authorized by the Court during the Case.

5 The Confirmation Order may also be revoked under very limited circumstances. The
6 Court may revoke the Confirmation Order if it was procured by fraud and if a party in interest
7 brings an adversary proceeding to revoke the confirmation within 180 days after the entry of the
8 Confirmation Order.

9 **J. Final Decree**

10 Once the Estate has been fully administered pursuant to Bankruptcy Rule 3022, either the
11 Debtor or the Plan Trustee may File a Motion with the Court to obtain a final decree closing the
12 Case.

13 DATED: March 10, 2023

14 By: 

15 DONALD CHAE

16
17 DATED: March 10, 2023

18 SMILEY WANG-EKVALL, LLP

19
20 By: /s/ Robert S. Marticello

21 ROBERT S. MARTICELLO

22 Attorneys for Donald Chae, Debtor-in-Possession
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TABLE OF DEFINITIONS

A. Definitions

The following defined terms are used in the Disclosure Statement and in the Plan. Any capitalized term that is not defined herein, but that is defined in the Bankruptcy code or in the Bankruptcy Rules shall have the meaning ascribed that term in the Bankruptcy Code or the Bankruptcy Rules.

"Administrative Claim" means a Claim for costs and expenses of the administration of a Case under Section 503(b) or 507(a)(1) of the Bankruptcy Code, including, without limitation, a Claim of a Professional employed at the expense of the Estate and any fees or charges asserted against the Estate under 28 U.S.C. § 1930.

"Administrative Tax Claim" means an Administrative Claim or other Claim that is not an Allowed Secured Claim and that a government unit asserts against Debtors for taxes (or for related interest or penalties) for any tax period that, either in whole or in part, falls within the period beginning on the Petition Date and ending on the Effective Date.

"Allowed Administrative Claim" means an Administrative Claim allowed pursuant to Sections 503(b) or 507(a)(1) of the Bankruptcy Code or pursuant to 28 U.S.C. § 1930.

"Allowed" means a claim that is either (i) listed in the Schedules filed with the Bankruptcy Court by the Debtor and not listed as disputed, contingent, unliquidated or unknown as to amount and as to which no timely objection has been filed; or (ii) with respect to which a proof of claim has been filed by the Claims Bar Date, and as to which no objection was filed within the time period fixed by the Bankruptcy Code, the Bankruptcy Rules, the Plan or order of the Bankruptcy Court, or as to which any such objection has been determined by a Final Order. The amount of an Allowed Claim shall be as follows: (a) if the creditor did not file a proof of claim with the Bankruptcy Court on or before the Claims Bar Date, (1) the amount of the creditor's Claim as listed in the operative Schedules as not disputed, contingent, unliquidated or unknown, or (2) the amount fixed by Final Order of the Bankruptcy Court in resolving any timely filed objection or other motion disputing the amount of such Claim; or (b) if the creditor filed a proof of claim with the Bankruptcy Court on or before the Claims Bar Date and the claim is not a Contingent Claim,

(1) the amount stated in such proof of claim if no objection to such proof of claim was filed within the time period fixed by the Bankruptcy Code, the Bankruptcy Rules, the Plan or order of the Bankruptcy Court, or (2) the amount thereof as fixed by a Final Order of the Bankruptcy Court if an objection to such proof of claim was filed within the time period fixed by the Bankruptcy Code, the Bankruptcy Rules, the Plan or order of the Bankruptcy Court. Any Claim for which a proof of claim is not filed by the Claims Bar Date and that is not listed in the Schedules or is listed in the Schedules as disputed, unliquidated, contingent or unknown shall be zero, and no distribution shall be made on account of such Claim. An Allowed Claim shall not include any unmatured or post-petition interest unless otherwise stated in the Plan.

"Allowed [Class Designation and/or Secured, Priority, or General Unsecured] Claim"
means an Allowed Claim in the specified Class and/or of the specified type.

"Allowed General Unsecured Claim" means an Allowed Unsecured Claim that is not entitled to priority.

"Allowed GUC Distribution Amount" means the Allowed General Unsecured Claim amount *minus* the greater of any (a) amounts, (b) property, or (c) value that the holder of such Allowed General Unsecured Claim receives, or has received, from the primary obligor, any guarantor other than the Debtor, or from property or collateral owned or held by third parties (collectively "Other Distributions"). Any Other Distributions received by a holder of an Allowed General Unsecured Claim shall be first applied to reduce the principal amount of such Claim, and any remaining consideration to satisfy any accrued but unpaid interest.

"APSEC Deed of Trust" means the deed of trust acquired from Pacific City Bank acquired and assigned to APSEC that encumbers the Malibu Properties.

"APSEC Loan Documents" means collectively the Business Loan Agreement, Promissory Note, Commercial Guaranty, and the Deed of Trust with Pacific City Bank acquired and assigned to APSEC.

"APSEC Note" means the Promissory Note acquired with Pacific City Bank acquired and assigned to APSEC.

1 "Avoidance Action" means causes of action arising under 11 U.S.C. §§ 510, 541, 542, 544,
2 545, 547, 548, 549, 550, 551 and/or 553, or under related state or federal statutes and common
3 law, including, without limitation, fraudulent transfer laws, whether or not litigation is
4 commenced to prosecute such causes of action.

5 "Bankruptcy Code" or "Code" means Title 11 of the United States Code, as amended.

6 "Bankruptcy Rules" means, collectively, the Federal Rules of Bankruptcy Procedure, as
7 amended, and the Local Bankruptcy Rules for use in the United States Bankruptcy Court for the
8 Central District of California.

9 "Business Day" means any day, other than a Saturday, a Sunday or a "legal holiday" as
10 defined in Federal Rule of Bankruptcy Procedure 9006(a).

11 "Case" means Donald Chae's bankruptcy case under chapter 11 of the Bankruptcy Code
12 that is pending before the United States Bankruptcy Court for the Central District of California,
13 Santa Ana Division, as Case No. 8:16-bk-11588-TA.

14 "Cash" means cash and cash equivalents including, but not limited to, checks or similar
15 forms of payment or exchange.

16 "Cash on Hand" means the Cash in the Debtor's debtor-in-possession account as of the
17 Effective Date.

18 "Claim" means (i) a right to payment from the Debtor, whether or not such right to
19 payment is reduced to judgment, liquidated, unliquidated, fixed, contingent, matured, unmatured,
20 disputed, undisputed, legal, equitable, secured, or unsecured, and includes any claims based on,
21 arising from, or connected with any work performed by the Debtor prior to the Petition Date, or
22 (ii) a right to an equitable remedy for breach of performance if such breach gives rise to a right to
23 payment from the Debtor whether or not such right to an equitable remedy is reduced to judgment,
24 liquidated, unliquidated, fixed, contingent, matured, unmatured, disputed, undisputed, secured, or
25 unsecured.

26 "Claims Bar Date" means February 10, 2022, the date the Court set as the deadline for
27 creditors to file proofs of claim against the Debtor's Estate.

"Class" means the group of Claims classified in the Plan pursuant to Sections 1122 and 1123 of the Bankruptcy Code.

"Confirmation Date" means the date on which the Bankruptcy Court enters the Confirmation Order.

"Confirmation Order" means the order, as entered, of the Bankruptcy Court confirming the Plan.

"Contingent Claims" means Contingent Equity Claims and Contingent Secured Claims.

"Contingent Equity Claim" means any Claim asserted against the Debtor based on or arising from a guaranty of, or other agreement, such as, a contribution agreement, related to, an investment or the purchase of units in a non-debtor entity pending the later of (i) any contractual maturity, retirement or redemption date (without acceleration and as may be extended and subject to any forbearance), and (ii) the dissolution of such non-debtor entity.

"Contingent Secured Claim" means any Claim secured by property that is not property of the Estate pending the later of (i) the contractual maturity date (without acceleration and as may be extended and subject to any forbearance) and (ii) such time as the Holder of the Claim exhausts the Holder's efforts to first collect and recover from such Holder's non-estate collateral.

"Court" means the United States Bankruptcy Court for the Central District of California, Santa Ana Division.

"Debtor" refers to Mr. Donald Chae.

"Debtor Malibu Property" shall mean the real property located at 22003 Pacific Coast Highway, Malibu, California.

"Direct-Owned Companies" or "Direct-Owned Company" means collectively or each LTC Development, Inc., 3100 E. Imperial Highway Corp., M+D Properties, Greenland Construction Service, LLC, DMC Investment Holdings, LLC, 3000 E. Imperial, LLC, and Comex Food Service, Inc.

"Direct-Owned Real Estate" means the Beach Property and the Debtor Malibu Property.

"Disputed Claim" means all or any part of a Claim that is the subject of a timely objection or request for estimation which is filed on or before the Claims Objection Deadline, which

1 objection or request for estimation has not been withdrawn or determined by a Final Order, and all
2 Contingent Claims. In addition, prior to (a) the Claims Objection Deadline, or (b) if prior to the
3 Claim Objection Deadline, a motion to disallow or estimate the Claim is filed, such date as the
4 Bankruptcy Court allows the Claim pursuant to a Final Order, any Claim that is evidenced by a
5 Proof of Claim shall be deemed a Disputed Claim for purposes of calculating and making any
6 Distributions under this Plan if: (1) no Claim corresponding to the proof of claim is listed in the
7 Schedules, (2) the Claim corresponding to the proof of claim is listed in the Schedules as disputed,
8 contingent, unliquidated or unknown, (3) the amount of the Claim as specified in the Proof of
9 Claim exceeds the amount of any corresponding Claim listed in the Schedules as not disputed, not
10 contingent, and liquidated, but only to such extent, or (4) the priority or classification of the Claim
11 as specified in the Proof of Claim differs from the priority of any corresponding Claim listed in the
12 Schedules.

13 "Distribution" or "Plan Distribution" means the Cash that is required to be distributed under
14 this Plan to the holders of Allowed Claims or Trust Interests.

15 "Distribution Date" means the Business Day selected by the Plan Trustee, in his or her sole
16 and absolute discretion, within forty-five (45) days after the calendar quarter in which
17 Distributable Proceeds are received by the Plan Trust to distribute Distributable Proceeds.

18 "Distributable Proceeds" means the Net Cash on Hand, Net Sale Proceeds, Excess Free
19 Cash Flow, Excess Capital Transaction Cash, and any proceeds received on account of the New
20 Direct-Owned Company Preferred Equity Interests, and any other proceeds received by the Plan
21 Trust from any disposition, or dividends or distributions in respect, of any Trust Assets.

22 "Effective Date" means the date that is the fifteenth (15th) day after entry of the
23 Confirmation Order.

24 "Estate" means the bankruptcy estate of Mr. Donald Chae created under Section 541 of the
25 Bankruptcy Code in the Case.

26 "Estate Claims" means any and all claims and causes of action that constitute property of
27 the Estate including, but not limited to, any Avoidance Actions, equitable subordination or debt
28 recharacterization actions against creditors or principals of the Debtor, any causes of action or

1 claims for recovery of any amounts owing to the Debtor or the Estate, and any claims or causes of
2 action against the Debtor's insurance carriers.

3 "Excess Capital Transaction Cash" shall mean the cash of a Direct-Owned Company from
4 the sale, or refinancing of debt secured by, of all or substantially all of the assets of such Direct-
5 Owned Company's assets or of an indirect or direct subsidiary of such Direct-Owned Company to
6 the extent not reasonably required (i) to pay reasonable out-of-pocket costs or expenses incurred in
7 connection with such transaction, (ii) for all existing, current or anticipated future expenses,
8 obligations or reserves of such Direct-Owned Company or indirect or direct subsidiary of such
9 Direct-Owned Company, or (iii) to satisfy, or reserve for, in full the debts of such Direct-Owned
10 Company or indirect or direct subsidiary of such Direct-Owned Company .

11 "Excess Free Cash Flow" means, on each Annual Distribution Date, with respect to the
12 prior calendar year, the amount, if any, by which (a) the revenue of a Direct-Owned Company for
13 such calendar year from whatever source, exceeds (b) the sum of (i) all cash expenditures made by
14 such Direct-Owned Company or any subsidiary of such Direct-Owned Company, including,
15 without limitation, for any Project Expenses, and (ii) reserves for such expenditures or otherwise
16 required by any loan documents of a subsidiary for such Direct-Owned Company.

17 "File," "Filed," or "Filing" means duly and properly filed with the Court and reflected on
18 the Court's official docket.

19 "Final Order" means an order or judgment entered by the applicable court on its docket.

- 20 a. That has not been reversed, rescinded, stayed, modified, or amended;
- 21 b. That is in full force and effect;
- 22 c. With respect to which the time to appeal or to seek review, remand, rehearing, or a
23 writ of certiorari has expired and as to which no timely Filed appeal or petition for
24 review, rehearing, remand, or writ of certiorari is pending; and
- 25 d. With respect to which any appeal, motion or petition for review, remand, rehearing,
26 or reconsideration, or writ of certiorari that is Filed has been dismissed or resolved
27 by the highest court to which the order or judgment was appealed or from which
28 review, rehearing, remand, reconsideration, or a writ of certiorari was sought, and

1 any remanded or further proceedings following such appeal, petition, or writ have
2 been resolved by Final Order.

3 "General Unsecured Claim" means an unsecured claim against the Debtor, however
4 arising, not entitled to priority under Section 507(a) of the Bankruptcy Code.

5 "Holder" means an entity holding a Claim.

6 "Hotel" means the partially-completed seven-story, 178-room hotel located at The Source
7 Master Development in Buena Park, California.

8 "Initial Term" shall mean the initial term of the Plan Trust commencing on the Effective
9 Date and ending five (5) years after the Effective Date.

10 "Life Insurance Policies" shall mean the three life insurance policies, Metlife Life
11 Insurance, New York Life Insurance, and Equitable, listed on the Debtor's Schedule A/B.

12 "Malibu Properties" shall collectively mean the Debtor Malibu Property and the M+D
13 Malibu Property.

14 "M+D" shall means M+D Properties.

15 "M+D Malibu Property" shall mean the contiguous residential parcel located at 3849
16 Carbon Canyon, Malibu, California.

17 "Motion" means a request asking a judge to issue a ruling or order on a legal and/or
18 equitable matter.

19 "Net Cash on Hand" means the Cash on Hand in excess of the exempt Cash in the amount
20 of \$30,825 and the amounts necessary to pay the Allowed Class 2 Claim of the LACTTC or any
21 other Allowed Claims to be paid on the Effective Date as provided in the Plan.

22 "Net Sale Proceeds" means any Cash proceeds from the liquidation of the Direct-Owned
23 Real Estate and the M+D Malibu Property after the amounts necessary to pay or reserve for in full
24 (a) Allowed Claims secured by such properties or other liens, security interests, or encumbrances
25 on such properties, (b) customary and ordinary costs of sale, including any brokerage
26 commissions, and (c) any taxes, fees and/or penalties caused or resulting from the sale of any of
27 the Debtor's assets, including, without limitation, any capital gains tax.
28

1 "New Direct-Owned Company Preferred Equity Interests" means the new preferred equity
2 interests in the Direct-Owned Companies issued to the Plan Trust on the Effective Date in
3 accordance with Section VII.K.1. The New Directly Owned Company Preferred Equity Interests
4 shall be non-voting interests.

5 "Non-Ordinary Course Administrative Claim(s)" means Administrative Claims that are not
6 Ordinary Course Administrative Claims, Administrative Tax Claims, or Professional Fee Claims,
7 including Claims that may arise from agreements entered into with the Estate after the Petition
8 Date other than trade agreements.

9 "Ordinary-Course Administrative Claim" means Administrative Claims other than
10 Administrative Tax Claims, Professional-Fee Claims, and Non-Ordinary-Course Administrative
11 Claims, based upon liabilities that Debtors incur in the ordinary course of their business.

12 "OUST" means the Office of the United States Trustee, Santa Ana Division.

13 "Person" means any individual, corporation, general partnership, limited partnership,
14 limited liability company, association, joint-stock company, joint venture, estate, trust,
15 government, political subdivision, governmental unit (as defined in the Bankruptcy Code), official
16 committee appointed by the OUST, unofficial committee of creditors or equity holders, or entity.

17 "Petition Date" refers to October 3, 2021, the day that Mr. Donald Chae filed his chapter
18 11 petition.

19 "Plan" means the Chapter 11 Plan, including any modifications or amendments to the Plan.

20 "Plan Trust" means the trust created under the Plan for the benefit of creditors holding
21 Allowed Debt Claims.

22 "Plan Trustee" means Bradley Sharp of Development Specialists, Inc.

23 "Post-Petition Shady Bird Sherwood Action" shall mean the post-petition action
24 commenced by Shady Bird Lending, LLC against Eun Hee Chae in the Los Angeles Superior
25 Court, as case number 21STCV37075, on October 7, 2021.

26 "Priority Claim" means an Allowed Claim entitled to priority against an Estate under
27 Bankruptcy Code §§ 507(a)(3), 507(a)(4), 507(a)(5), 507(a)(6), or 507(a)(7).
28

1 "Priority Tax Claim" means an Allowed Claim entitled to priority against an Estate under
2 Bankruptcy Code § 507(a)(8).

3 "Professional Fee Claim" means:

- 4 a. A Claim under Bankruptcy Code §§ 327, 328, 330, 331, 503, or 1103 for
5 compensation for professional services rendered or expenses incurred on an Estate's
6 behalf, or
7 b. A Claim either under Bankruptcy Code § 503(b)(4) for compensation for
8 professional services rendered or under Bankruptcy Code § 503(b)(3)(D) for
9 expenses incurred in making a substantial contribution to an Estate.

10 "Project" means real property owned by any direct or indirect subsidiary of a Direct-
11 Owned Company.

12 "Project Expenses" means the sum of the following: (a) the costs of owning, leasing,
13 operating, managing, maintaining, repairing, subleasing and improving the Project; (b) all debt
14 service or other payments required to be made under any loan documents, including, without
15 limitation, the payment of principal, interest, servicing fees, real estate tax and insurance
16 impounds, and escrows and other reserves required to be paid in accordance with any loan
17 documents, (c) the fees and expenses payable or reimbursable to any property manager or other
18 manager and fees and expenses for leasing, asset and construction management services; and (d)
19 to the extent not paid pursuant to clause (a) above, costs incurred in connection with expenditures
20 for improvements and capital repairs to a Project.

21 "Reorganized Debtor" means Donald Chae upon and after the Effective Date and as
22 reorganized under by the Plan.

23 "Request for Payment" means a request for the allowance and payment of a Non-Ordinary
24 Course Administrative Claim pursuant to 11 U.S.C. § 503(a).

25 "Schedules" means the Schedules of Assets and Liabilities and the Statement of Financial
26 Affairs filed by the Debtor in the Case, as required by § 521(1) of the Code, Bankruptcy Rules
27 1007(a)(3) and (b)(1), and Official Bankruptcy Form No. 6, as the Schedules of Assets and
28

Liabilities and/or the Statement of Financial Affairs may have been or may be amended from time to time, including, without limitation, Docket Nos. 56, 82, and 265.

"Sherwood Property" means the real property located at 2200 Sherwood Road, San Marino, CA 91108.

"Subject Company" means the Direct-Owned Companies and any entity in which a Direct-Owned Company holds an ownership interest in either directly or indirectly through another company as of the Effective Date.

"TSH" means The Source Hotel, LLC.

"Undeliverable Distribution" means a Distribution to any Holder of an Allowed Claim that is returned to the Liquidating Trustee as undeliverable or otherwise unclaimed.

B. Rules of Construction

The rules of construction in Bankruptcy Code section 102 apply to the Plan. For the purpose of this Plan, unless otherwise provided in this Plan, (i) whenever from the context it is appropriate, each term, whether stated in the singular or the plural, shall include both the singular and the plural; (ii) each pronoun stated in the masculine, feminine or neuter shall include the masculine, feminine and neuter; (iii) any reference in this Plan to an existing document, Exhibit or schedule filed or to be filed means such document or schedule as it may have been or may be amended, modified or supplemented pursuant to this Plan; (iv) any reference to an entity as a holder of a Claim or Interest includes that entity's successors and assigns; (v) except as otherwise stated herein, all references in this Plan to Sections, Articles and Exhibits are references to Sections, Articles and Exhibits of or to this Plan; (vi) the words "herein," "hereunder" and "hereto" refer to this Plan in its entirety rather than to a particular portion of this Plan; (vii) unless otherwise provided in this Plan, any reference in this Plan to a contract, instrument, release, indenture, agreement, or other document being in a particular form or on particular terms and conditions means that such document shall be substantially and materially in such form or substantially and materially on such terms and conditions; and (viii) the rules of construction set

1 forth in Section 102 of the Bankruptcy Code shall apply to the extent such rules are not
2 inconsistent with the express terms of this Plan or any other provision in this Section.

3 **C. Rules of Interpretation**

4 Except as otherwise provided in the Plan, Bankruptcy Rule 9006(a) applies when
5 computing any time period under the Plan.

6 Any term used in the Plan that is not a Defined Term, but that is used in the Bankruptcy
7 Code or Bankruptcy Rules has the meaning assigned to such term in the Bankruptcy Code or
8 Bankruptcy Rules, as applicable, unless the context requires otherwise.

9 The definition given to any term or provision in the Plan supersedes and controls any
10 different meaning that may be given to that term or provision in the Disclosure Statement.

11 Whenever it is appropriate from the context, each term, whether stated in the singular or
12 the plural, includes both the singular and the plural.

13 Any reference to a document or instrument being in a particular form or on particular terms
14 means that the document or instrument will be substantially in that form or on those terms or as
15 amended by the terms thereof.

16 Any reference to an existing document means the document as it has been, or may be,
17 amended or supplemented.

18 Unless otherwise indicated, the phrase "under the Plan" and similar words or phrases refer
19 to this Plan in its entirety rather than to only a portion of the Plan.

20 Unless otherwise specified, all references to Sections or Exhibits are references to this
21 Plan's Sections or Exhibits.

22 Section captions and headings are used only as convenient references and do not affect this
23 Plan's meaning.

24 **D. Disclosure Statement Exhibits**

25 The Exhibits to the Disclosure Statement are as follows:

26 Exhibit 1 – Chapter 11 Plan Projections

27 Exhibit 2 – Hypothetical Liquidation Analysis

28 Exhibit 3 – Organizational Chart

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Costa Mesa, California 92626

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- 1 Exhibit 4 – Financial Statement
- 2 Exhibit 5 – Entity Chart
- 3 Exhibit 6 – FRBP 2015.3 Report [Docket No. 227]
- 4 Exhibit 7 – November 2022 Monthly Operating Report
- 5 Exhibit 8 – Amended Statement of Financial Affairs [Docket No. 265]
- 6 Exhibit 9 – Class 7 – General Unsecured Claims List
- 7 Exhibit 10 – Schedule of Alleged Transfers
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EXHIBIT "1"

Donald Chae
Chapter 11 Financial Projections

Year	2023	2024	2025	2026	Total
Projected Sources of Cash					
22003 Pacific Coast Highway, Net of Selling Costs	\$ 6,742,500	\$ -	\$ -	\$ -	\$ 6,742,500
6840 Beach Blvd, Net of Selling Costs	1,590,508	-	-	-	1,590,508
3849 Carbon Canyon, Net of Selling Costs	1,395,000	-	-	-	1,395,000
Distributions from Equity Interest in Debtor Controlled Entities					-
	9,728,008	-	-	-	9,728,008
Projected Uses of Cash					
Chapter 11 Professional Fees	(2,056,154)				(2,056,154)
US Trustee Fees	(56,143)	(480)	(480)	(480)	(57,583)
Income Taxes	(1,406,208)	-	-	-	(1,406,208)
Plan Trustee	(30,000)	(30,000)	(30,000)	(30,000)	(120,000)
Plan Trustee Professional Fees	(30,000)	(30,000)	(30,000)	(30,000)	(120,000)
	(3,578,505)	(60,480)	(60,480)	(60,480)	(3,759,945)
Cash Available for Distributions to Prepetition Creditors	\$ 6,149,503	\$ (60,480)	\$ (60,480)	\$ (60,480)	\$ 5,968,063

Distributions to Prepetition Creditors					Total	Class #	Recovery %
Other Priority Claims							
LA County Tax Collector (Malibu)	-	-	-	-	-	2	100%
LA County Tax Collector (Sherwood)	(5,759)	-	-	-	(5,759)	2	100%
Total Priority Claims	(5,759)	-	-	-	(5,759)		
Secured Claims							
Americredit					-	1	100%
BMW Financial	-	-	-	-	-	4	100%
ASPEC Formerly Pacific City Bank (22003 PCH & 3849 Carbon Canyon)	(3,140,719)	-	-	-	(3,140,719)	5	100%
Placo Investments, LLC (22003 PCH)	-	-	-	-	-	6	0%
United Business Bank (6840 Beach Blvd)	(349,047)	-	-	-	(349,047)		100%
Total Distributions to Secured Creditors	(3,489,767)	-	-	-	(3,489,767)		
Beginning Cash	205,637	2,859,614	2,799,134	2,738,654	205,637		
Net Change in Cash	2,653,976	(60,480)	(60,480)	(60,480)	2,472,536		
Cash Available for Distribution to Non-Priority Unsecured Creditors	2,859,614	2,799,134	2,738,654	2,678,174	2,678,174	7	

Notes

The real property sales are based on going concern value, less selling costs of 7% for real estate commissions, title and escrow costs.

As part of the Plan of Reorganization, Placo Investments will subordinate the \$4,000,000 plus accrued interest, secured claim it holds on the real property located at 22003 Pacific Coast Highway.

As part of the Plan of Reorganization, the net proceeds from the sale of real property located at 3849 Carbon Canyon owned by M+D will be paid to the Plan Trust.

The real property located at 6840 Beach Blvd was sold in January 2023 pursuant to a court approved sale.

The LA County Tax Collector (Malibu) claim was paid in full by M+D Properties.

The secured claim of Americredit will be paid in full, outside of the Plan by Greenland Construction Services, the co-owner and co-borrower on the loan.

The secured claim of BMW will be paid in full, outside of the Plan Trust by Donald Chae.

EXHIBIT "2"

Donald Chae
Hypothetical Chapter 7 Liquidation Analysis

Chapter 7 Liquidation Adjustments											
Item	Going Concern Value	Less Selling Costs	Net Going Concern Value	Going Concern Value	Less Exemptions	Less Liquidation Adjustments [d]	Less Selling Costs	Less Estimated Income Taxes Due Upon Sale	Estimated Ch. 7 Liquidation Proceeds	Notes	Difference (Net Going Concern vs. Liquidation Value)
Assets											
Cash	\$ 1,335,634		\$ 1,335,634	\$ 1,335,634	\$ (30,825)				\$ 1,304,809	[a]	\$ 30,825
New York Life Insurance Cash Surrender Value	50,869	-	50,869	50,869	(13,975)				36,894		13,975
Equitable Insurance Cash Surrender Value	51,803	-	51,803	51,803					51,803		-
Real Property - Personal Residence (Sherwood)	1,575,000	(110,250)	1,464,750	1,575,000	(600,000)	(157,500)	(99,225)	(150,450)	567,825	[b]	896,925
Real Property - 22003 Pacific Coast Highway	7,250,000	(507,500)	6,742,500	7,250,000		(1,250,000)	(420,000)	(1,133,800)	4,446,200	[c]	2,296,300
BMW Automobile	28,000	-	28,000	28,000	(5,850)				22,150		5,850
Chevy Colorado	15,343	-	15,343	15,343					15,343		-
Personal Property	7,200	-	7,200	7,200		(5,040)			2,160		5,040
Distribution of Equity Interest in Real Estate Entities			-						-		-
Avoidance Actions	Unknown		Unknown	Unknown					Unknown		
Total	10,313,849	(617,750)	9,696,099	10,313,849	(650,650)	(1,412,540)	(519,225)	(1,284,250)	6,447,184		3,248,915

Notes

[a] Cash on hand plus the proceeds from the sale of 6840 Beach Blvd (donut shop), less estimated income taxes payable on the property of approximately \$115,158.

[b] The property is owned by the spouse of the Debtor and is subject to litigation. Litigation expenses have not been included.

[c] Excludes the real property owned by M+D Properties located at 3849 Carbon Canyon, Malibu, CA. Upon the sale of this property, the net proceeds are the property of M+D.

[d] The liquidation adjustment for the Sherwood property is assumed at 10%. The liquidation adjustment for 22003 Pacific Coast Highway is based on the low range of the broker's opinion of value for a forced sale.

Proceeds Available for Distribution	\$ 6,447,184
Proceeds from Unencumbered Assets Available for Distribution	\$ 1,963,491

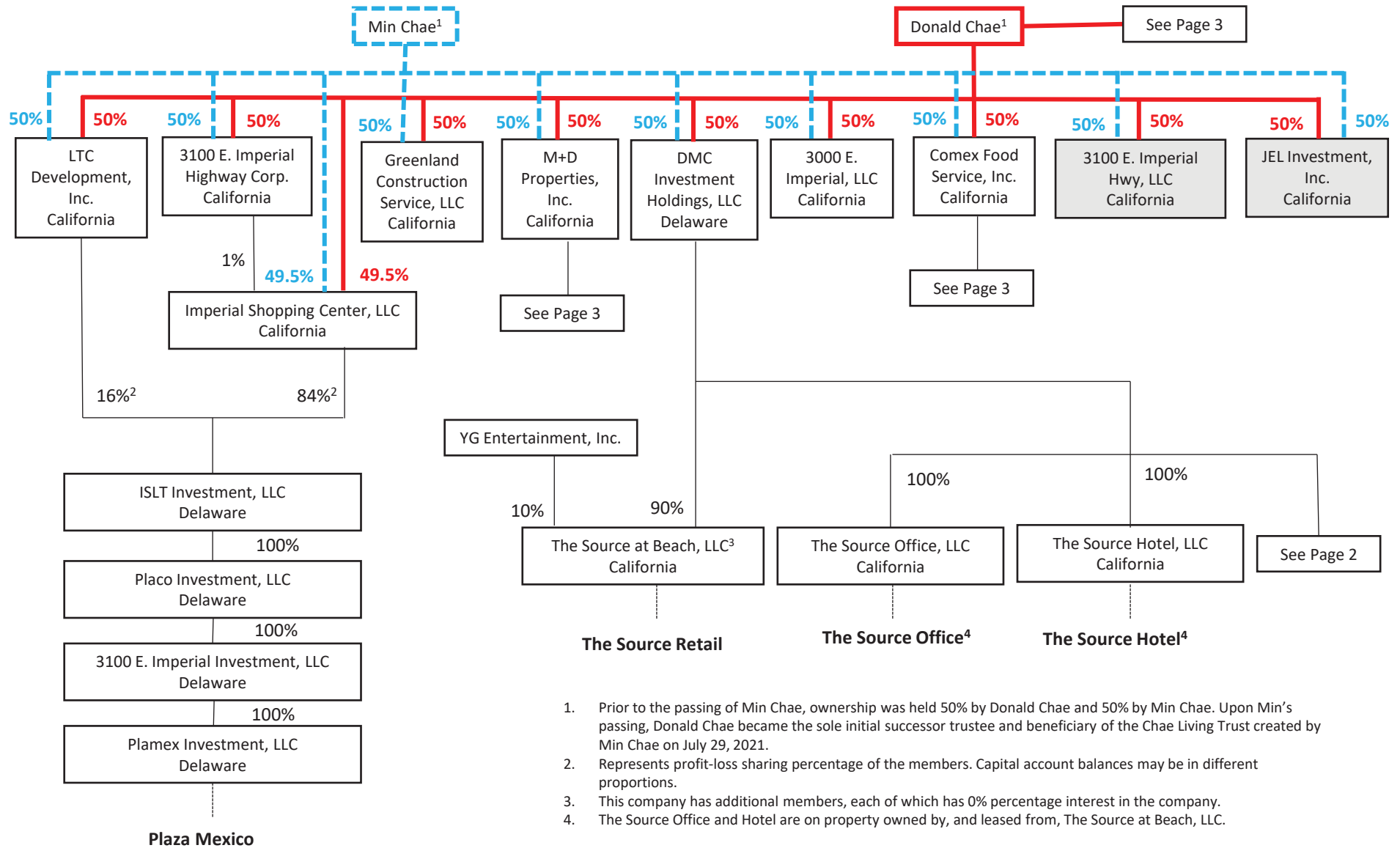
			Recovery			
Claims	Class No.	Claim Amount	Ch. 7 \$	Ch. 7 %	Ch. 11 \$	Ch. 11 %
Secured Claims						
BMW Financial	4	\$ (9,019)	\$ 9,019	100%		100%
ASPEC formerly Pacific City Bank (22003 PCH)	5	(3,140,719)	3,140,719	100%	3,140,719	100%
Americredit	1	(15,343)	15,343	100%		
Placo Investments, LLC (22003 PCH)	6	(4,000,000)	1,305,481	32.6%	-	0%
Available Proceeds		-				
Ch.7 Administrative Claims						
Chapter 7 Trustee Fees (326 Commission)		(172,772)	172,772	100%	n/a	n/a
Trustee's Professionals (Legal Fees & Financial)		(345,544)	345,544	100%	n/a	n/a
Available Proceeds		1,445,175				
Other Administrative Claims						
Chapter 11 Professional Fees		(2,056,154)	1,445,175	70.3%	2,056,154	100%
Proceeds Available for Distribution to Unsecured Creditors		-				
Unsecured Claims						
Priority	2	-	-		-	100%
Non-Priority Unsecured	7	-	-		2,678,174	

EXHIBIT "3"

ORGANIZATIONAL CHART

As of January 18, 2023

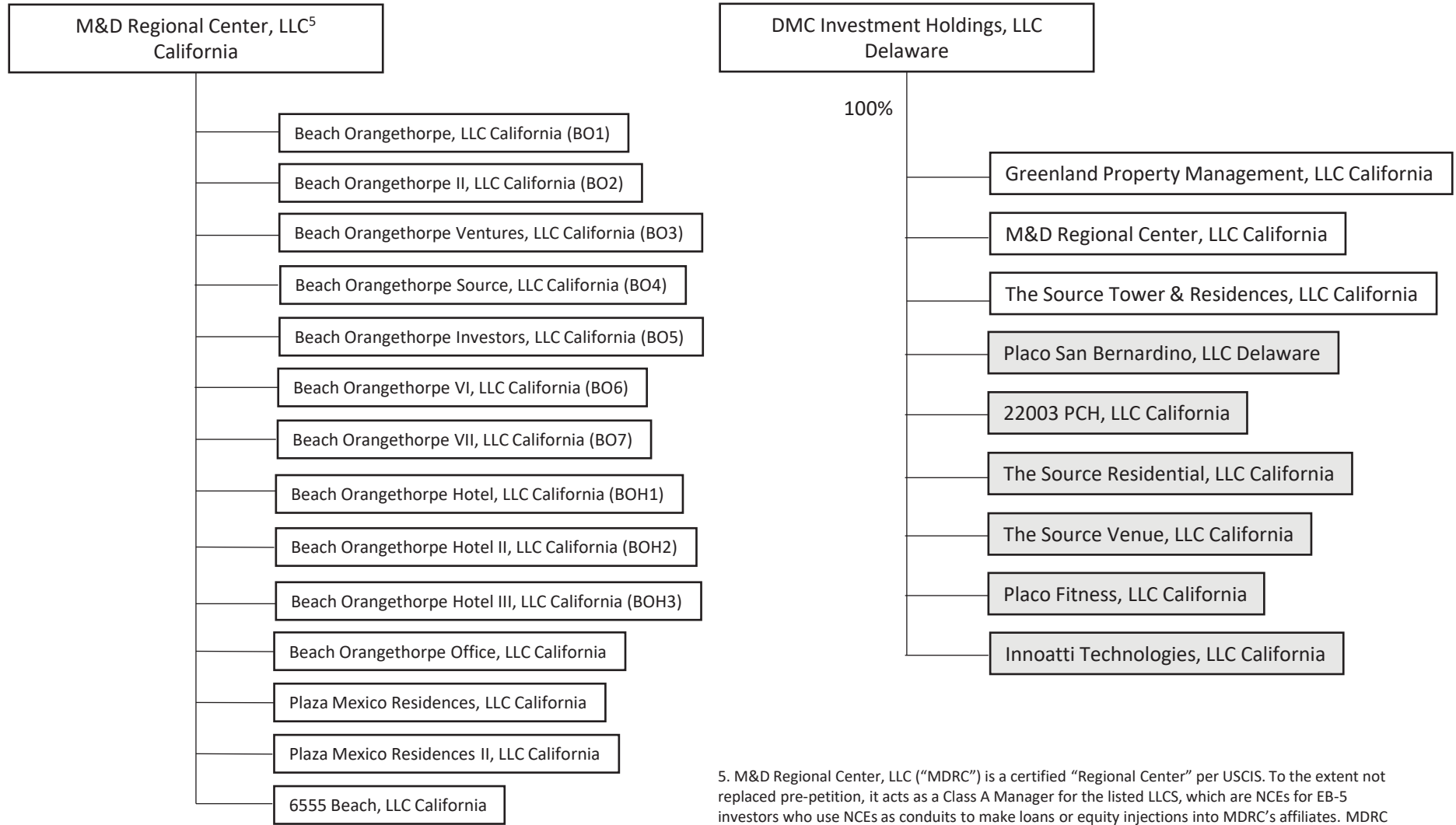
Page 1 of 3



ORGANIZATIONAL CHART

As of January 18, 2023

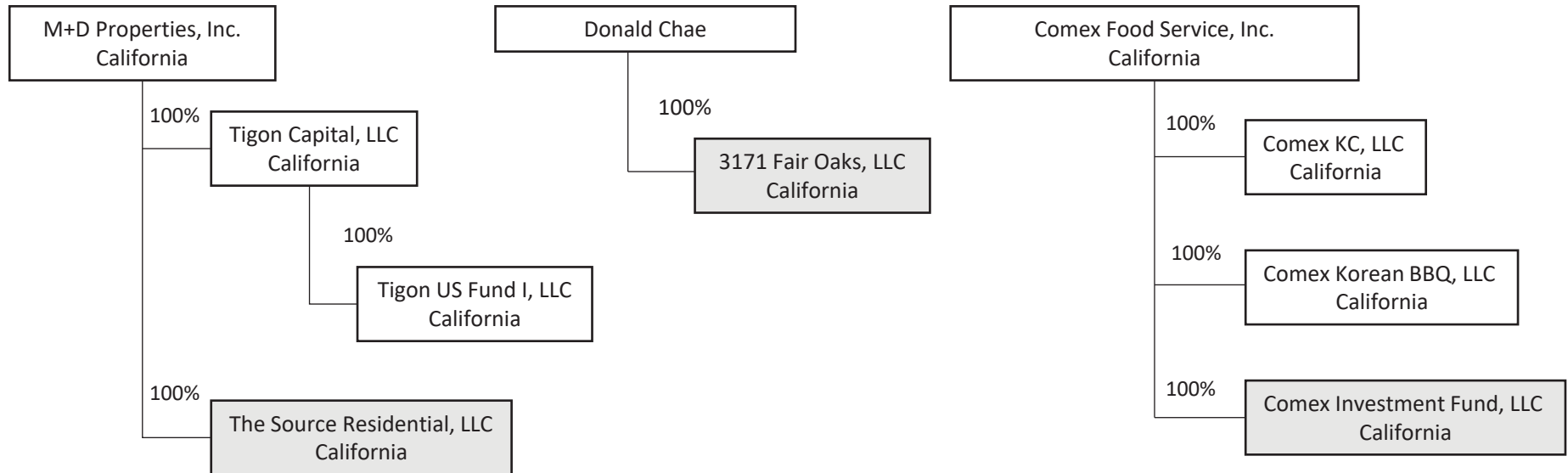
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ORGANIZATIONAL CHART

As of January 18, 2023

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*Inactive entities are denoted with a gray shading

EXHIBIT "4"

Donald Chae Ch. 11
Balance Sheets as of September 30, 2022 (Internally Prepared &
Unaudited)

	LTC Development, Inc.	Imperial Shopping Center, LLC	Placo Investment, LLC	ISLT Investment, LLC	3100 E Imperial Hwy, LLC
Assets					
Estimated Value of Real Estate Assets Per Broker Opinions of Value	-	-	4,082,256	-	-
Cash	-	29,248	3,399	1,420	-
Third Party Receivables	-	-	-	-	-
Other Assets	-	-	-	-	-
	-	29,248	4,085,655	1,420	-
Less					
Mortgage Notes/Line of Credit/Accrued Interest/Pref Returns	-	-	11,880,985	543,750	-
Accounts Payable & Liabilities	-	-	372,092	-	-
	-	-	12,253,077	543,750	-
Equity, Adjusted for Estimated Value of Assets, Excl. Amounts Due Between Affiliates	-	29,248	(8,167,422)	(542,330)	-

Donald Chae Ch. 11
Balance Sheets as of September 30, 2022 (Internally Prepared &
Unaudited)

	M&D Regional Center, LLC	DMC Investment Holdings, LLC	22003 PCH, LLC	Placo Fitness, LLC	Tigon Capital, LLC
Assets					
Estimated Value of Real Estate Assets Per Broker Opinions of Value	-	-	-	-	-
Cash	3,185	150,817	-	-	216
Third Party Receivables	76,153	-	-	-	-
Other Assets	-	-	-	-	-
	79,337	150,817	-	-	216
Less					
Mortgage Notes/Line of Credit/Accrued Interest/Pref Returns	-	-	-	-	-
Accounts Payable & Liabilities	641,191	-	-	-	-
	641,191	-	-	-	-
Equity, Adjusted for Estimated Value of Assets, Excl. Amounts Due Between Affiliates	(561,853)	150,817	-	-	216

Donald Chae Ch. 11
Balance Sheets as of September 30, 2022 (Internally Prepared &
Unaudited)

	JEL Investment, LLC	M+D Properties	Greenland Property Mgmt, LLC	Greenland Construction Service, LLC	The Source Office, LLC
Assets					
Estimated Value of Real Estate Assets Per Broker Opinions of Value	-	3,735,000	-	-	11,558,000
Cash	-	28,280	48,742	15,066	574,447
Third Party Receivables	-	-	-	-	296,425
Other Assets	-	-	-	-	-
	-	3,763,280	48,742	15,066	12,428,872
Less					
Mortgage Notes/Line of Credit/Accrued Interest/Pref Returns	-	7,223,485	-	14,848	20,901,589
Accounts Payable & Liabilities	-	85,243	11,914	8,125	123,695
	-	7,308,727	11,914	22,973	21,025,285
Equity, Adjusted for Estimated Value of Assets, Excl. Amounts Due Between Affiliates	-	(3,545,448)	36,828	(7,907)	(8,596,412)

Donald Chae Ch. 11
Balance Sheets as of September 30, 2022 (Internally Prepared &
Unaudited)

	The Source at Beach, LLC	3000 E Imperial, LLC	The Source Tower & Residences, LLC	6555 Beach, LLC	Plaza Mexico Foundation
Assets					
Estimated Value of Real Estate Assets Per Broker Opinions of Value	143,240,000	12,510,000	1,480,000	-	-
Cash	8,168,596	86,440	76,903	3,421	174,966
Third Party Receivables	3,045,025	-	-	172,180	-
Other Assets	-	-	-	-	-
	154,453,622	12,596,440	1,556,903	175,601	174,966
Less					
Mortgage Notes/Line of Credit/Accrued Interest/Pref Returns	195,328,213	33,899,259	772,180	-	-
Accounts Payable & Liabilities	1,917,277	232,617	32,998	-	-
	197,245,489	34,131,877	805,178	-	-
Equity, Adjusted for Estimated Value of Assets, Excl. Amounts Due Between Affiliates	(42,791,868)	(21,535,437)	751,725	175,601	174,966

Donald Chae Ch. 11
Balance Sheets as of September 30, 2022 (Internally Prepared &
Unaudited)

	The Source at Beach Foundation	3171 Fair Oaks, LLC	3100 E Imperial Highway Corp	Placo San Bernardino, LLC	Skyline I, LLC
Assets					
Estimated Value of Real Estate Assets Per Broker Opinions of Value	-	-	-	-	-
Cash	87	1,525	-	-	-
Third Party Receivables	-	-	-	-	-
Other Assets	-	-	-	-	-
	87	1,525	-	-	-
Less					
Mortgage Notes/Line of Credit/Accrued Interest/Pref Returns	-	-	-	3,320,000	-
Accounts Payable & Liabilities	-	2,007	-	21,500	-
	-	2,007	-	3,341,500	-
Equity, Adjusted for Estimated Value of Assets, Excl. Amounts Due Between Affiliates	87	(482)	-	(3,341,500)	-

Donald Chae Ch. 11
Balance Sheets as of September 30, 2022 (Internally Prepared &
Unaudited)

	Innoatti Technologies, LLC	Sonamu Holdings, LLC	Sonamu Management, Inc.	Comex Food Service Inc
Assets				
Estimated Value of Real Estate Assets Per Broker Opinions of Value	-	-	-	-
Cash	2,597	5,675	-	69,392
Third Party Receivables	9,759	-	-	337,332
Other Assets	-	-	-	47,256
	12,356	5,675	-	453,980
Less				
Mortgage Notes/Line of Credit/Accrued Interest/Pref Returns	-	3,360,000	-	885,618
Accounts Payable & Liabilities	1,000	-	-	3,367,278
	1,000	3,360,000	-	4,252,896
Equity, Adjusted for Estimated Value of Assets, Excl. Amounts Due Between Affiliates	11,356	(3,354,325)	-	(3,798,916)

Donald Chae Ch. 11
Balance Sheets as of September 30, 2022 (Internally Prepared &
Unaudited)

	LTC Development, Inc.	Imperial Shopping Center, LLC	Placo Investment, LLC	ISLT Investment, LLC	3100 E Imperial Hwy, LLC
ASSETS					
FIXED ASSETS:					
Land		\$ 125,000			
Building and Improvements					
Pylon/LED Signage					
Equipment, furniture, fixtures, software, autos					
Construction in Progress					
	-	125,000	-	-	-
Accumulated Depreciation					
Total real estate, net	-	125,000	-	-	-
OTHER ASSETS:					
Rent receivable, net					
Account Receivable					
Receivable arising from straight-lining of rents					
Note receivable from The Source at Beach, LLC			10,395,409		
Cash in reserve accounts					
Cash & cash equivalents		29,248	3,399	1,420	
Restricted cash			-		
Due from affiliates		475,873	636,240	499,900	124,200
Accounts receivable - EB5 lenders					
Prepaid expenses and other assets					
Inventory					
Investments in affiliates					
Interest receivable					
Preferred return receivable					
Deferred leasing costs, net					
Deferred financing costs, net					
Total other assets	-	505,122	11,035,047	501,320	124,200
TOTAL ASSETS	-	630,122	11,035,047	501,320	124,200
LIABILITIES AND MEMBERS' EQUITY					
LIABILITIES:					
Mortgage & Notes payable, net of deferred financing costs				500,000	
Lines of credit					
SBA Loans					
Construction Loans					
Members' equity subject to mandatory redemption					
Due to affiliates	582,616	645,556	5,175,087	11,050	19,278
Prepaid rent and tenant security deposits					
Investor Deposit					
PE Differential			13,959,000		
Cash Overdraft					
Accrued interest payable				43,750	
Accrued preferred return			11,880,985		
Accounts payable & other liabilities			372,092		
Total Liabilities	582,616	645,556	31,387,165	554,800	19,278
MEMBERS' EQUITY	(582,616)	(15,434)	(20,352,118)	(53,480)	104,922
TOTAL LIABILITIES AND MEMBERS' EQUITY	-	630,122	11,035,047	501,320	124,200

Donald Chae Ch. 11
Balance Sheets as of September 30, 2022 (Internally Prepared &
Unaudited)

	M&D Regional Center, LLC	DMC Investment Holdings, LLC	22003 PCH, LLC	Placo Fitness, LLC	Tigon Capital, LLC
ASSETS					
FIXED ASSETS:					
Land					
Building and Improvements					
Pylon/LED Signage					
Equipment, furniture, fixtures, software, autos					
Construction in Progress					
	-	-	-	-	-
Accumulated Depreciation					
Total real estate, net	-	-	-	-	-
OTHER ASSETS:					
Rent receivable, net					
Account Receivable					
Receivable arising from straight-lining of rents					
Note receivable from The Source at Beach, LLC	949,831				
Cash in reserve accounts					
Cash & cash equivalents	3,185	150,817			216
Restricted cash					
Due from affiliates		2,848,721			
Accounts receivable - EB5 lenders					
Prepaid expenses and other assets	48,141				128
Inventory					
Investments in affiliates	89,600	1,628,445			2,500
Interest receivable	76,153				
Preferred return receivable					
Deferred leasing costs, net					
Deferred financing costs, net					
Total other assets	1,166,908	4,627,983	-	-	2,844
TOTAL ASSETS	1,166,908	4,627,983	-	-	2,844
LIABILITIES AND MEMBERS' EQUITY					
LIABILITIES:					
Mortgage & Notes payable, net of deferred financing costs					
Lines of credit					
SBA Loans					
Construction Loans					
Members' equity subject to mandatory redemption					
Due to affiliates	9,917,402	1,749,435	10,731	10,010	111,631
Prepaid rent and tenant security deposits					
Investor Deposit					
PE Differential					
Cash Overdraft					
Accrued interest payable					
Accrued preferred return					
Accounts payable & other liabilities	641,191				
Total Liabilities	10,558,593	1,749,435	10,731	10,010	111,631
MEMBERS' EQUITY	(9,391,685)	2,878,548	(10,731)	(10,010)	(108,786)
TOTAL LIABILITIES AND MEMBERS' EQUITY	1,166,908	4,627,983	-	-	2,844

Donald Chae Ch. 11
Balance Sheets as of September 30, 2022 (Internally Prepared &
Unaudited)

	JEL Investment, LLC	M+D Properties	Greenland Property Mgmt, LLC	Greenland Construction Service, LLC	The Source Office, LLC
ASSETS					
FIXED ASSETS:					
Land		\$ 2,534,964			
Building and Improvements		670,515			15,174,686
Pylon/LED Signage					
Equipment, furniture, fixtures, software, autos		1,345,641	19,994	29,696	5,440
Construction in Progress		126,733			
	-	4,677,854	19,994	29,696	15,180,126
Accumulated Depreciation		(1,840,862)	(19,372)	(10,394)	(3,271,759)
Total real estate, net	-	2,836,992	622	19,302	11,908,367
OTHER ASSETS:					
Rent receivable, net					296,425
Account Receivable					
Receivable arising from straight-lining of rents					
Note receivable from The Source at Beach, LLC					
Cash in reserve accounts					
Cash & cash equivalents		28,280	48,742	15,066	574,447
Restricted cash					
Due from affiliates		3,898,668	2,217,058		3,042,812
Accounts receivable - EB5 lenders					
Prepaid expenses and other assets		723,276	367,294	380,461	9,495
Inventory					
Investments in affiliates					
Interest receivable					
Preferred return receivable					
Deferred leasing costs, net					102,583
Deferred financing costs, net		20,309			
Total other assets	-	4,670,534	2,633,095	395,527	4,025,762
TOTAL ASSETS	-	7,507,526	2,633,716	414,829	15,934,129
LIABILITIES AND MEMBERS' EQUITY					
LIABILITIES:					
Mortgage & Notes payable, net of deferred financing costs		6,738,222		14,848	20,028,641
Lines of credit					
SBA Loans					
Construction Loans					
Members' equity subject to mandatory redemption					
Due to affiliates	44,761			1,205,533	
Prepaid rent and tenant security deposits					451,163
Investor Deposit					
PE Differential					
Cash Overdraft					
Accrued interest payable		485,263			872,948
Accrued preferred return					
Accounts payable & other liabilities		85,243	11,914	8,125	123,695
Total Liabilities	44,761	7,308,727	11,914	1,228,506	21,476,448
MEMBERS' EQUITY	(44,761)	198,799	2,621,802	(813,677)	(5,542,319)
TOTAL LIABILITIES AND MEMBERS' EQUITY	-	7,507,526	2,633,716	414,829	15,934,129

Donald Chae Ch. 11
Balance Sheets as of September 30, 2022 (Internally Prepared &
Unaudited)

	The Source at Beach, LLC	3000 E Imperial, LLC	The Source Tower & Residences, LLC	6555 Beach, LLC	Plaza Mexico Foundation
ASSETS					
FIXED ASSETS:					
Land	\$ 24,734,472	\$ 5,458,054	\$ 1,390,000		
Building and Improvements	191,067,829				
Pylon/LED Signage			1,401,790		
Equipment, furniture, fixtures, software, autos	826,259				
Construction in Progress		27,085,469	5,294,342		
	216,628,559	32,543,524	8,086,132	-	-
Accumulated Depreciation	(35,928,095)	-	(373,811)		
Total real estate, net	180,700,464	32,543,524	7,712,321	-	-
OTHER ASSETS:					
Rent receivable, net	771,865				
Account Receivable					
Receivable arising from straight-lining of rents	914,117				
Note receivable from The Source at Beach, LLC					
Cash in reserve accounts	750,000				
Cash & cash equivalents	7,385,166	86,440	76,903	3,421	174,966
Restricted cash	33,431				
Due from affiliates		4,674,956			
Accounts receivable - EB5 lenders	2,273,160				
Prepaid expenses and other assets	1,461,498	213,095	217,548	3,662	
Inventory					
Investments in affiliates				3,000,000	
Interest receivable					
Preferred return receivable				172,180	
Deferred leasing costs, net	714,336				
Deferred financing costs, net					
Total other assets	14,303,572	4,974,490	294,450	3,179,263	174,966
TOTAL ASSETS	195,004,037	37,518,014	8,006,772	3,179,263	174,966
LIABILITIES AND MEMBERS' EQUITY					
LIABILITIES:					
Mortgage & Notes payable, net of deferred financing costs	169,905,994	32,811,755	600,000		
Lines of credit					
SBA Loans					
Construction Loans					
Members' equity subject to mandatory redemption					
Due to affiliates	36,603,786		3,025,692	68,227	25
Prepaid rent and tenant security deposits	3,098,671				
Investor Deposit					
PE Differential					
Cash Overdraft					
Accrued interest payable	17,259,908	1,087,504			
Accrued preferred return	8,162,310		172,180		
Accounts payable & other liabilities	1,917,277	232,617	32,998		
Total Liabilities	236,947,947	34,131,877	3,830,870	68,227	25
MEMBERS' EQUITY	(41,943,910)	3,386,137	4,175,901	3,111,036	174,941
TOTAL LIABILITIES AND MEMBERS' EQUITY	195,004,037	37,518,014	8,006,772	3,179,263	174,966

Donald Chae Ch. 11
Balance Sheets as of September 30, 2022 (Internally Prepared &
Unaudited)

	The Source at Beach Foundation	3171 Fair Oaks, LLC	3100 E Imperial Highway Corp	Placo San Bernardino, LLC	Skyline I, LLC
ASSETS					
FIXED ASSETS:					
Land					
Building and Improvements					
Pylon/LED Signage					
Equipment, furniture, fixtures, software, autos					
Construction in Progress					
	-	-	-	-	-
Accumulated Depreciation					
Total real estate, net	-	-	-	-	-
OTHER ASSETS:					
Rent receivable, net					
Account Receivable					
Receivable arising from straight-lining of rents					
Note receivable from The Source at Beach, LLC					
Cash in reserve accounts					
Cash & cash equivalents	87	1,525			
Restricted cash					
Due from affiliates		17,790,158		653,373	
Accounts receivable - EB5 lenders					
Prepaid expenses and other assets					
Inventory					
Investments in affiliates					
Interest receivable					
Preferred return receivable					
Deferred leasing costs, net					
Deferred financing costs, net					
Total other assets	87	17,791,684	-	653,373	-
TOTAL ASSETS	87	17,791,684	-	653,373	-
LIABILITIES AND MEMBERS' EQUITY					
LIABILITIES:					
Mortgage & Notes payable, net of deferred financing costs				3,320,000	
Lines of credit					
SBA Loans					
Construction Loans					
Members' equity subject to mandatory redemption					
Due to affiliates	20,933	4,463,648	32,231	10,455,366	8,468
Prepaid rent and tenant security deposits					
Investor Deposit					
PE Differential					
Cash Overdraft					
Accrued interest payable					
Accrued preferred return					
Accounts payable & other liabilities		2,007		21,500	
Total Liabilities	20,933	4,465,654	32,231	13,796,866	8,468
MEMBERS' EQUITY	(20,846)	13,326,029	(32,231)	(13,143,494)	(8,468)
TOTAL LIABILITIES AND MEMBERS' EQUITY	87	17,791,684	-	653,373	-

Donald Chae Ch. 11
Balance Sheets as of September 30, 2022 (Internally Prepared &
Unaudited)

	Innoatti Technologies, LLC	Sonamu Holdings, LLC	Sonamu Management, Inc.	Comex Food Service Inc
ASSETS				
FIXED ASSETS:				
Land				
Building and Improvements				
Pylon/LED Signage				
Equipment, furniture, fixtures, software, autos				1,270,115
Construction in Progress				
	-	-	-	1,270,115
Accumulated Depreciation				(910,642)
Total real estate, net	-	-	-	359,473
OTHER ASSETS:				
Rent receivable, net	9,759			
Account Receivable				337,332
Receivable arising from straight-lining of rents				
Note receivable from The Source at Beach, LLC				
Cash in reserve accounts				
Cash & cash equivalents	2,597	5,675		11,645
Restricted cash				
Due from affiliates	75	3,068,957	2,000	42,400
Accounts receivable - EB5 lenders				
Prepaid expenses and other assets			1,000	143,065
Inventory				47,256
Investments in affiliates				
Interest receivable				
Preferred return receivable				
Deferred leasing costs, net				
Deferred financing costs, net				
Total other assets	12,431	3,074,632	3,000	581,698
TOTAL ASSETS	12,431	3,074,632	3,000	941,172
LIABILITIES AND MEMBERS' EQUITY				
LIABILITIES:				
Mortgage & Notes payable, net of deferred financing costs		3,360,000		
Lines of credit				
SBA Loans				500,000
Construction Loans				
Members' equity subject to mandatory redemption				
Due to affiliates	27,001	415,328	7,224	6,677,981
Prepaid rent and tenant security deposits				
Investor Deposit				
PE Differential				
Cash Overdraft				57,747
Accrued interest payable				385,618
Accrued preferred return				
Accounts payable & other liabilities	1,000			3,367,278
Total Liabilities	28,001	3,775,328	7,224	10,988,624
MEMBERS' EQUITY	(15,570)	(700,696)	(4,224)	(10,047,452)
TOTAL LIABILITIES AND MEMBERS' EQUITY	12,431	3,074,632	3,000	941,172

EXHIBIT "5"

Entity Name	Description
DMC Investment Holdings, LLC	DMC Investment Holdings, LLC, is a holding company that owns interests in other companies, such as The Source at Beach, LLC.
M+D Properties, Inc. ("M+D Properties")	M+D Properties was founded in 1990 and is a real estate development company. M+D Properties owns the real property located at 3849 Carbon Canyon, Malibu, CA, along with a commercial property located at 6832 Beach Blvd., Buena Park, CA 90621.
LTC Development, Inc.	LTC Development holds a 16% profit-loss sharing percentage of ISLT Investment, LLC.
3000 E. Imperial, LLC	3000 E. Imperial, LLC owns two real properties located at 3000 E. Imperial Highway, Lynwood, California and at 2949 East Imperial Highway, Lynwood, California. Both real properties are vacant.
3100 E. Imperial, LLC	3100 E. Imperial, LLC is an inactive entity.
Imperial Shopping Center, LLC	Imperial Shopping Center, LLC owns a parcel of land in Lynwood, California, and the remaining 84% profit-loss sharing percentage of ISLT Investment, LLC.
Greenland Construction Service, LLC ("Greenland")	Greenland is a construction company that managed construction for certain real estate development projects of M+D Properties. Greenland does not have any assets, but has liabilities associated with construction.
The Source at Beach, LLC ("TSB")	TSB owns The Source Retail building and the land for The Source Office and The Source Hotel.
The Source Office, LLC ("TSO")	The Source Office, LLC, is the lessee of The Source Office Retail building from TSB.
The Source Hotel, LLC ("TSH")	The Source Hotel, LLC, was the lessee of the Source Hotel from TSB and was a debtor in a pending chapter 11 case, Case No. 8:21-bk-10525-ES.
ISLT Investment, LLC ("ISLT")	ISLT is the parent of Placo Investment, LLC. ISLT does not have any material assets other than the ownership interest in Placo Investment, LLC.
Placo Investment, LLC ("Placo")	Placo is the parent of 3100 E. Imperial Investment, LLC. Placo holds: (1) a deed of trust securing the principal amount of \$4,000,000 against the real property owned by the Debtor located at 22003 Pacific Coast Highway, Malibu, California; (2) an ownership interest in 3100 E. Imperial Investment, LLC; and (3) restricted cash subject to the confirmed plan in the Plamex case.

Entity Name	Description
3100 E. Imperial Investment, LLC ("3100")	3100 is currently a debtor in a pending chapter 11 case, Case No. 8:21-bk-10957-SC, and is the parent of Plamex Investment, LLC.
Plamex Investment, LLC ("Plamex")	Plamex is currently a debtor in a pending chapter 11 case, Case No. 8:21-bk-10958-SC, and was the owner of Plaza Mexico.
Sonamu Holdings, LLC ("Sonamu")	Sonamu raised and invested funds in certain real estate assets of M+D Properties. Sonamu does not have any material assets, and has no known liabilities at this time.
M&D Regional Center, LLC ("M&D Regional")	M&D Regional is a EB-5 regional center, which has managed the raising of EB-5 investments for various development projects. M&D Regional does not have any assets.
Beach Orangethorpe, LLC ("BO1")	BO1 is an entity created to receive EB-5 investments and that loaned funds to TSB. BO1 does not have any other assets.
Beach Orangethorpe II, LLC ("BO2")	BO2 is an entity created to receive EB-5 investments and that loaned funds to TSB. BO2 does not have any other assets.
Beach Orangethorpe Ventures, LLC ("BO3")	BO3 is an entity created to receive EB-5 investments and that loaned funds to TSB. BO3 does not have any other assets.
Beach Orangethorpe Source, LLC ("BO4")	BO4 is an entity created to receive EB-5 investments and loaned funds in TSB. BO4 does not have any other assets.
Beach Orangethorpe Investors, LLC ("BO5")	BO5 is an entity created to receive EB-5 investments and that invested in TSB. BO5 does not have any other assets.
Beach Orangethorpe VI, LLC ("BO6")	BO6 is an entity created to receive EB-5 investments and that invested in TSB. BO6 does not have any other assets.
Beach Orangethorpe VII, LLC ("BO7")	BO7 is an entity created to receive EB-5 investments and that invested in TSB. BO7 does not have any other assets.
Beach Orangethorpe Hotel, LLC ("BOH1")	BOH1 is an entity created to receive EB-5 investments and that invested or loaned funds into The Source Hotel, LLC. BOH1 does not have any other assets.
Beach Orangethorpe Hotel II, LLC ("BOH2")	BOH2 is an entity created to receive EB-5 investments and that loaned funds to TSH. BOH2 does not have any other assets.
Beach Orangethorpe Hotel III, LLC ("BOH3")	BOH3 is an entity created to receive EB-5 investments and that loaned funds to TSH. BOH3 does not have any other assets.
Beach Orangethorpe Office, LLC	Beach Orangethorpe Office, LLC is a EB-5 entity that received EB-5 investments and invested in TSO.

Entity Name	Description
Plaza Mexico Residences, LLC ("PMR 1")	PMR 1 is an entity created to receive EB-5 investments and that invested in or loaned funds to 3000 E. Imperial, LLC related to the Plaza Mexico Residences development project. The residences have not yet been completed, but grading for the projects has been done. The land for the residences is owned by 3000 E. Imperial, LLC.
Plaza Mexico Residences II, LLC ("PMR 2")	PMR 2 is an entity created to receive EB-5 investments and that invested in or loaned funds to 3000 E. Imperial, LLC related to the Plaza Mexico Residences development project.
6555 Beach, LLC ("6555")	6555 is an EB-5 entity that received EB-5 funds and that invested in or loaned funds to TSTR related to The Source Tower & Residences development project. 6555 does not have any assets.
Greenland Property Management, LLC ("Greenland Property")	Greenland Property is a property management company that manages all of the real estate assets of M+D Properties. Greenland Property receives a management fee for its services.
The Source Tower & Residences, LLC ("TSTR")	TSTR is an entity that owns the land for The Source Tower & Residences apartment development project in Buena Park, CA. The apartments have not yet been built, but the construction plans have been prepared. TSTR also owns a LED freeway sign at the same location, which generates revenue. Before the pandemic, the freeway sign generated approximately \$300,000 annually in ad revenue. From approximately January 2022 to September 2022, the freeway sign has generated approximately \$272,504 in ad revenue.
The Source Residential, LLC	The Source Residential, LLC, was created for a future condo development project adjacent to The Source retail project. The Source Residential, LLC, is an inactive entity.
Placo Fitness, LLC	During the 2016 refinancing of Plaza Mexico, the lender required that if the current third party gym tenant vacated the premises, then a gym be operated until a satisfactory replacement was found. Placo Fitness, LLC, was created for this purpose, and does not have any assets.
Innoatti Technologies, LLC ("Innoatti")	Innoatti was created to operate an advertising income business that was ultimately never used. Innoatti is an inactive entity.

Entity Name	Description
Comex Food Service, Inc. ("Comex")	Comex operated two La Huasteca restaurants, one at Plaza Mexico and one at The Source. The lease for the Plaza Mexico location was not assumed and assigned to the buyer of Plaza Mexico and the operation of that restaurant has since ceased. Comex previously oversaw the operations of two subsidiaries, Comex Korean BBQ, LLC, and Comex KC, LLC, whose assets were sold pre-petition. Comex's operations are currently limited to the La Huasteca restaurant at The Source.
Comex KC, LLC ("Comex KC").	Comex KC previously owned and operated a Kickin' Crab restaurant at Plaza Mexico. The restaurant was sold pre-petition for an assumption of its liabilities. Comex KC has no further operations.
Comex Korean BBQ, LLC ("Comex BBQ")	Comex BBQ previously owned and operated an AMG Korean BBQ restaurant at Plaza Mexico. The restaurant was sold pre-petition for an assumption of its liabilities. Comex BBQ has no further operations.
Comex Investment Fund, LLC	Comex Investment Fund, LLC, was organized in 2016 and received notice of suspension or forfeiture to take place in 2018. The entity is inactive and, to the Debtor's knowledge, has no assets or liabilities.
3171 Fair Oaks, LLC	3171 Fair Oaks, LLC, owned property in Pasadena, CA, which was sold in 2016. While not technically dissolved, 3171 Fair Oaks, LLC, is an inactive entity.
Placo San Bernardino, LLC	Placo San Bernardino, LLC, previously owned property in San Bernardino, CA. The property was subject to litigation. Following an event of default, the property was lost to foreclosure in 2011. A settlement was reached that resulted with the Debtor receiving initial reserves. The amount of the initial reserves was less than the purchase price. While not technically dissolved, Placo San Bernardino, LLC, is currently an inactive entity.
Skyline I, LLC	Skyline I, LLC, was created for financing purposes, but was never used and is currently an inactive entity.
The Source Venue, LLC	The Source Venue, LLC, is an inactive entity that was never used.
22003 PCH, LLC	22003 PCH, LLC was created in connection with the Debtor's Malibu property, was never used, and is currently an inactive entity.
Plaza Mexico Foundation	Plaza Mexico Foundation is a nonprofit foundation for Plaza Mexico. Plaza Mexico Foundation does not have a Section 501(c)(3) designation under the Internal Revenue Code, and was ultimately not used.

Entity Name	Description
Sonamu Management, Inc.	Sonamu Management, Inc., is an entity created to manage investment funds and is the parent company to Sonamu Holdings, LLC. Sonamu Management, Inc. is currently an inactive entity.
The Source at Beach Foundation	The Source at Beach Foundation is a nonprofit foundation for The Source.
Tigon Capital, LLC	Tigon Capital, LLC, is an entity that raised and invested funds into certain real estate assets of M+D Properties.
Tigon US Fund I, LLC	Tigon US Fund I, LLC is an entity that raised and invested funds into certain real estate assets of M+D Properties.
3100 E. Imperial Hwy, LLC	3100 E. Imperial Hwy, LLC is currently an inactive entity and was previously used for financing efforts at Plaza Mexico in early 2000's.
JEL Investment, Inc..	To the Debtor's knowledge, JEL Investment, Inc. has not had any activity since its inception and does not have assets or liabilities.

NOTE: This addendum was originally prepared in connection with this amended schedules based on the information reflected in the books and records of the Debtor and/or his affiliates or from other information available at this time. The Debtor has made a diligent effort to provide accurate and complete information, but nonetheless, there may be unintentional mistakes. The information contained herein is meant to be only a short summary describing the entities. A statement that a particular entity has "no assets" does not include any amounts due from another entity. For or more detail on the assets and liabilities and any inter-company claims see the Debtor's FRBP 2015.3 Reports and the Financial Statement attached to the Disclosure Statement.

EXHIBIT "6"

Fill in this information to identify the case:

Debtor Name Donald Chae

United States Bankruptcy Court for the: Central District of California

Case number: 8:21-bk-12493-SC

Official Form 426

**Periodic Report Regarding Value, Operations, and Profitability of Entities
in Which the Debtor's Estate Holds a Substantial or Controlling Interest**

12/17

This is the *Periodic Report* as of 9/30/2022 on the value, operations, and profitability of those entities in which a Debtor holds, or two or more Debtors collectively hold, a substantial or controlling interest (a "Controlled Non-Debtor Entity"), as required by Bankruptcy Rule 2015.3. For purposes of this form, "Debtor" shall include the estate of such Debtor.

[Name of Debtor] holds a substantial or controlling interest in the following entities:

Name of Controlled Non-Debtor Entity	Interest of the Debtor	Tab #
See attached list.		

This *Periodic Report* contains separate reports (*Entity Reports*) on the value, operations, and profitability of each Controlled Non-Debtor Entity.

Each *Entity Report* consists of five exhibits.

Exhibit A contains the most recently available: balance sheet, statement of income (*loss*), statement of cash flows, and a statement of changes in shareholders' or partners' equity (*deficit*) for the period covered by the *Entity Report*, along with summarized footnotes.

Exhibit B describes the Controlled Non-Debtor Entity's business operations.

Exhibit C describes claims between the Controlled Non-Debtor Entity and any other Controlled Non-Debtor Entity.

Exhibit D describes how federal, state or local taxes, and any tax attributes, refunds, or other benefits, have been allocated between or among the Controlled Non-Debtor Entity and any Debtor or any other Controlled Non-Debtor Entity and includes a copy of each tax sharing or tax allocation agreement to which the Controlled Non-Debtor Entity is a party with any other Controlled Non-Debtor Entity.

Exhibit E describes any payment, by the Controlled Non-Debtor Entity, of any claims, administrative expenses or professional fees that have been or could be asserted against any Debtor, or the incurrence of any obligation to make such payments, together with the reason for the entity's payment thereof or incurrence of any obligation with respect thereto.

This *Periodic Report* must be signed by a representative of the trustee or debtor in possession.

Debtor Name Donald Chae

Case number 8:21-bk-12493-SC

The undersigned, having reviewed the *Entity Reports* for each Controlled Non-Debtor Entity, and being familiar with the Debtor's financial affairs, verifies under the penalty of perjury that to the best of his or her knowledge, (i) this *Periodic Report* and the attached *Entity Reports* are complete, accurate, and truthful to the best of his or her knowledge, and (ii) the Debtor did not cause the creation of any entity with actual deliberate intent to evade the requirements of Bankruptcy Rule 2015.3

For non-individual
Debtors:

x

Signature of Authorized Individual

Printed name of Authorized Individual

Date MM / DD / YYYY

For individual Debtors:

x

Signature of Debtor 1

Donald Chae

Printed name of Debtor 1

Date MM / DD / YYYY

x

Signature of Debtor 2

Printed name of Debtor 2

Date MM / DD / YYYY

Entity Name	Debtor's % Ownership
M&D Properties	100%
DMC Investment Holdings, LLC	100%
LTC Development, Inc.	100%
Imperial Shopping Center, LLC	99%
DMC Investment Holdings, LLC	100%
Greenland Construction Service, LLC	100%
The Source at Beach, LLC	90%
The Source Office, LLC	100%
The Source Hotel, LLC	100%
ISLT Investment, LLC	100%
Placo Investment, LLC	100%
3100 E. Imperial Investment, LLC	100%
Plamex Investment, LLC	100%
Sonamu Holdings, LLC	100%
M&D Regional Center, LLC	100%

Entity Name	Debtor's % Ownership
Beach Orangethorpe, LLC	Nominal interest
Beach Orangethorpe II, LLC	Nominal interest
Beach Orangethorpe Ventures, LLC	Nominal interest
Beach Orangethorpe Source, LLC	Nominal interest
Beach Orangethorpe Investors, LLC	Nominal interest
Beach Orangethorpe VI, LLC	Nominal interest
Beach Orangethorpe VII, LLC	Nominal interest
Beach Orangethorpe Hotel, LLC	Nominal interest
Beach Orangethorpe Hotel II, LLC	Nominal interest
Beach Orangethorpe Hotel III, LLC	Nominal interest
Beach Orangethorpe Office, LLC	Nominal interest
Plaza Mexico Residences, LLC	Nominal interest
Plaza Mexico Residences II, LLC	Nominal interest
6555 Beach, LLC	Nominal interest

Entity Name	Debtor's % Ownership
Greenland Property Management, LLC	100% interest
The Source Tower & Residences, LLC	100%
The Source Residential, LLC	100%
Placo Fitness, LLC	100%
Innoatti Technologies, LLC	100%
Comex Food Service, Inc.	100%
Comex KC, LLC	100%
Comex Korean BBQ, LLC	100%
Comex Investment Fund, LLC	100%
3171 Fair Oaks, LLC	100%
Placo San Bernardino, LLC	100%
Skyline I, LLC	Unknown
The Source Venue, LLC	100%
22003 PCH, LLC	100%
Plaza Mexico Foundation	Unknown

Entity Name	Debtor's % Ownership
Sonamu Management, Inc.	Unknown
The Source at Beach Foundation	100%
Tigon Capital, LLC	100%
Tigon US Fund I, LLC	100%
3100 E. Imperial Hwy, LLC	100%
JEL Investment Corp.	Unknown

NOTE. Ownership listed includes direct and indirect ownership and interests held through one or more trusts. See the Debtor's Schedule A/B and Addendum thereto for more information and specificity regarding how ownership is held.

EXHIBIT "A"

	M+D Properties	Greenland Property Mgmt, LLC	Greenland Constructio n Service, LLC	The Source Office, LLC	The Source at Beach, LLC	3000 E Imperial, LLC	The Source Tower & Residences, LLC	6555 Beach, LLC
ASSETS								
FIXED ASSETS:								
Land	\$ 2,534,964	\$ -	\$ -		\$ 24,734,472	\$ 5,458,054	\$ 1,390,000	\$ -
Building and Improvements	670,515			15,174,686	191,067,829			
Pylon/LED Signage							1,401,790	
Equipment, furniture, fixtures, software, autos	1,345,641	19,994	29,696	5,440	826,259		-	
Construction in Progress	126,733					27,085,469	5,294,342	
	4,677,854	19,994	29,696	15,180,126	216,628,559	32,543,524	8,086,132	-
Accumulated Depreciation	(1,840,862)	(19,372)	(10,394)	(3,271,759)	(35,928,095)	-	(373,811)	
Total real estate, net	2,836,992	622	19,302	11,908,367	180,700,464	32,543,524	7,712,321	-
OTHER ASSETS:								
Rent receivable, net	-			296,425	771,865			
Receivable arising from straight-lining of rents	-				914,117			
Note receivable from The Source at Beach, LLC	-							
Loan receivable-M+D Properties								
Loan receivable-TSB BO lenders								
Cash in reserve accounts	-				750,000			
Cash & cash equivalents	28,280	48,742	15,066	574,447	7,385,166	86,440	76,903	3,421
Restricted cash	-				33,431			
Due from affiliates	3,898,668	2,217,058		3,042,812		4,674,956		
Accounts receivable - EB5 lenders					2,273,160			
Prepaid expenses and other assets	723,276	367,294	380,461	9,495	1,461,498	213,095	217,548	3,662
Investments in affiliates								3,000,000
Interest receivable								
Preferred return receivable								172,180
Deferred leasing costs, net				102,583	714,336			
Deferred financing costs, net	20,309							
Total other assets	4,670,534	2,633,095	395,527	4,025,762	14,303,572	4,974,490	294,450	3,179,263
TOTAL ASSETS	\$ 7,507,526	\$ 2,633,716	\$ 414,829	\$ 15,934,129	\$ 195,004,037	\$ 37,518,014	\$ 8,006,772	\$ 3,179,263
LIABILITIES AND MEMBERS' EQUITY								
LIABILITIES:								
Mortgage & Notes payable, net of deferred financing c	\$ 6,738,222		\$ 14,848	\$ 20,028,641	\$ 169,905,994	\$ 32,811,755	\$ 600,000	
Lines of credit								
Construction Loans								
Members' equity subject to mandatory redemption								
Due to affiliates			1,205,533		36,603,786		3,025,692	68,227
Prepaid rent and tenant security deposits				451,163	3,098,671			
Investor Deposit								
PE Differential								
Cash Overdraft								
Accrued interest payable	485,263			872,948	17,259,908	1,087,504		
Accrued preferred return					8,162,310		172,180	
Accounts payable & other liabilities	85,243	11,914	8,125	123,695	1,917,277	232,617	32,998	
Total Liabilities	7,308,727	11,914	1,228,506	21,476,448	236,947,947	34,131,877	3,830,870	68,227
MEMBERS' EQUITY	198,799	2,621,802	(813,677)	(5,542,319)	(41,943,910)	3,386,137	4,175,901	3,111,036
TOTAL LIABILITIES AND MEMBERS' EQUITY	\$ 7,507,526	\$ 2,633,716	\$ 414,829	\$ 15,934,129	\$ 195,004,037	\$ 37,518,014	\$ 8,006,772	\$ 3,179,263

	LTC Development , Inc.	Imperial Shopping Center, LLC	Placo Investment, LLC	ISLT Investment , LLC	3100 E Imperial Hwy, LLC	M&D Regional Center, LLC	DMC Investment Holdings, LLC	22003 PCH, LLC	Placo Fitness, LLC	Tigon Capital, LLC	JEL Investment, LLC
ASSETS											
FIXED ASSETS:											
Land		\$ 125,000									
Building and Improvements											
Pylon/LED Signage											
Equipment, furniture, fixtures, software, autos											
Construction in Progress											
	-	125,000	-	-	-	-	-	-	-	-	-
Accumulated Depreciation											
Total real estate, net	-	125,000	-	-	-	-	-	-	-	-	-
OTHER ASSETS:											
Rent receivable, net											
Receivable arising from straight-lining of rents											
Note receivable from The Source at Beach, LLC			10,395,409			949,831					
Loan receivable-M+D Properties											
Loan receivable-TSB BO lenders											
Cash in reserve accounts			6,583,185								
Cash & cash equivalents		29,248	3,399	1,420		3,185	150,817			216	
Restricted cash											
Due from affiliates		475,873	636,240	499,900	124,200		2,848,721				
Accounts receivable - EB5 lenders											
Prepaid expenses and other assets						48,141				128	
Investments in affiliates						89,600	1,628,445			2,500	
Interest receivable						76,153					
Preferred return receivable											
Deferred leasing costs, net											
Deferred financing costs, net											
Total other assets	-	505,122	17,618,232	501,320	124,200	1,166,908	4,627,983		-	2,844	-
TOTAL ASSETS	\$ -	\$ 630,122	\$ 17,618,232	\$ 501,320	\$ 124,200	\$ 1,166,908	\$ 4,627,983		\$ -	\$ 2,844	\$ -
LIABILITIES AND MEMBERS' EQUITY											
LIABILITIES:											
Mortgage & Notes payable, net of deferred financing costs				\$ 500,000							
Lines of credit											
Construction Loans											
Members' equity subject to mandatory redemption											
Due to affiliates	582,616	645,556	5,175,087	11,050	19,278	9,917,402	1,749,435	10,731	10,010	111,631	44,761
Prepaid rent and tenant security deposits											
Investor Deposit											
PE Differential			13,959,000								
Cash Overdraft											
Accrued interest payable				43,750							
Accrued preferred return			11,880,985								
Accounts payable & other liabilities			372,092			641,191					
Total Liabilities	582,616	645,556	31,387,165	554,800	19,278	10,558,593	1,749,435	10,731	10,010	111,631	44,761
MEMBERS' EQUITY	(582,616)	(15,434)	(13,768,933)	(53,480)	104,922	(9,391,685)	2,878,548	(10,731)	(10,010)	(108,786)	(44,761)
TOTAL LIABILITIES AND MEMBERS' EQUITY	\$ -	\$ 630,122	\$ 17,618,232	\$ 501,320	\$ 124,200	\$ 1,166,908	\$ 4,627,983	\$ -	\$ -	\$ 2,844	\$ -

	Plaza Mexico Foundation	The Source at Beach Foundation	3171 Fair Oaks, LLC	3100 E Imperial Highway Corp	Placo San Bernardino, LLC	Skyline I, LLC	Innoatti Technologies, LLC	Sonamu Holdings, LLC	Sonamu Management, Inc.	TOTAL
ASSETS										
FIXED ASSETS:										
Land	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Building and Improvements										-
Pylon/LED Signage										-
Equipment, furniture, fixtures, software, autos										-
Construction in Progress										-
	-									-
Accumulated Depreciation										-
Total real estate, net	-									-
OTHER ASSETS:										
Rent receivable, net							9,759			9,759
Receivable arising from straight-lining of rents										-
Note receivable from The Source at Beach, LLC										-
Loan to M+D Properties										-
Cash in reserve accounts										-
Cash & cash equivalents	174,965.63	87	1,525				2,597	5,675		184,851
Restricted cash										-
Due from affiliates			17,790,158		653,373		75	3,068,957	2,000	21,514,563
Accounts receivable - EB5 lenders										-
Prepaid expenses and other assets									1,000	1,000
Investments in affiliates										-
Preferred return receivable										-
Deferred leasing costs, net										-
Deferred financing costs, net										-
Total other assets	174,966	87	17,791,684	-	653,373	-	12,431	3,074,632	3,000	21,710,172
TOTAL ASSETS	\$ 174,966	\$ 87	\$ 17,791,684	\$ -	\$ 653,373	\$ -	\$ 12,431	\$ 3,074,632	\$ 3,000	\$ 21,710,172
LIABILITIES AND MEMBERS' EQUITY										
LIABILITIES:										
Mortgage & Notes payable, net of deferred financing costs					\$ 3,320,000			\$ 3,360,000		\$ 6,680,000
Lines of credit										-
Construction Loans										-
Members' equity subject to mandatory redemption										-
Due to affiliates	25	20,933	4,463,648	32,231	10,455,366	8,468	27,001	415,328	7,224	15,430,225
Prepaid rent and tenant security deposits										-
Investor Deposit										-
Accrued interest payable										-
Accrued preferred return										-
Accounts payable & other liabilities			2,007	-	21,500		1,000			24,507
Total Liabilities	25	20,933	4,465,654	32,231	13,796,866	8,468	28,001	3,775,328	7,224	22,134,731
MEMBERS' EQUITY	174,941	(20,846)	13,326,029	(32,231)	(13,143,494)	(8,468)	(15,570)	(700,696)	(4,224)	(424,559)
TOTAL LIABILITIES AND MEMBERS' EQUITY	\$ 174,966	\$ 87	\$ 17,791,684	\$ -	\$ 653,373	\$ -	\$ 12,431	\$ 3,074,632	\$ 3,000	\$ 21,710,172

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Statements of Operations and Equity
For the nine months ended September 30, 2022
(unaudited)

	M+D Properties	Greenland Property Mgmt, LLC	Greenland Construction Service, LLC	The Source Office, LLC	The Source at Beach, LLC	3000 E Imperial, LLC	The Source Tower & Residences, LLC	6555 Beach, LLC
Revenue:								
Rental income	\$ 87,031	\$ -	\$ -	\$ 1,417,348	\$ 5,765,768	\$ -		
Parking rental income					67,000	21,000		
Rental income arising from straight-lining of rents					(148,255)			
Operating cost reimbursements				19,295	1,699,668			
Development Fee income								
OH Reimbursements	113,828							
General Contractor Fee			-					
Management Fees		316,500						
Advertising & Signage					118,178		272,504	
Property/sales tax rebates								
Forfeited deposit					784			
Loan interest income								
Preferred return income								22,833
Other income				20,546	246,850			
Total rental income	200,859	316,500	-	1,457,188	7,749,993	21,000	272,504	22,833
Operating Expenses:								
Property operating expense				400,309	1,986,400			
Real estate taxes				154,117	1,124,672			
Marketing expense				-	111,092			
General and administrative expense	290,063	294,687	696	165,807	990,695	3,965	37,586	800
Provision for bad debts					233,255			
Total operating expenses	290,063	294,687	696	720,233	4,446,114	3,965	37,586	800
NOI before interest, depreciation & amort	\$ (89,205)	\$ 21,814	\$ (696)	\$ 736,955	\$ 3,303,879	\$ 17,035	\$ 234,918	\$ 22,033
Depreciation & amortization	135,597	544	2,227	475,392	4,725,834	29,560	70,089	
Interest expense	223,157			733,893	6,877,344	681,667	32,496	
Preferred return expense	-				905,014			
PE Differential								
PE default interest								
Late charges								
Management fees								
Legal-loan modification					73,690			
Other (income) expense	(483,386)	(4,575)			3,084	(1,158)	(11)	(1)
Net income (loss)	\$ 35,427	\$ 25,845	\$ (2,923)	\$ (472,330)	\$ (9,281,087)	\$ (693,033)	\$ 132,343	\$ 22,034
Retained earnings (deficit), beginning of year	163,372	2,595,958	(810,754)	(5,069,989)	(32,662,823)	4,079,170	4,043,558	3,089,002
Retained earnings (deficits), September 30, 2022	\$ 198,799	\$ 2,621,802	\$ (813,677)	\$ (5,542,319)	\$ (41,943,910)	\$ 3,386,137	\$ 4,175,901	\$ 3,111,036

Statements of Operations and Equity
For the nine months ended September 30, 2022
(unaudited)

	LTC Development, Inc.	Imperial Shopping Center, LLC	Placo Investment, LLC	ISLT Investment, LLC	3100 E Imperial Hwy, LLC	M&D Regional Center, LLC	DMC Investment Holdings, LLC	22003 PCH, LLC	Placo Fitness, LLC	Tigon Capital, LLC	JEL Investment, LLC	TOTAL
Revenue:												
Rental income	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Parking rental income												-
Rental income arising from straight-lining of rents												-
Operating cost reimbursements												-
Development Fee income												-
OH Reimbursements												-
General Contractor Fee												-
Management Fees												-
Advertising & Signage												-
Property/sales tax rebates												-
Forfeited deposit												-
Loan interest income												-
Preferred return income												-
Other income												-
Total rental income	-	-	-	-	-	-	-	-	-	-	-	-
Operating Expenses:												-
Property operating expense												-
Real estate taxes												-
Marketing expense												-
General and administrative expense		2,715	5,239	1,160	800	16,531	1,943	800	825	870	800	31,684
Provision for bad debts												-
Total operating expenses	-	2,715	5,239	1,160	800	16,531	1,943	800	825	870	800	31,684
NOI before interest, depreciation & amort	\$ -	\$ (2,715)	\$ (5,239)	\$ (1,160)	\$ (800)	\$ (16,531)	\$ (1,943)	\$ (800)	\$ (825)	\$ (870)	\$ (800)	(31,684)
Depreciation & amortization												-
Interest expense			83,700	14,063								97,763
Preferred return expense			2,167,318									2,167,318
PE Differential												-
PE default interest			575,239									575,239
Late charges												-
Management fees						74,997						74,997
Legal-loan modification												-
Other (income) expense						(1)						(1)
Net income (loss)	\$ -	\$ (2,715)	\$ (2,831,496)	\$ (15,223)	\$ (800)	\$ (91,527)	\$ (1,943)	\$ (800)	\$ (825)	\$ (870)	\$ (800)	(2,946,999)
Retained earnings (deficits), beginning of year	(582,616)	(12,719)	(10,937,438)	(38,258)	105,722	(9,300,157)	2,880,491	(9,931)	(9,185)	(107,916)	(43,961)	(18,055,967)
Retained earnings (deficits), September 30, 2022	<u>\$ (582,616)</u>	<u>\$ (15,434)</u>	<u>\$ (13,768,933)</u>	<u>\$ (53,480)</u>	<u>\$ 104,922</u>	<u>\$ (9,391,685)</u>	<u>\$ 2,878,548</u>	<u>\$ (10,731)</u>	<u>\$ (10,010)</u>	<u>\$ (108,786)</u>	<u>\$ (44,761)</u>	<u>\$ (21,002,966)</u>

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Statement of Operations and Equity
For the nine months ended September 30, 2022
(unaudited)

	Plaza Mexico Foundation	The Source at Beach Foundation	3171 Fair Oaks, LLC	3100 E Imperial Highway Corp	Placo San Bernardino, LLC	Skyline I, LLC	Innoatti Technologies, LLC	Sonamu Holdings, LLC	Sonamu Management, Inc.
Revenue:									
Rental income	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Parking rental income									
Rental income arising from straight-lining of rents									
Operating cost reimbursements									
Development Fee income									
OH Reimbursements									
General Contractor Fee									
Management Fees									
Advertising & Signage									
Property/sales tax rebates									
Forfeited deposit									
Loan interest income									
Preferred return income									
Chapel donations	8,086								
Other income								0	
Total rental income	8,086	-	-	-	-	-	-	0	-
Operating Expenses:									
Property operating expense									
Real estate taxes									
Marketing expense									
General and administrative expense	2,328	916	860	830	1,311	800	800	799	800
Provision for bad debts									
Total operating expenses	2,328	916	860	830	1,311	800	800	799	800
NOI before interest, depreciation & amort	\$ 5,758	\$ (916)	\$ (860)	\$ (830)	\$ (1,311)	\$ (800)	\$ (800)	\$ (799)	\$ (800)
Depreciation & amortization									
Interest expense								55,942	
Preferred return expense								51,459	
Late charges									
Management fees									
Legal settlement									
Other (income) expense									
Net income (loss)	\$ 5,757.75	\$ (916)	\$ (860)	\$ (830)	\$ (1,311)	\$ (800)	\$ (800)	\$ (108,199)	\$ (800)
Retained earnings (deficit), beginning of year	169,183	(19,930)	13,326,889	(31,401)	(13,142,183)	(7,668)	(14,770)	(592,497)	(3,424)
Retained earnings (deficit), September 30, 2022	\$ 174,941	\$ (20,846)	\$ 13,326,029	\$ (32,231)	\$ (13,143,494)	\$ (8,468)	\$ (15,570)	\$ (700,696)	\$ (4,224)

Statement of Cash Flows
For nine months ended September 30, 2022
(unaudited)

	M+D Properties	Greenland Property Management, LLC	Greenland Construction Service, LLC	The Source Office, LLC	The Source at Beach, LLC	3000 E. Imperial, LLC	The Source Tower & Residences, LLC	6555 Beach, LLC
CASH FLOWS FROM OPERATING ACTIVITIES:								
Net income (loss)	\$ 35,427	25,845	\$ (2,923)	(472,330)	(9,281,087)	(693,033)	132,343	22,034
Adjustments to reconcile net income (loss) to net cash used in operating activities:								
Depreciation of tangible assets	135,597	544	2,227	437,819	4,592,942		70,089	
Provision for bad debts					233,255			
Amortization of intangible assets					132,893	29,560		
Changes in operating assets and liabilities:								
(Increase) decrease in assets:								
Rent receivable				(21,863)	5,175,771			
Receivable arising from straight-lining of rent					148,255			
Accounts receivable								
Restricted cash					6,000,000			
Receivables from EB lenders					74,997			
Prepaid expenses and other assets	25,716	(58,264)			(502,982)	400,000	42,416	(22,833)
Deferred leasing commissions	(20,000)			20,813	(139,361.44)			
Increase (decrease) in liabilities:								
(Increase) decrease in capitalized loan fees								
Prepaid rent and security deposits				(3,167)	290,254			
Accounts payable and other accrued expenses	(204,894)	(45,890)	(180)	(22,208)	(1,169,743)	15,945	4,163	
Accrued interests and preferred returns	76,021			60,490	(7,482,975)	45,038	22,833	
Foreign partner withholding taxes payable					(19,538)			
Total adjustments	12,442	(103,610)	2,047	471,883	7,333,767	490,542	139,502	(22,833)
Net cash provided by (used in) operating activities	47,868	(77,765)	(876)	(447)	(1,947,320)	(202,491)	271,846	(799)
CASH FLOWS FROM INVESTING ACTIVITIES:								
Purchases of equipment, furniture, fixtures, signs	(971)	-	-	-	(11,163)	-		-
Additions to landlord/tenant improvements	375			(5,438)	(848,914)			
Additions to construction in progress	(750)					(154,224)	(238,288)	
Capital expenditures								
Net cash provided by (used in) investing activities	(1,346)	-	-	(5,438)	(860,077)	(154,224)	(238,288)	-
CASH FLOWS FROM FINANCING ACTIVITIES:								
Paydown of loan principal	(6,728,734)			(92,889)		(828)	17,787	
Refi loan from Abra Lending								
Transfer TSTR loan								
Paydown of auto loan								
Loan from Placo Investment								
Loan from Plaza Mexico Residences								
SBA PPP loan								
Proceeds from borrowings from affiliates, net	5,865,430	94,772	871	140,845	6,145,650	(337,017)	(24,284)	800
Deferred ground lease income								
Net cash provided by (used in) financing activities	(863,304)	94,772	871	47,956	6,145,650	(337,845)	(6,497)	800
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(816,782)	17,007	(5)	42,072	3,338,253	(694,561)	27,061	1
CASH AND CASH EQUIVALENTS AT December 31, 2021	845,062	31,735	15,071	\$ 532,376	4,046,913	781,001	49,842	3,420
CASH AND CASH EQUIVALENTS AT September 30, 2022	\$ 28,280	\$ 48,742	\$ 15,066	\$ 574,447	7,385,166	\$ 86,440	\$ 76,903	\$ 3,421

Statement of Cash Flows
For the nine months ended September 30, 2022
(unaudited)

	LTC Development , Inc.	Imperial Shopping Center, LLC	Placo Investment, LLC	ISLT Investment , LLC	3100 E Imperial Hwy, LLC	M&D Regional Center, LLC	DMC Investment Holdings, LLC	22003 PCH, LLC	Placo Fitness, LLC	Tigon Capital, LLC	JEL Investment , LLC	TOTAL
CASH FLOWS FROM OPERATING ACTIVITIES:												
Net income (loss)	\$ -	\$ (2,715)	\$ (2,831,496)	\$ (15,223)	\$ (800)	\$ (91,527)	\$ (1,943)	\$ (800)	\$ (825)	\$ (870)	\$ (800)	\$ (2,946,999)
Adjustments to reconcile net income (loss) to net cash used in operating activities:												
Depreciation of tangible assets												-
Amortization of intangible assets												-
Changes in operating assets and liabilities:												-
(Increase) decrease in assets:												-
Due from affiliates, net												-
Restricted cash												-
Cash reserve			3,929									3,929
Receivables from EB lenders												-
Prepaid expenses and other assets												-
Deferred leasing commissions												-
Deferred Financing Costs, net												-
Increase (decrease) in liabilities:		127,841	83,700									211,541
(Increase) decrease in capitalized loan fees												-
Prepaid rent and security deposits												-
Accounts payable and other accrued expenses				(7,000)		(3,840)						(10,840)
Accrued interests and preferred returns			2,742,556	14,063	800							2,757,419
Total adjustments	-	127,841	2,830,185	7,063	800	(3,840)	-	-	-	-	-	2,962,048
Net cash provided by (used in) operating activities	-	125,126	(1,310.50)	(8,160)	-	(95,367)	(1,943)	(800)	(825)	(870)	(800)	15,050
CASH FLOWS FROM INVESTING ACTIVITIES:												
Purchases of equipment, furniture, fixtures, signs		(125,000)										(125,000)
Capital expenditures												-
Net cash provided by (used in) investing activities	-	(125,000)	-	-	-	-	-	-	-	-	-	(125,000)
CASH FLOWS FROM FINANCING ACTIVITIES:												
Loan from individuals related to a member												-
Proceeds from borrowings from affiliates, net				6,800		89,711	1,022	800	825	800	800	100,757
Net cash provided by (used in) financing activities	-	-	-	6,800	-	89,711	1,022	800	825	800	800	100,757
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENT	-	126	(1,311)	(1,360)	-	(5,656)	(922)	-	-	(70)	-	(9,193)
CASH AND CASH EQUIVALENTS AT December 31, 2021	-	29,123	4,710	2,780	-	8,841	151,739	-	-	286	-	197,478
CASH AND CASH EQUIVALENTS AT September 30, 2022	\$ -	\$ 29,248	\$ 3,399	\$ 1,420	\$ -	\$ 3,185	\$ 150,817	\$ -	\$ -	\$ 216	\$ -	\$ 188,285

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Statement of Cash Flows
For the Nine months ended September 30, 2022
(unaudited)

	Plaza Mexico Foundation	The Source at Beach Foundation	3171 Fair Oaks, LLC	3100 E Imperial Highway Corp	Placo San Bernardino, LLC	Skyline I, LLC	Innoatti Technologies, LLC	Sonamu Holdings, LLC	Sonamu Management, Inc.	TOTAL
CASH FLOWS FROM OPERATING ACTIVITIES:										
Net income (loss)	\$ 5,758	\$ (916)	\$ (860)	\$ (830)	\$ (1,311)	\$ (800)	\$ (800)	\$ (108,199)	\$ (800)	\$ (108,759)
Adjustments to reconcile net income (loss) to net cash used in operating activities:										
Depreciation of tangible assets										-
Provision for bad debts										-
Amortization of intangible assets										-
Changes in operating assets and liabilities:										
(Increase) decrease in assets:										
Prepaid expenses and other assets	25									25
Increase (decrease) in liabilities:										
(Increase) decrease in capitalized loan fees										-
Prepaid rent and security deposits										-
Accounts payable and other accrued expenses								(3,150)		(3,150)
Total adjustments	25	-	-	-	-	-	-	(3,150)	-	(3,125)
Net cash provided by (used in) operating activities	5,783	(916)	(860)	(830)	(1,311)	(800)	(800)	(111,349)	(800)	(111,884)
CASH FLOWS FROM INVESTING ACTIVITIES:										
Purchases of equipment, furniture, fixtures, signs	-	-	-	-	-	-	-	-	-	-
Additions to landlord/tenant improvements										-
Additions to construction in progress										-
Capital expenditures										-
Net cash provided by (used in) investing activities	-	-	-	-	-	-	-	-	-	-
CASH FLOWS FROM FINANCING ACTIVITIES:										
Proceeds from borrowings from affiliates, net		800		830	1,311	800	800	114,130	800	119,471
Return of investor deposit	-	-	-	-	-	-		-		-
Net cash provided by (used in) financing activities	-	800	-	830	1,311	800	800	114,130	800	119,471
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	5,783	(116)	(860)	-	-	-	-	2,780	-	7,587
CASH AND CASH EQUIVALENTS AT December 31, 2021	169,183	203	2,385	-	-	-	2,597	2,895		177,264
CASH AND CASH EQUIVALENTS AT September 30, 2022	\$ 174,966	\$ 87	\$ 1,525	\$ -	\$ -	\$ -	\$ 2,597	\$ 5,675	\$ -	\$ 184,851

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Balance Sheets
September 30, 2022
(unaudited)

Comex Food
Service Inc

ASSETS

FIXED ASSETS:

Land	
Building and Improvements	
Pylon/LED Signage	
Equipment, furniture, fixtures, software, autos	\$ 1,270,115
Construction in Progress	
	<u>1,270,115</u>
Accumulated Depreciation	<u>(910,642)</u>
Total real estate, net	<u>359,473</u>

OTHER ASSETS:

Account receivable, net	337,332
Receivable arising from straight-lining of rents	-
Note receivable from The Source at Beach, LLC	-
Cash in reserve accounts	-
Cash & cash equivalents	11,645
Restricted cash	-
Due from affiliates	42,400
Accounts receivable - EB5 lenders	
Prepaid expenses and other assets	143,065
Inventory	47,256
Preferred return receivable	
Deferred leasing costs, net	
Deferred financing costs, net	
Total other assets	<u>581,698</u>

TOTAL ASSETS	\$ 941,172
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LIABILITIES AND MEMBERS' EQUITY

LIABILITIES:

Mortgage & Notes payable, net of deferred financing costs	
Lines of credit	
SBA Loans	500,000
Members' equity subject to mandatory redemption	
Due to affiliates	6,677,981
Prepaid rent and tenant security deposits	
Cash Overdraft	57,747
Accrued interest payable	385,618
Accrued preferred return	
Accounts payable & other liabilities	<u>3,367,278</u>
Total Liabilities	10,988,624

MEMBERS' EQUITY	(10,047,452)
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TOTAL LIABILITIES AND MEMBERS' EQUITY	\$ 941,172
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Statements of Operations and Equity
For the nine months ended September 30, 2022
(unaudited)

	Comex Food Service Inc
Revenue:	
Sales_Restaurant	\$ 1,381,175
Parking rental income	
Rental income arising from straight-lining of rents	
Operating cost reimbursements	
Development Fee income	
OH Reimbursements	
General Contractor Fee	
Management Fees	
Advertising & Signage	
Property/sales tax rebates	
Forfeited deposit	
Preferred return income	
Other income	
Total rental income	<u>1,381,175</u>
Operating Expenses:	
Cost of Good Sold	502,221
Real estate taxes	
Marketing expense	3,281
General and administrative expense	1,288,779
Provision for bad debts	
Total operating expenses	<u>1,794,280</u>
NOI before interest, depreciation & amort	\$ (413,105)
Depreciation & amortization	18,855
Interest expense	2,299
Preferred return expense	
Management fees	
Legal-loan modification	
Other (income) expense	<u>(618,881)</u>
Net income (loss)	\$ 184,622
Retained earnings (deficit), beginning of year	(10,232,074)
YG Put option-PE to a loan	
Retained earnings (deficit), September 30, 2022	<u><u>\$ (10,047,452)</u></u>

(unaudited)

	Comex Food Service Inc
CASH FLOWS FROM OPERATING ACTIVITIES:	
Net income (loss)	\$ 184,622
Adjustments to reconcile net income (loss) to net cash used in operating activities:	
Depreciation of tangible assets	18,180
Provision for bad debts	
Amortization of intangible assets	675
Changes in operating assets and liabilities:	
(Increase) decrease in assets:	
Rent receivable	
Receivable arising from straight-lining of rent	
Accounts receivable	(24,288)
Receivables from EB lenders	
Prepaid expenses and other assets	23,783
Deferred leasing commissions	
Increase (decrease) in liabilities:	
(Increase) decrease in capitalized loan fees	
Prepaid rent and security deposits	
Accounts payable and other accrued expenses	759,938
Accrued interests and preferred returns	
Foreign partner withholding taxes payable	
Total adjustments	778,289
Net cash provided by (used in) operating activities	962,911
CASH FLOWS FROM INVESTING ACTIVITIES:	
Purchases of equipment, furniture, fixtures, signs	
Additions to landlord/tenant improvements	
Additions to construction in progress	
Capital expenditures	
Net cash provided by (used in) investing activities	-
CASH FLOWS FROM FINANCING ACTIVITIES:	
Paydown of loan principal	(616,994)
Refi loan from Abra Lending	
Paydown of auto loan	
Loan from YG Entertainment, Inc.	
Conversion of YG Pref Equity to a Loan	
Loan from EB5	
SBA PPP loan	
Proceeds from borrowings from affiliates, net	(681,877)
Loan financing costs	
Net cash provided by (used in) financing activities	(1,298,871)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(335,960)
CASH AND CASH EQUIVALENTS AT JANUARY 1, 2021	289,858
CASH AND CASH EQUIVALENTS AT SEPTEMBER 30, 2022	\$ (46,102)

EXHIBIT "B"

Entity Name	Description
DMC Investment Holdings, LLC ("DMC")	DMC is a holding company, through which the Debtor owns interests in certain subsidiaries.
M+D Properties	M+D Properties serves as the manger for certain of other subsidiaries of the Debtor and it owns an interest in various real estate projects.
LTC Development, Inc. ("LTC")	LTC is a holding company, through which the Debtor owns an interest in ISLT Investment, LLC.
3000 E. Imperial, LLC ("3000")	3000 owns real property located at 3000 E. Imperial Hwy, Lynnwood, California, near the Plaza Mexico property. The property is to be the Plaza Mexico Residences (a five story apartment building). Construction has not yet commenced.
3100 E. Imperial Highway Corp. ("3100 E.")	3100 E. is a holding company, through which the Debtor owns an interest in Imperial Shopping Center, LLC.
Imperial Shopping Center, LLC ("Imperial").	Imperial is a holding company, through which the Debtor owns an interest in ISLT Investment, LLC. Imperial owns a .23 acre undeveloped parcel in Lynwood, California.
Greenland Construction Service, LLC ("Greenland")	Greenland is a construction company that managed construction for certain real estate development projects of M+D Properties. Greenland does not have any assets, but has liabilities associated with construction.
The Source at Beach, LLC ("TSB")	TSB owns The Source Retail building and the land for The Source Office and The Source Hotel.
The Source Office, LLC	The Source Office, LLC is the lessee of The Source Office Retail building from TSB.
The Source Hotel, LLC	The Source Hotel, LLC, was a debtor in its own chapter 11 case, Case No. 8:21-bk-10525-ES. It was the lessee of The Source Hotel from TSB.

Entity Name	Description
ISLT Investment, LLC ("ISLT")	ISLT is the parent of Placo Investment, LLC.
Placo Investment, LLC ("Placo")	Placo is the parent of 3100 E. Imperial Investment, LLC.
3100 E. Imperial Investment, LLC ("3100")	3100 is currently a debtor in a pending chapter 11 case, Case No. 8:21-bk-10957-ES.
Plamex Investment, LLC ("Plamex")	Plamex is currently a debtor in a pending chapter 11 case, Case No. 8:21-bk-10958-ES.
Sonamu Holdings, LLC ("Sonamu")	Sonamu raised and invested funds in certain real estate assets of M+D Properties.
M&D Regional Center, LLC ("M&D Regional")	M&D Regional is a EB-5 regional center, which has managed the raising of EB-5 investments for various M+D Properties development projects.
Beach Orangethorpe, LLC ("BO1")	BO1 is an entity created to receive EB-5 investments and that invested or loaned funds into The Source Retail. BO1 does not have any other assets.
Beach Orangethorpe II, LLC ("BO2")	BO2 is an entity created to receive EB-5 investments and that invested or loaned funds into The Source Retail.
Beach Orangethorpe Ventures, LLC ("BO3")	BO3 is an entity created to receive EB-5 investments and that invested or loaned funds into The Source Retail.
Beach Orangethorpe Source, LLC ("BO4")	BO4 is an entity created to receive EB-5 investments and that invested or loaned funds into The Source Retail.
Beach Orangethorpe Investors, LLC ("BO5")	BO5 is an entity created to receive EB-5 investments and that invested or loaned funds into The Source Retail.

Entity Name	Description
Beach Orangethorpe VI, LLC ("BO6")	BO6 is an entity created to receive EB-5 investments and that invested or loaned funds into The Source Retail.
Beach Orangethorpe VII, LLC ("BO7")	BO7 is an entity created to receive EB-5 investments and that invested or loaned funds into The Source Retail.
Beach Orangethorpe Hotel, LLC ("BOH1")	BOH1 is an entity created to receive EB-5 investments and that invested or loaned funds into The Source Hotel.
Beach Orangethorpe Hotel II, LLC ("BOH2")	BOH2 is an entity created to receive EB-5 investments and that invested or loaned funds into The Source Hotel.
Beach Orangethorpe Hotel III, LLC ("BOH3")	BOH3 is an entity created to receive EB-5 investments and that invested or loaned funds into The Source Hotel.
Beach Orangethorpe Office, LLC	Beach Orangethorpe Office, LLC is a EB-5 entity that received and invested funds into The Source Office.
Plaza Mexico Residences, LLC ("PMR")	PMR is an entity created to receive EB-5 investments and that invested or loaned funds in the Plaza Mexico Residences development project.
Plaza Mexico Residences II, LLC	Plaza Mexico Residences II, LLC is an EB-5 entity that received and invested funds into the Plaza Mexico Residences development project.
6555 Beach, LLC ("6555")	6555 is an EB-5 entity that receives EB-5 funds and invests into The Source Tower & Residences development project.
Greenland Property Management, LLC ("Greenland Property")	Greenland Property is a property management company that manages all of the real estate assets of M+D Properties.
The Source Tower & Residences, LLC ("TSTR")	TSTR is an entity that owns the land for The Source Tower & Residences apartment development project called in Buena Park, CA.

Entity Name	Description
The Source Residential, LLC	The Source Residential, LLC, was created for a future condo development project adjacent to The Source retail project.
Placo Fitness, LLC	Placo Fitness, LLC, was created to operate a gym at the Plaza Mexico Property if the current third party fitness gym tenant vacated the premises and pending a replacement.
Innoatti Technologies, LLC ("Innoatti")	Innoatti was created to operate an advertising income business that was ultimately never used. Innoatti is an inactive entity.
Comex Food Service, Inc. ("Comex")	Comex owns and operates a La Huasteca restaurant at The Source Retail. It no longer operates the La Huasteca restaurant at Plaza Mexico. Comex also previously operated an arcade at Plaza Mexico and oversaw the operations of two subsidiaries, Comex Korean BBQ, LLC, and Comex KC, LLC. Comex generates income.
Comex KC, LLC ("Comex KC").	Comex KC previously owned and operated a Kickin' Crab restaurant in Lynwood, CA. The restaurant was sold pre-petition within the past twelve months for an assumption of its liabilities. Comex KC has no further operations.
Comex Korean BBQ, LLC ("Comex BBQ")	Comex BBQ previously owned and operated an AMG Korean BBQ restaurant in Lynwood, CA. The restaurant was sold pre-petition within the past twelve months for an assumption of its liabilities. Comex BBQ has no further operations.
Comex Investment Fund, LLC	Comex Investment Fund, LLC was organized in 2016 and received notice of suspension or forfeiture to take place in 2018. The entity is inactive and, to the Debtor's knowledge, has no assets or liabilities.
3171 Fair Oaks, LLC	3171 Fair Oaks, LLC, owned property in Pasadena, CA, which was sold in 2016. While not technically dissolved, 3171 Fair Oaks, LLC, is an inactive entity.

Entity Name	Description
Placo San Bernardino, LLC	Placo San Bernardino, LLC, previously owned property in San Bernardino, CA. The property was subject to litigation. Following an event of default, the property was lost to foreclosure in 2011. A settlement was reached that resulted with the Debtor receiving initial reserves. The amount of the initial reserves was less than the purchase price. While not technically dissolved, Placo San Bernardino, LLC, is currently an inactive entity.
Skyline I, LLC	Skyline I, LLC, was created for financing purposes, but was never used and is currently an inactive entity.
The Source Venue, LLC	The Source Venue, LLC, is an inactive entity that was never used.
22003 PCH, LLC	22003 PCH, LLC was created in connection with the Debtor's Malibu property, was never used, and is currently an inactive entity.
Plaza Mexico Foundation	Plaza Mexico Foundation is a nonprofit foundation for Plaza Mexico. Plaza Mexico Foundation does not have a Section 501(c)(3) designation under the Internal Revenue Code, and was ultimately not used.
Sonamu Management, Inc.	Sonamu Management, Inc., is an entity created to manage investment funds and is the parent company to Sonamu Holdings, LLC. Sonamu Management, Inc. is currently an inactive entity.
The Source at Beach Foundation	The Source at Beach Foundation is a nonprofit foundation for The Source.
Tigon Capital, LLC	Tigon Capital, LLC, is an entity that raised and invested funds into certain real estate assets of M+D Properties.
Tigon US Fund I, LLC	Tigon US Fund I, LLC is an entity that raised and invested funds into certain real estate assets of M+D Properties.

Entity Name	Description
3100 E. Imperial Hwy, LLC	3100 E. Imperial Hwy, LLC is currently an inactive entity and was previously used for financing efforts at Plaza Mexico in early 2000's.
JEL Investment, Inc.	To the Debtor's knowledge, this entity has not had any activity since inception and does not have assets or liabilities.

EXHIBIT "C"

Donald Chae

Due to Affiliated Entities

(Unaudited)

Internally Prepared

Entities	To be Reported As of 9/30/2022
22003 PCH LLC	10,731.16
M+D	10,705.16
Shareholder Account (550 SHC)	26.00
3000 E. Imperial, LLC	920,899.35
Comex Food Service	12,415.20
M+D Properties	307,784.86
Shareholder Account	600,699.29
3100 E. Imperial Highway Corp.	29,741.39
M+D Properties	29,741.39
Plamex Investment, LLC	
3100 E. Imperial Hwy, LLC	19,303.92
M+D Properties	19,303.92
Placo San Bernardino LLC	-
3100 E. Imperial Investment LLC	-
M+D Properties	-
Imperial Shopping Center LLC	-
Plamex Investment, LLC	-
Placo San Bernardino LLC	-
3171 Fair Oaks, LLC	-
M+D Properties	-
M&D Regional Center, LLC	-
Plamex Investment, LLC	-
Shareholder Account (550 SHC)	-
6555 Beach LLC	68,226.95
M+D Properties	31,346.00
M&D Regional Center, LLC	24,342.00
The Source Tower & Residences, LLC	12,538.95
Alhambra Main LLC	-
M+D Properties	
Shareholder Account (550 SHC)	
Arcade	-
M+D Properties	-
Beach Orangethorpe Hotel, LLC	188,285.91
M+D Properties	143,964.66
M&D Regional Center, LLC	44,307.00
Greenland Property Management, LLC	14.25
Plamex Investment, LLC	-
Beach Orangethorpe Hotel II, LLC	205,640.33
M+D Properties	129,617.33
M&D Regional Center, LLC	76,003.00

Donald Chae

Due from Affiliated Entities

(Unaudited)

Internally Prepared

Entities	To be Reported As of 9/30/2022
22003 PCH LLC	-
M+D Properties	-
Shareholder Account	-
3000 E. Imperial, LLC	5,852,375.38
M+D Properties	5,690,386.12
Plaza Mexico Residences II, LLC	35,050.00
Plaza Mexico Residences, LLC	68,050.00
The Source Hotel LLC	55,000.00
Greenland Construction Service, LLC	3,320.44
Greenland Property Management, LLC	568.82
3100 E. Imperial Hwy, LLC	-
Plamex Investment, LLC	-
3100 E Imperial Highway Corp	-
Plamex Investment, LLC	-
M+D Properties	-
3100 E Imperial Investment, LLC	-
Plamex Investment, LLC	-
3171 Fair Oaks, LLC	-
The Source at Beach, LLC	-
Placo San Bernardino LLC	-
Greenland Property Management, LLC	-
M+D Properties	-
M&D Regional Center, LLC	-
550 SHC	-
6555 Beach LLC	-
M+D Properties	-
M&D Regional Center, LLC	-
Beach Orangethorpe Hotel II, LLC	12,736.59
The Source Hotel LLC	12,736.59
Beach Orangethorpe Hotel, LLC	1,000.00
M&D Regional Center, LLC	1,000.00
Beach Orangethorpe Investors, LLC	28,467.00
M&D Regional Center, LLC	28,467.00
Beach Orangethorpe Office, LLC	1,000.00
M&D Regional Center, LLC	1,000.00
Beach Orangethorpe Venue, LLC	-
M&D Regional Center, LLC	-
Comex Food Service	46,759.70
3000 E Imperial LLC	12,415.20
Comex Korean BBQ	-

Donald Chae

Due to Affiliated Entities

(Unaudited)

Internally Prepared

Entities	To be Reported As of 9/30/2022
The Source Hotel LLC	20.00
Beach Orangethorpe Hotel III, LLC	396,891.33
Greenland Property Management, LLC	24,631.25
M+D Properties	245,723.08
M&D Regional Center, LLC	126,537.00
Beach Orangethorpe Investors, LLC	406,546.84
M&D Regional Center, LLC	33,546.00
M+D Properties	368,034.34
Greenland Property Management, LLC	4,966.50
Beach Orangethorpe Office, LLC	117,472.06
M&D Regional Center, LLC	4,118.00
M+D Properties	104,870.81
Plamex Investment, LLC	-
The Source Office LLC	8,483.25
Beach Orangethorpe Source, LLC	49,665.00
M&D Regional Center, LLC	45,000.00
M+D Properties	4,665.00
Beach Orangethorpe Ventures, LLC	280,331.00
M&D Regional Center, LLC	280,331.00
Beach Orangethorpe Venue, LLC	3,321.67
M+D Properties	3,321.67
Beach Orangethorpe VI, LLC	298,240.97
Greenland Property Management, LLC	29,406.50
M&D Regional Center, LLC	89,230.00
M+D Properties	173,061.97
Plamex Investment, LLC	-
The Source at Beach LLC	6,542.50
Beach Orangethorpe VII, LLC	192,576.45
Greenland Property Management, LLC	18,953.25
M&D Regional Center, LLC	36,076.50
M+D Properties	126,620.00
The Source at Beach LLC	10,926.70
Café Canela	-
M+D Properties	-
Comex Food Service	19,377.56
Comex Korean BBQ	-
Comex KC	-
Imperial Market	-
Greenland Property Management, LLC	19,377.56
M+D Properties	-

Donald Chae

Due from Affiliated Entities

(Unaudited)

Internally Prepared

Entities	To be Reported As of 9/30/2022
Comex D&F Holdings LLC	-
Comex Investment Fund	-
Greenland Construction Service, LLC	133.38
La Huasteca II LLC	-
The Source at Beach, LLC	18,816.50
The Source Hotel LLC	15,321.58
The Source Tower & Residences, LLC	73.04
YG Food USA LLC	-
YG Republique BP LLC	-
Comex KC	-
Comex Food Service	-
Comex Korean BBQ	-
J&E Entertainment LLC	-
M+D Properties	-
DMC Investment Holdings, LLC	2,848,721.00
M+D Properties	1,824,189.00
The Source Hotel LLC	745,532.00
Placo Investment, LLC	279,000.00
DMC Source, LLC	-
M+D Properties	-
Greenland Construction Service, LLC	111,063.74
The Source Hotel LLC	111,063.74
Greenland Property Management, LLC	1,481,006.59
Imperial Market	-
LTC Investment Inc	10,920.00
Plamex Investment, LLC	-
Plaza Mexico Residences, LLC	15,000.00
Plaza Mexico Residences II, LLC	20,945.00
Placo San Bernardino LLC	-
The Source at Beach, LLC	9,134.88
The Source Office LLC	16.25
The Source Hotel LLC	241,023.34
Beach Orangethorpe Investors, LLC	4,966.50
Beach Orangethorpe VI, LLC	29,406.50
Beach Orangethorpe VII, LLC	18,953.25
Beach Orangethorpe Hotel, LLC	14.25
Beach Orangethorpe Hotel III, LLC	24,631.25
M+D Properties	990,845.81
M&D Regional Center, LLC	6,500.00
550 SHC	31,772.00

Donald Chae

Due to Affiliated Entities

(Unaudited)

Internally Prepared

Entities	To be Reported As of 9/30/2022
Placo Investment, LLC	-
Plamex Investment, LLC	-
The Source Tower & Residences, LLC	-
The Source at Beach LLC	-
Comex KC	-
Greenland Property Management, LLC	-
DMC Investment Holdings, LLC	1,749,435.06
The Source at Beach	1,622,444.90
The Source Hotel LLC	5,000.00
Greenland Property Management, LLC	49,000.00
M+D Properties	72,990.16
DMC Source, LLC	5,928.87
M+D Properties	5,928.87
Greenland Construction Service LLC	1,316,600.38
3000 E Imperial LLC	3,320.44
Comex Food Service	133.38
M+D Properties	1,255,466.75
Shareholders Accounts	-
Sonamu Holdings, LLC	-
The Source Office LLC	57,679.81
Greenland Property Management, LLC	84,803.96
3000 E Imperial LLC	568.82
Plamex Investment, LLC	-
3171 Fair Oaks, LLC	-
The Source at Beach, LLC	16,391.59
The Source Office LLC	1,985.67
The Source Tower & Residences, LLC	229.12
M+D Properties	65,628.76
Imperial Market	-
Lavanderia	-
Comex KC	-
Plamex Investment, LLC	-
Greenland Property Management, LLC	-
M+D Properties	-
Imperial Shopping Center, LLC	499,925.00
3100 E Imperial Investment LLC	-
ISLT Investment LLC	499,900.00
M+D Properties	25.00
Plamex Investment, LLC	-
InnoArc	-

Donald Chae

Due from Affiliated Entities

(Unaudited)

Internally Prepared

Entities	To be Reported As of 9/30/2022
DMC Investment Holdings, LLC	49,000.00
Sonamu Holdings LLC	8,500.00
Comex Food Service	19,377.56
Comex KC	-
Comex AMG	-
Imperial Market	-
Comex Food Service	-
Comex Korean BBQ	-
Imperial Shopping Center, LLC	-
ISLT Investment, LLC	-
Plamex Investment, LLC	-
3100 E Imperial Investment LLC	-
InnoArc	-
M+D Properties	-
Innoatti Technologies LLC	-
Innorock LLC	-
ISLT Investment, LLC	499,900.00
Imperial Shopping Center LLC	499,900.00
JEL Investment LLC	-
M+D Properties	-
LTC Development Inc	-
M+D Properties	-
M+D Regional Center, LLC	2,628,279.14
6555 Beach, LLC	24,342.00
Plaza Mexico Residences II, LLC	43,185.00
Plaza Mexico Residences, LLC	24,978.00
3171 Fair Oaks, LLC	-
MDRC Korea	-
The Source at Beach, LLC	512,335.69
The Source Residential, LLC	6,400.00
The Source Venue, LLC	5,000.00
Beach Orangethorpe Investors, LLC	33,546.00
Beach Orangethorpe Hotel, LLC	44,307.00
Beach Orangethorpe Hotel II, LLC	76,003.00
Beach Orangethorpe Hotel III, LLC	126,537.00
Beach Orangethorpe Office, LLC	4,118.00
Beach Orangethorpe Source, LLC	45,000.00
Beach Orangethorpe Ventures, LLC	280,331.00
Beach Orangethorpe VI, LLC	89,230.00
Beach Orangethorpe VII, LLC	36,076.50

Donald Chae

Due to Affiliated Entities

(Unaudited)

Internally Prepared

Entities	To be Reported As of 9/30/2022
Comex Food Service	-
M+D Properties	-
Innoatti Technologies LLC	27,001.00
M+D Properties	27,001.00
ISLT Investment LLC	11,050.00
M+D Properties	10,800.00
Imperial Shopping Center LLC	-
Placo Investment, LLC	250.00
JEL Investment LLC	18,336.00
M+D Properties	18,336.00
Plamex Investment, LLC	-
La Huasteca	-
M+D Properties	-
La Huasteca Pasadena	-
M+D Properties	-
Laundry	-
M+D Properties	-
LTC Development Inc	542,848.52
Greenland Property Management, LLC	10,920.00
M+D Properties	531,928.52
Plamex Investment, LLC	-
M+D Regional Center, LLC	10,164,664.15
Plaza Mexico Residences II, LLC	700.00
3171 Fair Oaks, LLC	-
The Source at Beach, LLC	1,737,505.56
Beach Orangethorpe Investors, LLC	28,467.00
Beach Orangethorpe Hotel, LLC	1,000.00
Beach Orangethorpe Office, LLC	1,000.00
Greenland Property Management, LLC	6,500.00
M+D Properties	8,032,410.59
Shareholder (550 SHC)	357,081.00
Placo San Bernardino LLC	-
Plamex Investment, LLC	-
M+D Properties	23,179,044.92
3000 E Imperial LLC	5,690,386.12
Plamex Investment, LLC	-
3171 Fair Oaks, LLC	-
The Source at Beach, LLC	6,073,525.73
The Source Office LLC	4,347,835.24
The Source Tower & Residences, LLC	496,614.16

Donald Chae

Due from Affiliated Entities

(Unaudited)

Internally Prepared

Entities	To be Reported As of 9/30/2022
M+D Properties	1,275,903.95
Skyline LLC	986.00
Greenland Property Management, LLC	-
M+D Properties	48,702,692.36
22003 PCH LLC	10,705.16
3000 E Imperial LLC	307,784.86
3100 E Imperial Highway Corp	29,741.39
3100 E Imperial HWY LLC	19,303.92
3100 E Imperial Investment LLC	-
3171 Fair Oaks, LLC	-
6555 Beach, LLC	31,346.00
Alhambra Main LLC	-
Arcade	-
Arcade	-
Beach Orangethorpe Hotel II, LLC	129,617.33
Beach Orangethorpe Hotel III, LLC	245,723.08
Beach Orangethorpe Hotel, LLC	143,964.66
Beach Orangethorpe Investors, LLC	368,034.34
Beach Orangethorpe Office, LLC	104,870.81
Beach Orangethorpe Source, LLC	4,665.00
Beach Orangethorpe Venue, LLC	3,321.67
Beach Orangethorpe VI, LLC	173,061.97
Beach Orangethorpe VII, LLC	126,620.00
Café Canela	-
Comex	-
Comex AMG	-
Comex Food Service	-
Comex KC	-
DMC Investment Holdings, LLC	72,990.16
DMC Source LLC	5,928.87
Don Chae	4,502,408.19
Greenland Construction Service, LLC	1,255,466.75
Greenland Property Management, LLC	65,628.76
Imperial Market	-
Imperial Shopping Center LLC	25.00
InnoArc	-
Innoatti Technologies LLC	27,001.00
ISLT Investment, LLC	10,800.00
JEL Investment LLC	18,336.00
La Huasteca	-

Donald Chae

Due to Affiliated Entities

(Unaudited)

Internally Prepared

Entities	To be Reported As of 9/30/2022
M&D Regional Center, LLC	1,275,903.95
Shareholder Account (550 SHC)	749,307.67
DMC Investment Holdings, LLC	1,824,189.00
InnoArc	-
Sonamu Holdings LLC	1,730,437.24
Greenland Construction Service, LLC	-
Greenland Property Management, LLC	990,845.81
M+D US Holdings, LLC	3,480.65
M+D Properties	3,480.65
MDRC Korea	-
M&D Regional Center, LLC	-
Min Chae	-
Greenland Property Management, LLC	-
M+D Properties	-
Placo Fitness, LLC	3,819.00
M+D Properties	3,819.00
Plamex Investment, LLC	-
Placo Investment LLC	1,784,892.65
DMC Investment Holdings, LLC	279,000.00
M+D Properties	1,079,825.95
Plamex Investment, LLC	-
The Source Tower & Residences, LLC	426,066.70
Placo San Bernardino LLC	-
3171 Fair Oaks, LLC	-
Greenland Property Management, LLC	-
M+D Properties	-
Plamex Investment, LLC	-
The Source at Beach, LLC	-
Plamex Investment LLC	-
3100 E Imperial Hwy LLC	-
3100 Investment LLC	-
Greenland Property Management, LLC	-
Imperial Shopping Center LLC	-
M+D Properties	-
Placo Investment, LLC	-
Placo San Bernardino LLC	-
Sonamu Holdings, LLC	-
The Source at Beach, LLC	-
Plaza Mexico Residences II, LLC	118,687.00
3000 E Imperial LLC	35,050.00

Donald Chae

Due from Affiliated Entities

(Unaudited)

Internally Prepared

Entities	To be Reported As of 9/30/2022
La Huasteca Pasadena	-
Laundry	-
LTC Development Inc	531,928.52
M+D Regional Center, LLC	8,032,410.59
M+D US Holdings, LLC	3,480.65
Min Chae	-
Placo Fitness LLC	3,819.00
Placo Investment, LLC	1,079,825.95
Placo San Bernardino LLC	-
Plamex Investment, LLC	-
Plaza Mexico Residences II, LLC	19,507.00
Plaza Mexico Residences, LLC	29,491.09
Shareholder (550 SHC)	2,976,491.04
Skyline LLC	7,482.06
Sonamu Holdings LLC	406,828.35
Sonamu Management Inc	1,468.77
Source New Markets, CDE, LLC	6,104.67
Sylmar	-
The Source at Beach Foundation	13,821.00
The Source at Beach, LLC	17,265,904.70
The Source Hotel II LLC	4,689.85
The Source Hotel LLC	4,951,033.88
The Source Office LLC	1,684,169.53
The Source Residential, LLC	360,573.42
The Source Tower & Residences, LLC	3,100,342.60
The Source Venue, LLC	64,943.52
Tigon Capital LLC	109,130.67
Tigon Growth Fund, LLC	101.50
Tigon US Fund I LLC	391,799.08
Western & Sixth LLC	-
M+D US Holdings LLC	-
M+D Properties	-
Plamex Investment, LLC	-
Placo Investment LLC	611,239.57
ISLT Investment, LLC	250.00
Plamex Investment, LLC	-
The Source at Beach, LLC	610,989.57
Placo San Bernardino LLC	-
3100 E Imperial Investment LLC	-
3100 E Imperial Hwy LLC	-

Donald Chae

Due to Affiliated Entities

(Unaudited)

Internally Prepared

Entities	To be Reported As of 9/30/2022
Greenland Property Management, LLC	20,945.00
M&D Regional Center, LLC	43,185.00
M+D Properties	19,507.00
Plaza Mexico Residences, LLC	137,519.09
3000 E Imperial LLC	68,050.00
Greenland Property Management, LLC	15,000.00
M&D Regional Center, LLC	24,978.00
M+D Properties	29,491.09
Plamex Investment, LLC	-
Shareholder Account	7,510,671.23
Plamex Investment, LLC	-
3171 Fair Oaks, LLC	-
M+D Properties	7,478,899.23
Donald Chae	-
Greenland Property Management, LLC	31,772.00
Skylink I, LLC	8,468.06
M&D Regional Center, LLC	986.00
M+D Properties	7,482.06
Sonamu Holdings LLC	415,328.35
Greenland Property Management, LLC	8,500.00
M+D Properties	406,828.35
Sonamu Management Inc	7,223.77
M+D Properties	1,468.77
Sonamu Holdings, LLC	5,755.00
Source New Markets, CDE, LLC	6,104.67
M+D Properties	6,104.67
Sylmar	-
M+D Properties	-
The Source at Beach Foundation	20,958.00
M+D Properties	13,821.00
The Source at Beach, LLC	7,137.00
The Source at Beach LLC	21,891,792.17
Plamex Investment, LLC	-
3171 Fair Oaks, LLC	-
Placo Investment, LLC	610,989.57
Placo San Bernardino LLC	-
Comex Food Service	18,816.50
Shareholder Account (550 SHC)	3,015,789.54
Sonamu Holdings, LLC	458,821.29
M+D Properties	17,265,904.70

Donald Chae

Due from Affiliated Entities

(Unaudited)

Internally Prepared

Entities	To be Reported As of 9/30/2022
Plamex Investment, LLC	-
The Source at Beach, LLC	-
M&D Regional Center, LLC	-
Plamex Investment LLC	-
Comex	-
Café Canela	-
Imperial Market	-
Laundry	-
3000 E Imperial LLC	-
3100 E. IMPERIAL Highway Corp	-
Placo Investment LLC	-
3100 E. Imperial Investment LLC	-
JEL Investment LLC	-
LTC Invesment Inc	-
Imperial Shopping Center LLC	-
Placo Fitness LLC	-
Plaza Mexico Residences, LLC	-
3171 Fair Oaks, LLC	-
Placo San Bernardino LLC	-
The Source at Beach, LLC	-
The Source Office LLC	-
The Source Hotel, LLC	-
Beach Orangethorpe Investors, LLC	-
Beach Orangethorpe VI, LLC	-
Beach Orangethorpe Hotel, LLC	-
Beach Orangethorpe Hotel II, LLC	-
Beach Orangethorpe Office, LLC	-
M+D Properties	-
M&D Regional Center, LLC	-
Shareholder Account	-
Comex Food Service	-
La Huasteca	-
La Huasteca Pasadena	-
Comex KC	-
Comex AMG	-
Greenland Property Management, LLC	-
Tigon Growth Fund, LLC	-
3000 E Imperial LLC	-
Plamex Investment, LLC	-
M+D Properties	-

Donald Chae

Due to Affiliated Entities

(Unaudited)

Internally Prepared

Entities	To be Reported As of 9/30/2022
M&D Regional Center, LLC	512,335.69
Greenland Property Management, LLC	9,134.88
The Source Hotel, LLC	6,410,761.02
3000 E Imperial LLC	55,000.00
Plamex Investment, LLC	-
Beach Orangethorpe Hotel II, LLC	12,736.59
Greenland Property Management, LLC	241,023.34
M+D Properties	4,951,033.88
Comex Food Service	15,321.58
Sonamu Holdings, LLC	208,943.18
The Source at Beach, LLC	70,106.71
DMC Investment Holdings, LLC	745,532.00
Greenland Construction Service, LLC	111,063.74
The Source Hotel II, LLC	4,689.85
M+D Properties	4,689.85
The Source Office LLC	1,684,185.78
Greenland Construction Service, LLC	16.25
M+D Properties	1,684,169.53
The Source Residential, LLC	370,365.89
M&D Regional Center, LLC	6,400.00
M+D Properties	360,573.42
The Source at Beach, LLC	3,338.14
The Source Tower & Residences, LLC	54.33
The Source Tower & Residences, LLC	4,075,415.64
M+D Properties	3,100,342.60
Sonamu Holdings, LLC	450,000.00
The Source Office LLC	525,000.00
Comex Food Service	73.04
The Source Venue, LLC	69,943.52
M&D Regional Center, LLC	5,000.00
M+D Properties	64,943.52
Tigon Capital, LLC	111,630.67
M+D Properties	109,130.67
Tigon US Fund I LLC	2,500.00
Tigon Growth Fund, LLC	101.50
M+D Properties	101.50
Tigon US Fund I LLC	391,799.08
M+D Properties	391,799.08
Western & Sixth, LLC	-
M+D Properties	-

Donald Chae

Due from Affiliated Entities

(Unaudited)

Internally Prepared

Entities	To be Reported As of 9/30/2022
Plaza Mexico Residences II, LLC	700.00
3000 E Imperial LLC	-
M+D Properties	-
M+D Regional Center, LLC	700.00
Shareholder Account	4,722,903.50
3000 E Imperial LLC	600,699.29
22003 PCH LLC	26.00
Plamex Investment, LLC	-
Alhambra Main LLC	-
3171 Fair Oaks, LLC	-
The Source at Beach, LLC	3,015,789.54
M+D Properties	749,307.67
M&D Regional Center, LLC	357,081.00
Shareholder, MC, DC, Intercompany	-
Greenland Construction Service, LLC	-
La Huasteca	-
La Huasteca Pasadena	-
Western & Sixth LLC	-
Skyline I LLC	-
M+D Properties	-
M+D Regional Center, LLC	-
Sonamu Holdings LLC	2,853,956.71
Plamex Investment, LLC	-
The Source at Beach, LLC	458,821.29
The Source Hotel, LLC	208,943.18
The Source Tower & Residences, LLC	450,000.00
M+D Properties	1,730,437.24
Sonamu Management Inc	5,755.00
Sonamu Management Inc	-
Shareholder	-
The Source at Beach LLC	9,547,918.83
The Source Hotel LLC	70,106.71
The Source Residential, LLC	3,338.14
Placo San Bernardino LLC	-
Plamex Investment, LLC	-
Beach Orangethorpe VI, LLC	6,542.50
Beach Orangethorpe VII, LLC	10,926.70
M+D Properties	6,073,525.73
M&D Regional Center, LLC	1,737,505.56
DMC Investment Holdings, LLC	1,622,444.90

Donald Chae

Due to Affiliated Entities

(Unaudited)

Internally Prepared

Entities	To be Reported As of 9/30/2022
Shareholder Account (550 SHC)	-
Grand Total	85,834,727.34

Donald Chae

Due from Affiliated Entities

(Unaudited)

Internally Prepared

Entities	To be Reported As of 9/30/2022
The Source at Beach Foundation	7,137.00
Greenland Property Management, LLC	16,391.59
Tigon Capital, LLC	-
Tigon US Fund I LLC	-
M+D Properties	-
The Source Hotel, LLC	5,020.00
3000 E Imperial LLC	-
Beach Orangethorpe Hotel II, LLC	20.00
DMC Investment Holdings, LLC	5,000.00
Greenland Construction Service, LLC	-
The Source Office LLC	4,940,983.97
Beach Orangethorpe Office, LLC	8,483.25
Greenland Construction Service, LLC	57,679.81
Greenland Property Management, LLC	1,985.67
The Source Tower & Residences, LLC	525,000.00
M+D Properties	4,347,835.24
The Source Tower & Residences, LLC	935,503.26
M+D Properties	496,614.16
Placo Investment, LLC	426,066.70
The Source Residential, LLC	54.33
6555 Beach, LLC	12,538.95
Sonamu Holdings LLC	-
Comex Food Service	-
Greenland Property Management, LLC	229.12
Tigon US Fund I LLC	2,500.00
Tigon Capital LLC	2,500.00
Grand Total	85,834,727.34

EXHIBIT "D"

Exhibit D

The Debtor is in the process of determining whether any tax sharing or tax allocation agreements exist between the controlled non-debtor entities by consultation with tax professionals. To the extent any such agreements exist, the Debtor will file an amended FRBP 2015.3 Report with descriptions of the agreements.

EXHIBIT "E"

Exhibit E

As previously disclosed, Comex Food Service, Inc., paid the legal retainer for the Debtor's bankruptcy counsel, Smiley Wang-Ekval, LLP.

On December 1 2021, and April 5, 2022, M+D Properties ("M+D"), paid the real property taxes for the real properties located at 22003 Pacific Coast Highway, Malibu, California 90265 ("Malibu Property"), and 6840 Beach Boulevard, Buena Park, California ("Beach Boulevard Property"). M+D paid property taxes totaling \$17,117.32 for the Malibu Property and property taxes totaling \$13,088.04 for the Beach Boulevard Property.

M+D made payments to United Business Bank in accordance with, and as authorized by, the stipulation approved by the order granting the Debtor's *Motion for Order Approving Stipulation for Order Approving Payments to United Business Bank* [Docket No. 134]. From July 1, 2022 to September 20, 2022, M+D made payments to United Business Bank totaling \$29,858.25.

Pre-petition, M+D retained the law firm Ellis George Cipollone O'Brien Annaguey LLP ("Ellis George") to represent the Debtor and Min Chae in a lawsuit commenced by Wells Fargo. On December 27, 2021 and February 4, 2021, in accordance with the engagement agreement it signed, M+D paid \$70,000 and \$40,482.32, respectively, to Ellis George.

Pre-petition, the Debtor and M+D obtained a loan from Pacific City Bank, which later assigned the loan to APSEC Resolution Trust, LLC ("APSEC"). On June 23, 2022, the Debtor filed a *Motion for Order Approving Stipulation for Order Approving Payments to APSEC Resolution Trust, LLC* [Docket No. 172]. The Court entered an order granting this motion and approving the stipulation on July 13, 2022 [Docket No. 180]. Prior to the loan's maturity date, M+D made payments on the loan in the ordinary course (one payment to Pacific City Bank and two payments to APSEC). After approval of the stipulation, M+D resumed payments to APSEC as required by the stipulation. From December 13, 2021 to September 20, 2022, M+D has made payments to APSEC totaling \$116,254.18.

PROOF OF SERVICE OF DOCUMENT

I am over the age of 18 and not a party to this bankruptcy case or adversary proceeding. My business address is 3200 Park Center Drive, Suite 250, Costa Mesa, CA 92626.

A true and correct copy of the foregoing document entitled (*specify* **Periodic Report Regarding Value, Operations, and Profitability of Entities in Which the Debtor's Estate Holds a Substantial or Controlling Interest**) will be served or was served **(a)** on the judge in chambers in the form and manner required by LBR 5005-2(d); and **(b)** in the manner stated below:

1. TO BE SERVED BY THE COURT VIA NOTICE OF ELECTRONIC FILING (NEF): Pursuant to controlling General Orders and LBR, the foregoing document will be served by the court via NEF and hyperlink to the document. On (*date*) November 15, 2022 I checked the CM/ECF docket for this bankruptcy case or adversary proceeding and determined that the following persons are on the Electronic Mail Notice List to receive NEF transmission at the email addresses stated below:

☒ Service information continued on attached page.

2. SERVED BY UNITED STATES MAIL:

On (*date*) November 15, 2022, I served the following persons and/or entities at the last known addresses in this bankruptcy case or adversary proceeding by placing a true and correct copy thereof in a sealed envelope in the United States mail, first class, postage prepaid, and addressed as follows. Listing the judge here constitutes a declaration that mailing to the judge will be completed no later than 24 hours after the document is filed.

Hon. Scott C. Clarkson
United States Bankruptcy Court
411 West Fourth Street, Suite 5130
Santa Ana, CA 92701-4593

Office of The United States Trustee
411 West Fourth Street
Suite 7160
Santa Ana, CA 92701

Steven Casselberry, Esq.
Musick, Peeler & Garrett, LLP 650
Town Center Drive, Suite 1200
Costa Mesa, CA 92626-1925

☐ Service information continued on attached page.

3. SERVED BY PERSONAL DELIVERY, OVERNIGHT MAIL, FACSIMILE TRANSMISSION OR EMAIL (*state method for each person or entity served*): Pursuant to F.R.Civ.P. 5 and/or controlling LBR, on (*date*) I served the following persons and/or entities by personal delivery, overnight mail service, or (for those who consented in writing to such service method), by facsimile transmission and/or email as follows. Listing the judge here constitutes a declaration that personal delivery on, or overnight mail to, the judge will be completed no later than 24 hours after the document is filed.

☐ Service information continued on attached page.

I declare under penalty of perjury under the laws of the United States that the foregoing is true and correct.

November 15, 2022

Date

James Chung

Printed Name

/s/ James Chung

Signature

1. **SERVED BY THE COURT VIA NOTICE OF ELECTRONIC FILING ("NEF")**

- Alexander F Berk aberk@mayerbrown.com, courtnotification@mayerbrown.com
- Sean R Bozarth seanb@novianlaw.com
- Steven Casselberry s.casselberry@mpglaw.com, S.Geraghty@musickeeler.com
- Caroline Djang cdjang@buchalter.com, docket@buchalter.com;lverstegen@buchalter.com
- Timothy W Evanston tevanston@swelawfirm.com,
gcruz@swelawfirm.com;lgarrett@swelawfirm.com;jchung@swelawfirm.com
- Michael G Fletcher mfletcher@frandzel.com, sking@frandzel.com
- Amir Gamliel amir-gamliel-9554@ecf.pacerpro.com, cmallahi@perkinscoie.com;DocketLA@perkinscoie.com
- Jeffrey Garfinkle jgarfinkle@buchalter.com, docket@buchalter.com;lverstegen@buchalter.com
- Nancy S Goldenberg nancy.goldenberg@usdoj.gov
- David M. Guess dguess@buchalter.com, david-guess-9268@ecf.pacerpro.com
- Harry Kim harrykim@lacwkrr.com
- Daniel A Lev daniel.lev@gmlaw.com, cheryl.caldwell@gmlaw.com;dlev@ecf.courtdrive.com
- Robert K Lu ewu@reidwise.com
- Patricia H Lyon phlyon@frenchlyontang.com, mwoodward@frenchlyontang.com
- Aaron J Malo amalo@sheppardmullin.com, clopez@sheppardmullin.com;abilly@sheppardmullin.com
- Robert S Marticello Rmarticello@swelawfirm.com,
gcruz@swelawfirm.com;lgarrett@swelawfirm.com;jchung@swelawfirm.com
- Kyle J Mathews kmathews@sheppardmullin.com
- Scott H Noskin snoskin@mbnlawyers.com, aacosta@mbnlawyers.com
- Farhad Novian amanda@novianlaw.com
- Ronald N Richards ron@ronaldrichards.com, 7206828420@filings.docketbird.com
- Meagan S Tom meagan.tom@lockelord.com, autodocket@lockelord.com;steven.pearson@lockelord.com
- United States Trustee (SA) ustpreion16.sa.ecf@usdoj.gov
- Reed S Waddell rwaddell@frandzel.com, sking@frandzel.com
- Gerrick Warrington gwarrington@frandzel.com, sking@frandzel.com

EXHIBIT "7"

UNITED STATES BANKRUPTCY COURT

Central DISTRICT OF California

Santa Ana Division

In Re. Donald Chae

§
§
§
§
§

Case No. 21-12493

Debtor(s)

☐ Jointly Administered

Monthly Operating Report

Chapter 11

Reporting Period Ended: 11/30/2022

Petition Date: 10/03/2021

Months Pending: 14

Industry Classification: 0 0 0 0

Reporting Method:

Accrual Basis ☐

Cash Basis ☒

Debtor's Full-Time Employees (current):

0

Debtor's Full-Time Employees (as of date of order for relief):

0

Supporting Documentation (check all that are attached):

(For jointly administered debtors, any required schedules must be provided on a non-consolidated basis for each debtor)

- ☐ Statement of cash receipts and disbursements
- ☐ Balance sheet containing the summary and detail of the assets, liabilities and equity (net worth) or deficit
- ☐ Statement of operations (profit or loss statement)
- ☐ Accounts receivable aging
- ☐ Postpetition liabilities aging
- ☐ Statement of capital assets
- ☐ Schedule of payments to professionals
- ☐ Schedule of payments to insiders
- ☒ All bank statements and bank reconciliations for the reporting period
- ☐ Description of the assets sold or transferred and the terms of the sale or transfer

/s/ Donald Chae

Signature of Responsible Party

12/21/2022

Date

Donald Chae

Printed Name of Responsible Party

P.O. Box 80334, San Marino, CA 91118

Address

STATEMENT: This Periodic Report is associated with an open bankruptcy case; therefore, Paperwork Reduction Act exemption 5 C.F.R. § 1320.4(a)(2) applies.

Debtor's Name Donald Chae

Case No. 21-12493

Part 1: Cash Receipts and Disbursements		Current Month	Cumulative
a. Cash balance beginning of month		\$209,332	
b. Total receipts (net of transfers between accounts)		\$6,977	\$155,890
c. Total disbursements (net of transfers between accounts)		\$2,977	\$58,085
d. Cash balance end of month (a+b-c)		\$213,332	
e. Disbursements made by third party for the benefit of the estate		\$0	\$0
f. Total disbursements for quarterly fee calculation (c+e)		\$2,977	\$58,085

Part 2: Asset and Liability Status (Not generally applicable to Individual Debtors. See Instructions.)		Current Month
a. Accounts receivable (total net of allowance)		\$0
b. Accounts receivable over 90 days outstanding (net of allowance)		\$0
c. Inventory (Book ☐ Market ☐ Other ☒ (attach explanation))		\$0
d. Total current assets		\$0
e. Total assets		\$0
f. Postpetition payables (excluding taxes)		\$0
g. Postpetition payables past due (excluding taxes)		\$0
h. Postpetition taxes payable		\$0
i. Postpetition taxes past due		\$0
j. Total postpetition debt (f+h)		\$0
k. Prepetition secured debt		\$0
l. Prepetition priority debt		\$0
m. Prepetition unsecured debt		\$0
n. Total liabilities (debt) (j+k+l+m)		\$0
o. Ending equity/net worth (e-n)		\$0

Part 3: Assets Sold or Transferred		Current Month	Cumulative
a. Total cash sales price for assets sold/transferred outside the ordinary course of business		\$0	\$0
b. Total payments to third parties incident to assets being sold/transferred outside the ordinary course of business		\$0	\$0
c. Net cash proceeds from assets sold/transferred outside the ordinary course of business (a-b)		\$0	\$0

Part 4: Income Statement (Statement of Operations) (Not generally applicable to Individual Debtors. See Instructions.)		Current Month	Cumulative
a. Gross income/sales (net of returns and allowances)		\$0	
b. Cost of goods sold (inclusive of depreciation, if applicable)		\$0	
c. Gross profit (a-b)		\$0	
d. Selling expenses		\$0	
e. General and administrative expenses		\$0	
f. Other expenses		\$0	
g. Depreciation and/or amortization (not included in 4b)		\$0	
h. Interest		\$0	
i. Taxes (local, state, and federal)		\$0	
j. Reorganization items		\$0	
k. Profit (loss)		\$0	\$0

Debtor's Name Donald Chae

Case No. 21-12493

Part 5: Professional Fees and Expenses

			Approved Current Month	Approved Cumulative	Paid Current Month	Paid Cumulative
a.	Debtor's professional fees & expenses (bankruptcy) <i>Aggregate Total</i>		\$0	\$1,509,516	\$0	\$0
	<i>Itemized Breakdown by Firm</i>					
	Firm Name	Role				
i	Smiley Wang-Ekvall	Lead Counsel	\$0	\$806,698	\$0	\$0
ii	Force 10 Partners	Financial Professional	\$0	\$263,158	\$0	\$0
iii	Grobstein Teeple	Other	\$0	\$23,710	\$0	\$0
iv	Coldwell Banker	Other	\$0	\$0	\$0	\$0
v	Kidder Matthews of California	Other	\$0	\$0	\$0	\$0
vi	Buchalter, APC	Other		\$53,833		
vii	Development Speicalists, Inc.	Financial Professional		\$160,050		
viii	Greenberg Traurig, LLP	Other		\$202,069		
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Debtor's Name Donald Chae

Case No. 21-12493

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Debtor's Name Donald Chae

Case No. 21-12493

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b.			Approved Current Month	Approved Cumulative	Paid Current Month	Paid Cumulative
	Debtor's professional fees & expenses (nonbankruptcy) <i>Aggregate Total</i>		\$0	\$0	\$0	\$0
	<i>Itemized Breakdown by Firm</i>					
	Firm Name	Role				
i	0		\$0	\$0	\$0	\$0
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Debtor's Name Donald Chae

Case No. 21-12493

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Debtor's Name Donald Chae

Case No. 21-12493

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Debtor's Name Donald Chae

Case No. 21-12493

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c.	All professional fees and expenses (debtor & committees)						

Part 6: Postpetition Taxes		Current Month	Cumulative
a.	Postpetition income taxes accrued (local, state, and federal)	\$0	\$0
b.	Postpetition income taxes paid (local, state, and federal)	\$0	\$0
c.	Postpetition employer payroll taxes accrued	\$0	\$0
d.	Postpetition employer payroll taxes paid	\$0	\$0
e.	Postpetition property taxes paid	\$0	\$4,537
f.	Postpetition other taxes accrued (local, state, and federal)	\$0	\$0
g.	Postpetition other taxes paid (local, state, and federal)	\$0	\$0

Part 7: Questionnaire - During this reporting period:

- a. Were any payments made on prepetition debt? (if yes, see Instructions) Yes ☐ No ☒
- b. Were any payments made outside the ordinary course of business without court approval? (if yes, see Instructions) Yes ☐ No ☒
- c. Were any payments made to or on behalf of insiders? Yes ☒ No ☐
- d. Are you current on postpetition tax return filings? Yes ☒ No ☐
- e. Are you current on postpetition estimated tax payments? Yes ☒ No ☐
- f. Were all trust fund taxes remitted on a current basis? Yes ☒ No ☐
- g. Was there any postpetition borrowing, other than trade credit? (if yes, see Instructions) Yes ☒ No ☐
- h. Were all payments made to or on behalf of professionals approved by the court? Yes ☐ No ☐ N/A ☒
- i. Do you have:
- Worker's compensation insurance? Yes ☐ No ☒
 - If yes, are your premiums current? Yes ☐ No ☐ N/A ☒ (if no, see Instructions)
 - Casualty/property insurance? Yes ☒ No ☐
 - If yes, are your premiums current? Yes ☒ No ☐ N/A ☐ (if no, see Instructions)
 - General liability insurance? Yes ☒ No ☐
 - If yes, are your premiums current? Yes ☒ No ☐ N/A ☐ (if no, see Instructions)
- j. Has a plan of reorganization been filed with the court? Yes ☐ No ☒
- k. Has a disclosure statement been filed with the court? Yes ☐ No ☒
- l. Are you current with quarterly U.S. Trustee fees as set forth under 28 U.S.C. § 1930? Yes ☒ No ☐

Debtor's Name Donald Chae

Case No. 21-12493

Part 8: Individual Chapter 11 Debtors (Only)

a. Gross income (receipts) from salary and wages	\$10,000
b. Gross income (receipts) from self-employment	\$0
c. Gross income from all other sources	\$0
d. Total income in the reporting period (a+b+c)	\$10,000
e. Payroll deductions	\$3,023
f. Self-employment related expenses	\$0
g. Living expenses	\$2,977
h. All other expenses	\$0
i. Total expenses in the reporting period (e+f+g+h)	\$6,001
j. Difference between total income and total expenses (d-i)	\$3,999
k. List the total amount of all postpetition debts that are past due	\$4,537
l. Are you required to pay any Domestic Support Obligations as defined by 11 U.S.C § 101(14A)?	Yes ☐ No ☒
m. If yes, have you made all Domestic Support Obligation payments?	Yes ☐ No ☐ N/A ☒

Privacy Act Statement

28 U.S.C. § 589b authorizes the collection of this information, and provision of this information is mandatory under 11 U.S.C. §§ 704, 1106, and 1107. The United States Trustee will use this information to calculate statutory fee assessments under 28 U.S.C. § 1930(a)(6). The United States Trustee will also use this information to evaluate a chapter 11 debtor's progress through the bankruptcy system, including the likelihood of a plan of reorganization being confirmed and whether the case is being prosecuted in good faith. This information may be disclosed to a bankruptcy trustee or examiner when the information is needed to perform the trustee's or examiner's duties or to the appropriate federal, state, local, regulatory, tribal, or foreign law enforcement agency when the information indicates a violation or potential violation of law. Other disclosures may be made for routine purposes. For a discussion of the types of routine disclosures that may be made, you may consult the Executive Office for United States Trustee's systems of records notice, UST-001, "Bankruptcy Case Files and Associated Records." See 71 Fed. Reg. 59,818 et seq. (Oct. 11, 2006). A copy of the notice may be obtained at the following link: http://www.justice.gov/ust/eo/rules_regulations/index.htm. Failure to provide this information could result in the dismissal or conversion of your bankruptcy case or other action by the United States Trustee. 11 U.S.C. § 1112(b)(4)(F).

I declare under penalty of perjury that the foregoing Monthly Operating Report and its supporting documentation are true and correct and that I have been authorized to sign this report on behalf of the estate.

/s/ Donald Chae

Signature of Responsible Party

Self

Title

Donald Chae

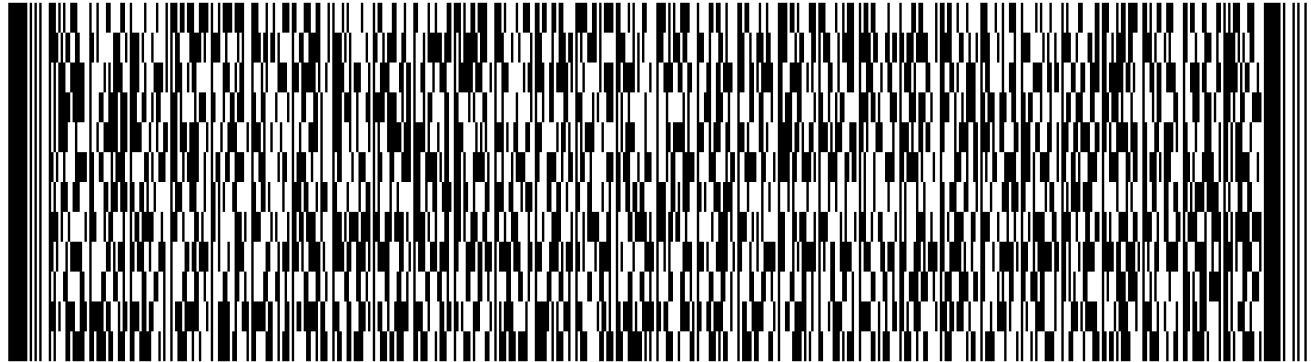
Printed Name of Responsible Party

12/21/2022

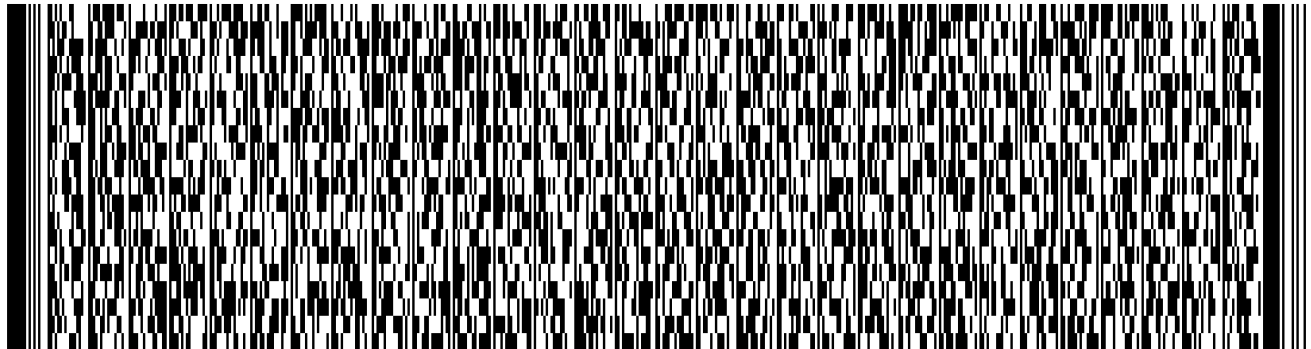
Date

Debtor's Name Donald Chae

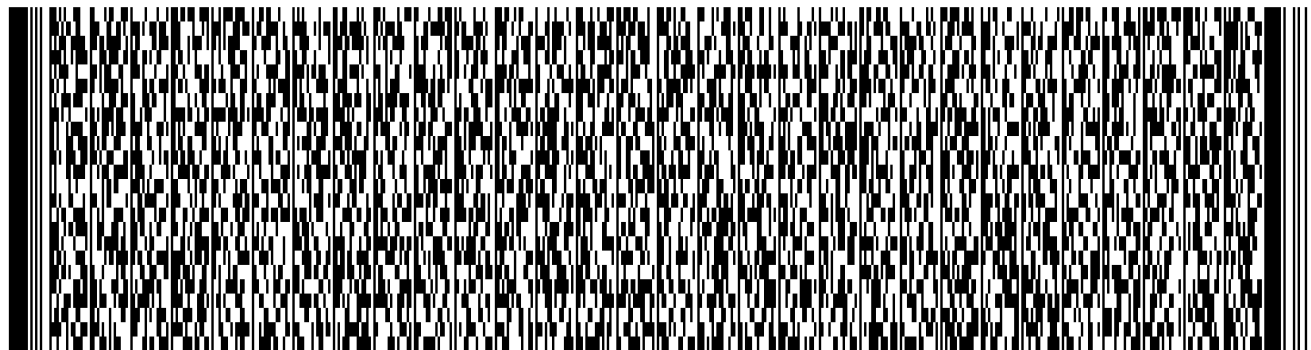
Case No. 21-12493



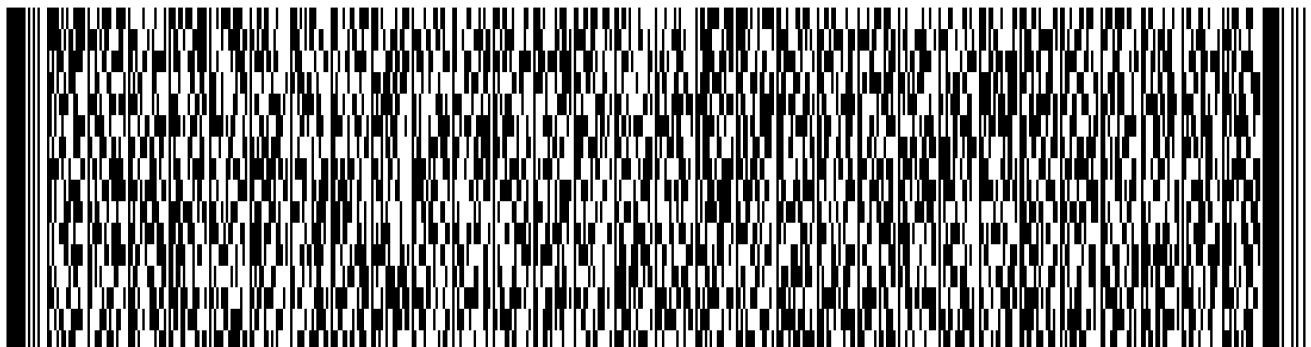
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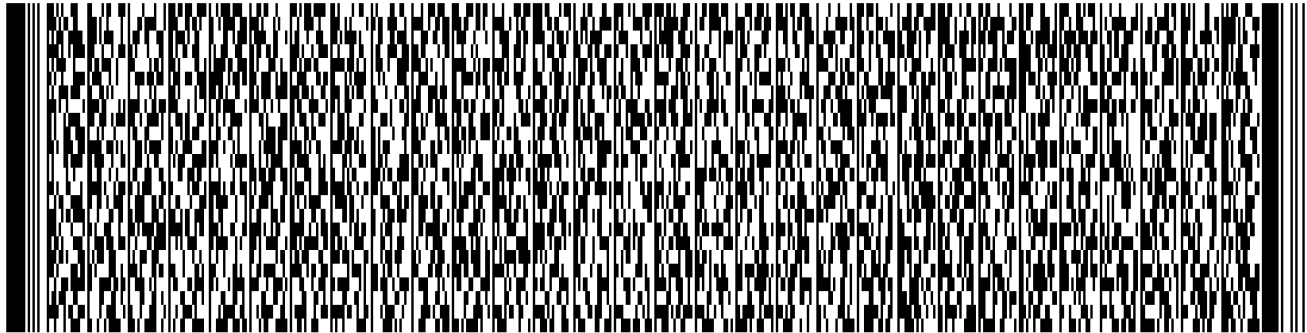
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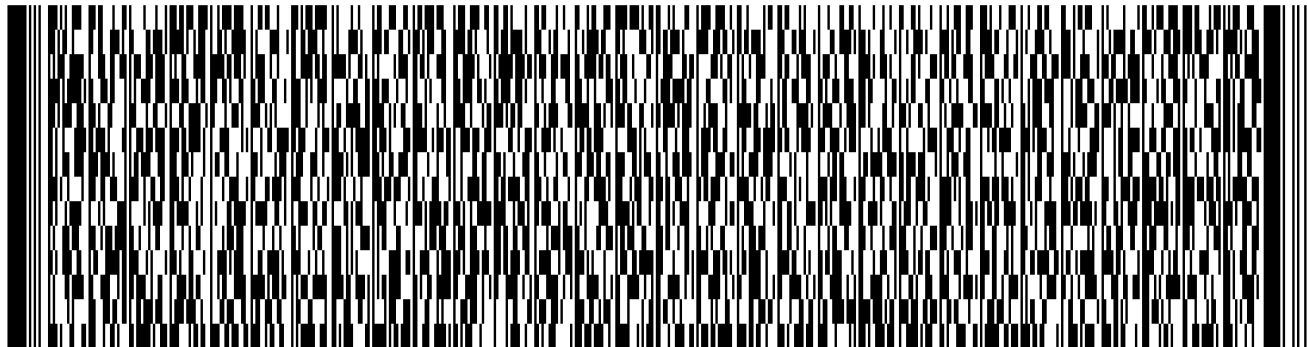
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Debtor's Name Donald Chae

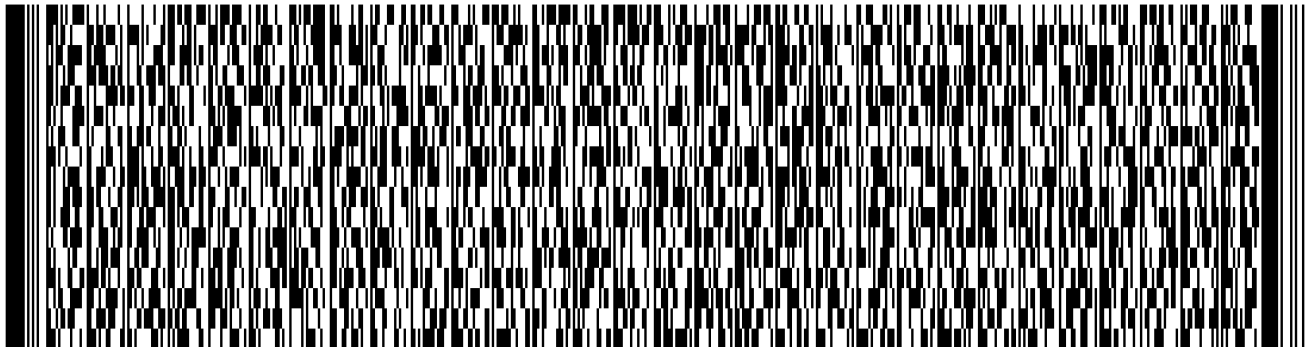
Case No. 21-12493



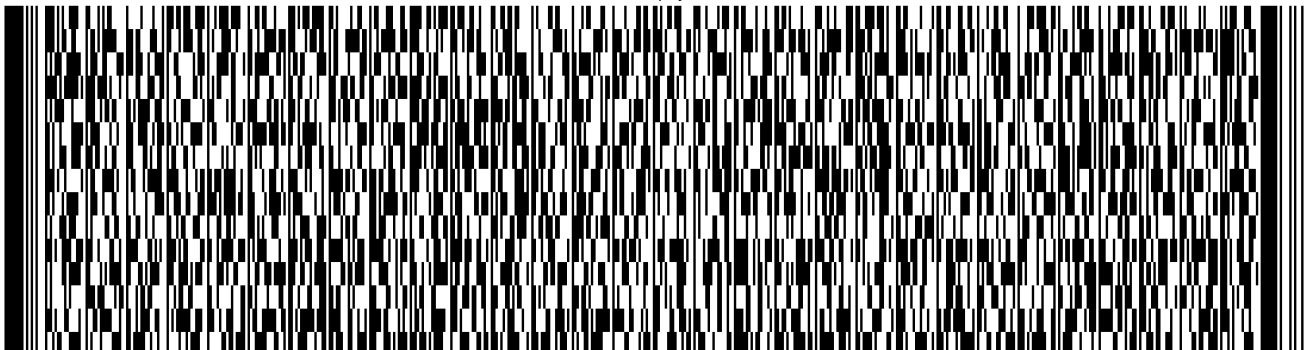
Bankruptcy1to50



Bankruptcy51to100



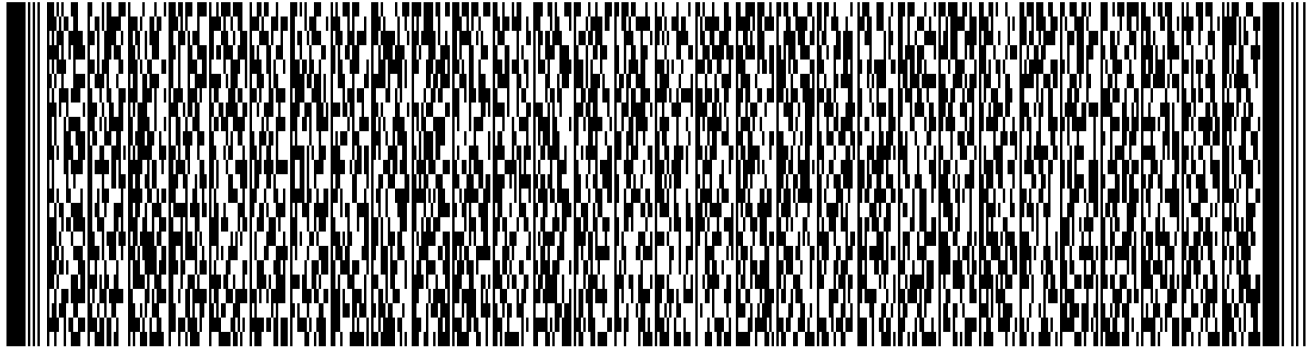
NonBankruptcy1to50



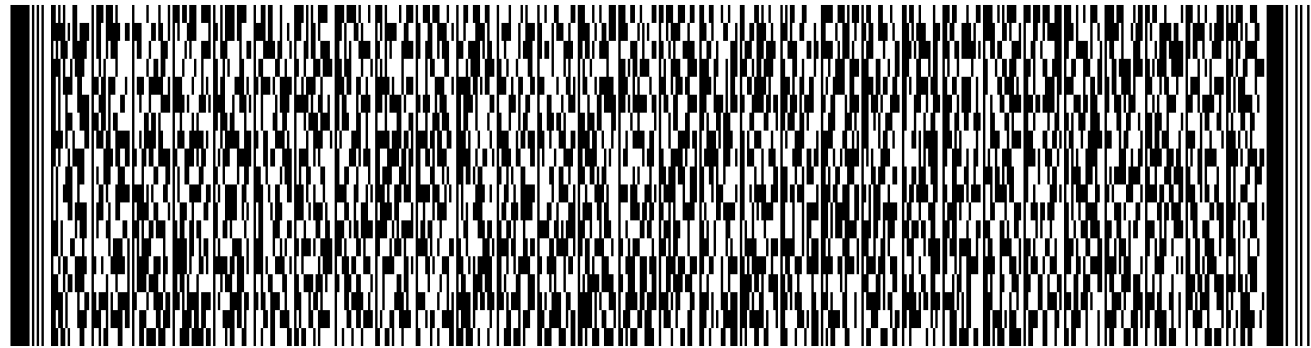
NonBankruptcy51to100

Debtor's Name Donald Chae

Case No. 21-12493



PageThree



PageFour

Supporting Documents

MOR
signatures

UNITED STATES BANKRUPTCY COURT

Central DISTRICT OF California

Santa Ana Division

In Re. Donald Chae

§
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Case No. 21-12493

Debtor(s)

☐ Jointly Administered

Monthly Operating Report

Chapter 11

Reporting Period Ended: 11/30/2022

Petition Date: 10/03/2021

Months Pending: 14

Industry Classification: 0 0 0 0

Reporting Method:

Accrual Basis ☐

Cash Basis ☒

Debtor's Full-Time Employees (current):

0

Debtor's Full-Time Employees (as of date of order for relief):

0

Supporting Documentation (check all that are attached):

(For jointly administered debtors, any required schedules must be provided on a non-consolidated basis for each debtor)

- ☐ Statement of cash receipts and disbursements
- ☐ Balance sheet containing the summary and detail of the assets, liabilities and equity (net worth) or deficit
- ☐ Statement of operations (profit or loss statement)
- ☐ Accounts receivable aging
- ☐ Postpetition liabilities aging
- ☐ Statement of capital assets
- ☐ Schedule of payments to professionals
- ☐ Schedule of payments to insiders
- ☒ All bank statements and bank reconciliations for the reporting period
- ☐ Description of the assets sold or transferred and the terms of the sale or transfer

/s/ Donald Chae

Signature of Responsible Party

12/21/2022

Date

Donald Chae

Printed Name of Responsible Party

P.O. Box 80334, San Marino, CA 91118

Address

STATEMENT: This Periodic Report is associated with an open bankruptcy case; therefore, Paperwork Reduction Act exemption 5 C.F.R. § 1320.4(a)(2) applies.

Debtor's Name Donald Chae

Case No. 21-12493

Part 1: Cash Receipts and Disbursements		Current Month	Cumulative
a.	Cash balance beginning of month	\$209,332	
b.	Total receipts (net of transfers between accounts)	\$6,977	\$155,890
c.	Total disbursements (net of transfers between accounts)	\$2,977	\$58,085
d.	Cash balance end of month (a+b-c)	\$213,332	
e.	Disbursements made by third party for the benefit of the estate	\$0	\$0
f.	Total disbursements for quarterly fee calculation (c+e)	\$2,977	\$58,085

Part 2: Asset and Liability Status (Not generally applicable to Individual Debtors. See Instructions.)		Current Month
a.	Accounts receivable (total net of allowance)	\$0
b.	Accounts receivable over 90 days outstanding (net of allowance)	\$0
c.	Inventory (Book ☐ Market ☐ Other ☒ (attach explanation))	\$0
d.	Total current assets	\$0
e.	Total assets	\$0
f.	Postpetition payables (excluding taxes)	\$0
g.	Postpetition payables past due (excluding taxes)	\$0
h.	Postpetition taxes payable	\$0
i.	Postpetition taxes past due	\$0
j.	Total postpetition debt (f+h)	\$0
k.	Prepetition secured debt	\$0
l.	Prepetition priority debt	\$0
m.	Prepetition unsecured debt	\$0
n.	Total liabilities (debt) (j+k+l+m)	\$0
o.	Ending equity/net worth (e-n)	\$0

Part 3: Assets Sold or Transferred		Current Month	Cumulative
a.	Total cash sales price for assets sold/transferred outside the ordinary course of business	\$0	\$0
b.	Total payments to third parties incident to assets being sold/transferred outside the ordinary course of business	\$0	\$0
c.	Net cash proceeds from assets sold/transferred outside the ordinary course of business (a-b)	\$0	\$0

Part 4: Income Statement (Statement of Operations) (Not generally applicable to Individual Debtors. See Instructions.)		Current Month	Cumulative
a.	Gross income/sales (net of returns and allowances)	\$0	
b.	Cost of goods sold (inclusive of depreciation, if applicable)	\$0	
c.	Gross profit (a-b)	\$0	
d.	Selling expenses	\$0	
e.	General and administrative expenses	\$0	
f.	Other expenses	\$0	
g.	Depreciation and/or amortization (not included in 4b)	\$0	
h.	Interest	\$0	
i.	Taxes (local, state, and federal)	\$0	
j.	Reorganization items	\$0	
k.	Profit (loss)	\$0	\$0

Debtor's Name Donald Chae

Case No. 21-12493

Part 5: Professional Fees and Expenses

a.			Approved Current Month	Approved Cumulative	Paid Current Month	Paid Cumulative
	Debtor's professional fees & expenses (bankruptcy) <i>Aggregate Total</i>		\$0	\$1,509,516	\$0	\$0
	<i>Itemized Breakdown by Firm</i>					
	Firm Name	Role				
i	Smiley Wang-Ekvall	Lead Counsel	\$0	\$806,698	\$0	\$0
ii	Force 10 Partners	Financial Professional	\$0	\$263,158	\$0	\$0
iii	Grobstein Teeple	Other	\$0	\$23,710	\$0	\$0
iv	Coldwell Banker	Other	\$0	\$0	\$0	\$0
v	Kidder Matthews of California	Other	\$0	\$0	\$0	\$0
vi	Buchalter, APC	Other		\$53,833		
vii	Development Speicalists, Inc.	Financial Professional		\$160,050		
viii	Greenberg Traurig, LLP	Other		\$202,069		
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Debtor's Name Donald Chae

Case No. 21-12493

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Debtor's Name Donald Chae

Case No. 21-12493

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b.			Approved Current Month	Approved Cumulative	Paid Current Month	Paid Cumulative
	Debtor's professional fees & expenses (nonbankruptcy) <i>Aggregate Total</i>		\$0	\$0	\$0	\$0
	<i>Itemized Breakdown by Firm</i>					
	Firm Name	Role				
i	0		\$0	\$0	\$0	\$0
ii						
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Case No. 21-12493

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Debtor's Name Donald Chae

Case No. 21-12493

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Debtor's Name Donald Chae

Case No. 21-12493

	xcix						
	c						
c.	All professional fees and expenses (debtor & committees)						

Part 6: Postpetition Taxes		Current Month	Cumulative
a.	Postpetition income taxes accrued (local, state, and federal)	\$0	\$0
b.	Postpetition income taxes paid (local, state, and federal)	\$0	\$0
c.	Postpetition employer payroll taxes accrued	\$0	\$0
d.	Postpetition employer payroll taxes paid	\$0	\$0
e.	Postpetition property taxes paid	\$0	\$4,537
f.	Postpetition other taxes accrued (local, state, and federal)	\$0	\$0
g.	Postpetition other taxes paid (local, state, and federal)	\$0	\$0

Part 7: Questionnaire - During this reporting period:

- a. Were any payments made on prepetition debt? (if yes, see Instructions) Yes ☐ No ☒
- b. Were any payments made outside the ordinary course of business without court approval? (if yes, see Instructions) Yes ☐ No ☒
- c. Were any payments made to or on behalf of insiders? Yes ☒ No ☐
- d. Are you current on postpetition tax return filings? Yes ☒ No ☐
- e. Are you current on postpetition estimated tax payments? Yes ☒ No ☐
- f. Were all trust fund taxes remitted on a current basis? Yes ☒ No ☐
- g. Was there any postpetition borrowing, other than trade credit? (if yes, see Instructions) Yes ☒ No ☐
- h. Were all payments made to or on behalf of professionals approved by the court? Yes ☐ No ☐ N/A ☒
- i. Do you have:
- Worker's compensation insurance? Yes ☐ No ☒
- If yes, are your premiums current? Yes ☐ No ☐ N/A ☒ (if no, see Instructions)
- Casualty/property insurance? Yes ☒ No ☐
- If yes, are your premiums current? Yes ☒ No ☐ N/A ☐ (if no, see Instructions)
- General liability insurance? Yes ☒ No ☐
- If yes, are your premiums current? Yes ☒ No ☐ N/A ☐ (if no, see Instructions)
- j. Has a plan of reorganization been filed with the court? Yes ☐ No ☒
- k. Has a disclosure statement been filed with the court? Yes ☐ No ☒
- l. Are you current with quarterly U.S. Trustee fees as set forth under 28 U.S.C. § 1930? Yes ☒ No ☐

Debtor's Name Donald Chae

Case No. 21-12493

Part 8: Individual Chapter 11 Debtors (Only)

a. Gross income (receipts) from salary and wages	\$10,000
b. Gross income (receipts) from self-employment	\$0
c. Gross income from all other sources	\$0
d. Total income in the reporting period (a+b+c)	\$10,000
e. Payroll deductions	\$3,023
f. Self-employment related expenses	\$0
g. Living expenses	\$2,977
h. All other expenses	\$0
i. Total expenses in the reporting period (e+f+g+h)	\$6,001
j. Difference between total income and total expenses (d-i)	\$3,999
k. List the total amount of all postpetition debts that are past due	\$4,537
l. Are you required to pay any Domestic Support Obligations as defined by 11 U.S.C § 101(14A)?	Yes ☐ No ☒
m. If yes, have you made all Domestic Support Obligation payments?	Yes ☐ No ☐ N/A ☒

Privacy Act Statement

28 U.S.C. § 589b authorizes the collection of this information, and provision of this information is mandatory under 11 U.S.C. §§ 704, 1106, and 1107. The United States Trustee will use this information to calculate statutory fee assessments under 28 U.S.C. § 1930(a)(6). The United States Trustee will also use this information to evaluate a chapter 11 debtor's progress through the bankruptcy system, including the likelihood of a plan of reorganization being confirmed and whether the case is being prosecuted in good faith. This information may be disclosed to a bankruptcy trustee or examiner when the information is needed to perform the trustee's or examiner's duties or to the appropriate federal, state, local, regulatory, tribal, or foreign law enforcement agency when the information indicates a violation or potential violation of law. Other disclosures may be made for routine purposes. For a discussion of the types of routine disclosures that may be made, you may consult the Executive Office for United States Trustee's systems of records notice, UST-001, "Bankruptcy Case Files and Associated Records." See 71 Fed. Reg. 59,818 et seq. (Oct. 11, 2006). A copy of the notice may be obtained at the following link: http://www.justice.gov/ust/eo/rules_regulations/index.htm. Failure to provide this information could result in the dismissal or conversion of your bankruptcy case or other action by the United States Trustee. 11 U.S.C. § 1112(b)(4)(F).

I declare under penalty of perjury that the foregoing Monthly Operating Report and its supporting documentation are true and correct and that I have been authorized to sign this report on behalf of the estate.



/s/ Donald Chae
Signature of Responsible Party
Self

Title

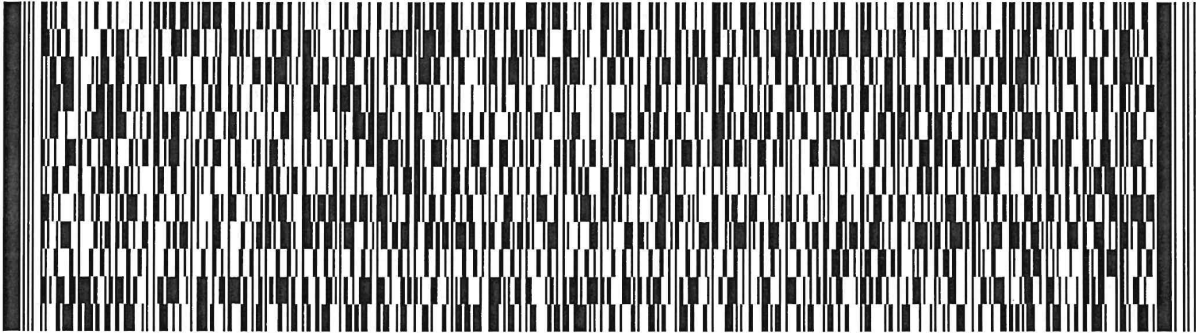
Donald Chae

Printed Name of Responsible Party
12/21/2022

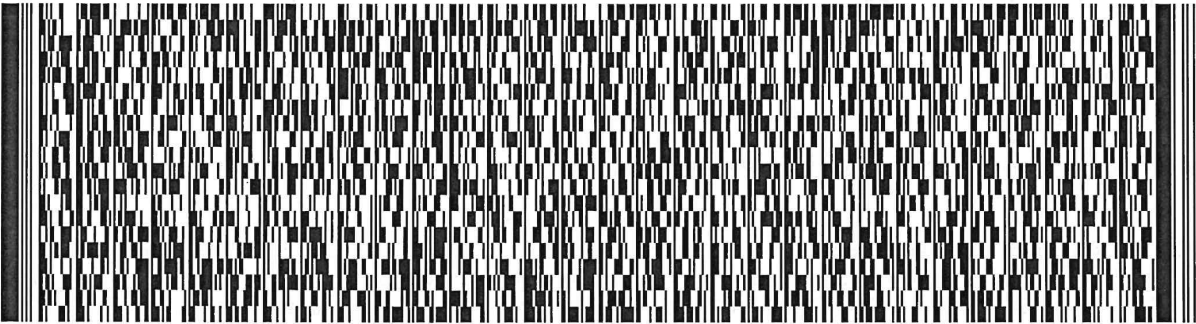
Date

Debtor's Name Donald Chae

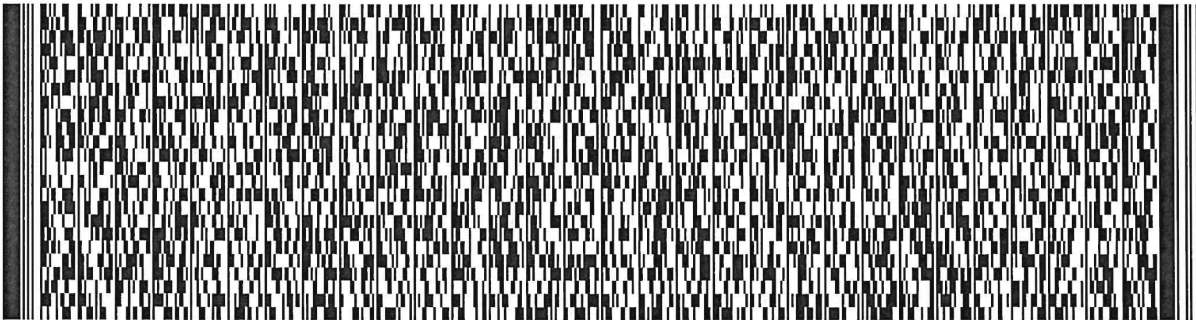
Case No. 21-12493



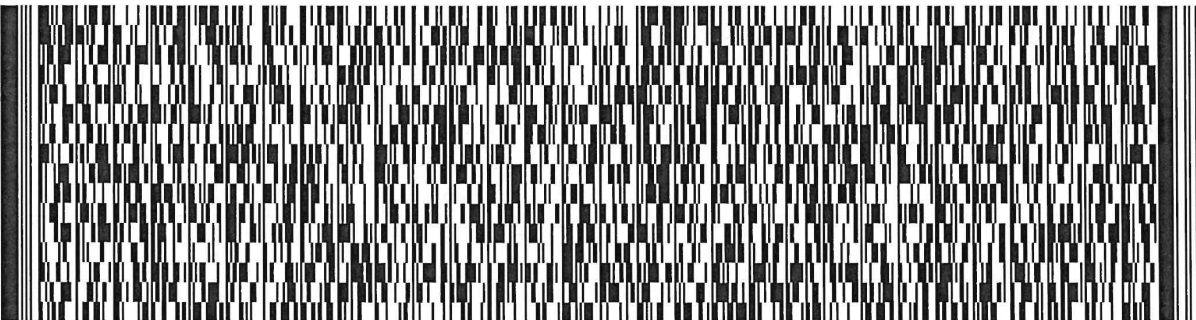
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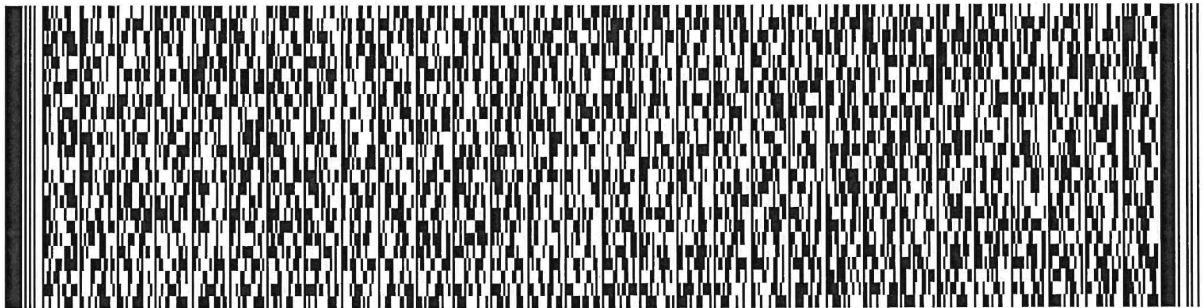
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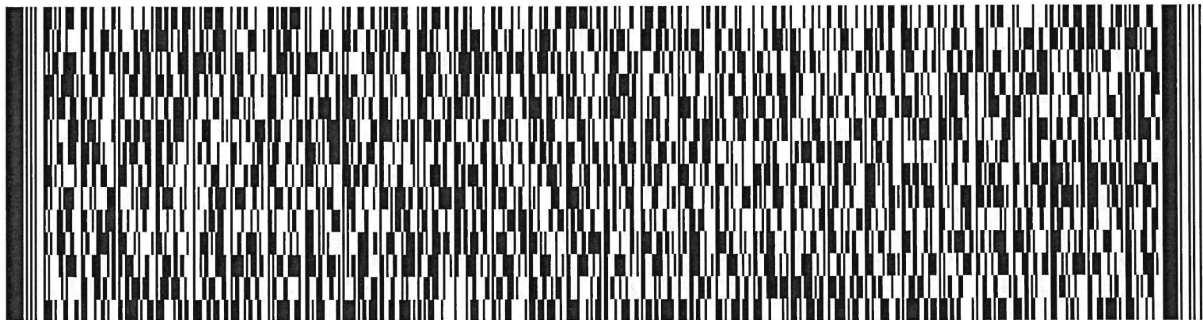
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Debtor's Name Donald Chae

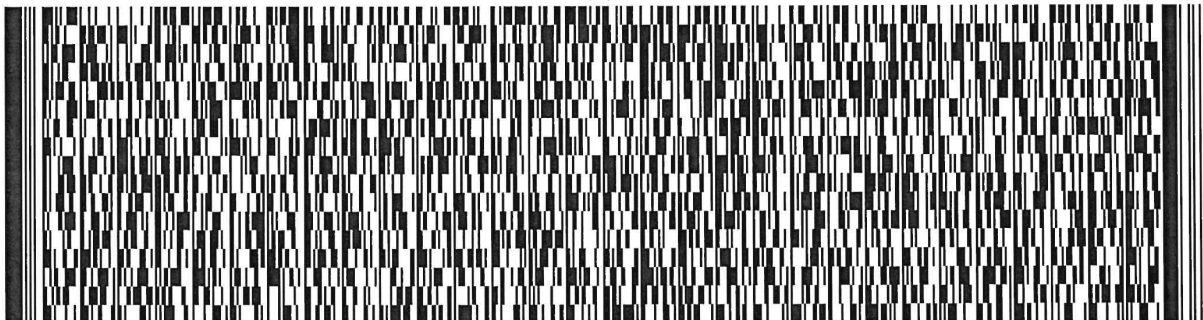
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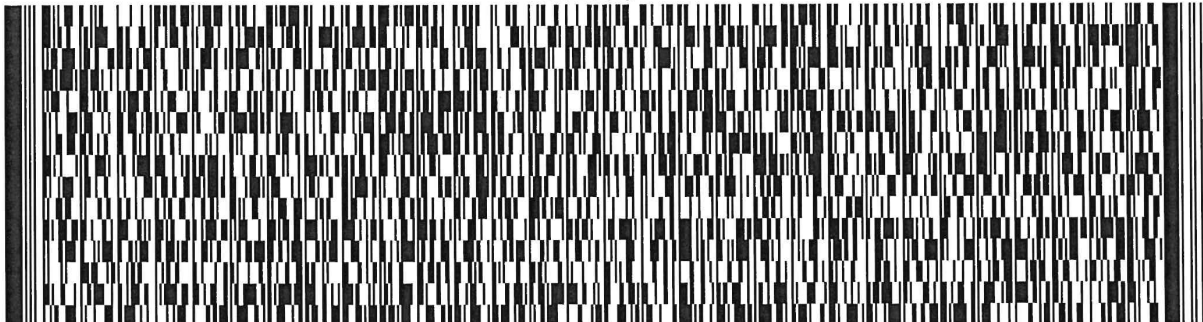
Bankruptcy1to50



Bankruptcy51to100



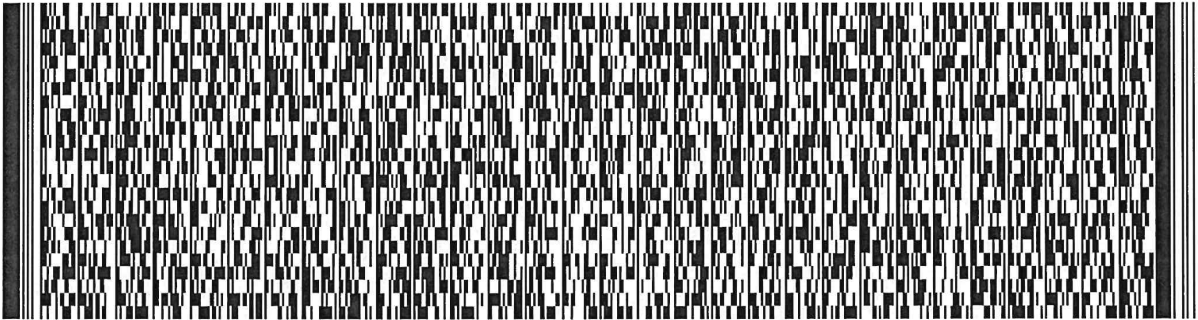
NonBankruptcy1to50



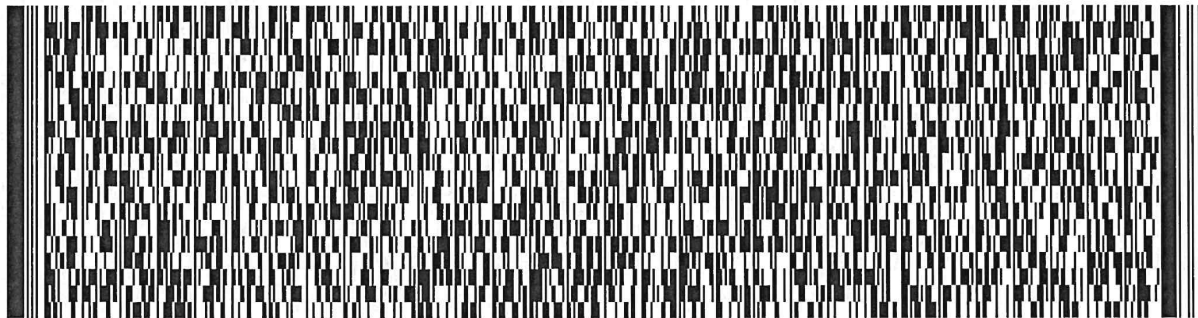
NonBankruptcy51to100

Debtor's Name Donald Chae

Case No. 21-12493



PageThree



PageFour

Financial Information

Debtor: Donald Chae

Case No.: 8:21-bk-12493-SC

Amended Monthly Operating Report - Supplemental Attachment

11/1/22-11/30/22

Part 2: Asset and Liability Status

c. Inventory

Not applicable as the debtor is an individual and does not inventory goods.

Part 5: Professional Fees and Expenses

The Fees specified in Part 5 are the fees that have accrued as of the dates set forth herein, but have not yet been approved by Court order.

1. Smiley Wang-Ekval, LLP, counsel for the Debtor, fees are \$806,697.50 as of December 19, 2022.
2. Force 10 Partners, financial advisor for the Debtor, fees are \$263,158.00 as of November 30, 2022.
3. Grobstein Teeple, tax advisor for the Debtor, fees are \$23,709.50 as of November 30, 2022.
4. Buchalter, counsel for the Committee, fees are \$53,832.50 as of December 14, 2022.
5. Development Specialists, Inc., financial advisor for the Committee, fees are \$160,049.50 as of November 30, 2022.
6. Greenberg Traurig, LLP, former counsel for the Committee, fees are \$202,069.35 as of December 16, 2022.

Part 6: Postpetition Taxes

e. Postpetition property taxes paid

The post-petition real property tax due on 12/10/2021 was paid on 4/1/2022.

The real property tax covering both pre and post-periods paid by mistake on 11/09/2021, as noted on the Nov. 2021 MOR, was refunded by the County of Los Angeles to the Debtor's bank account on 1/20/2022 and is outstanding.

Part 7: Questionnaire - During this reporting period:

c. Were any payments made to or on behalf of insiders?

Solely to the extent that reported payments on account of ordinary course post-petition living expenses are viewed as being made on behalf of the Debtor's spouse or the Debtor's spouse and the Debtor.

g. Answer whether the debtor, or trustee, if appointed, borrowed any funds postpetition, other than trade credit, during the reporting period (e.g., DIP financing, loans from insiders, etc.). If yes, a detailed explanation must be filed as a separate attachment to the MOR.

The Debtor answered "yes" to Part 7.g to account for ordinary course expenses paid post-petition by credit card in the name of the Debtor's spouse.

Part 8: Individual Chapter 11 Debtors (Only)

k. List the total amount of all postpetition debts that are past due

The amount specified is the real property tax which was refunded on 1/20/2022, as described above under 6e, to the extent that the tax refunded covers the post-petition period and is a debt of the Debtor.

Statement



Date 11/30/22
Primary Account

Page 1
3985

DONALD CHAE
DEBTOR IN POSSESSION
CASE 2:21-bk-17696-SK
2200 SHERWOOD RD
SAN MARINO CA 91108

Account Title: DONALD CHAE
DEBTOR IN POSSESSION
CASE 2:21-bk-17696-SK

Commercial Checking		Number of Enclosures	2
Account Number	3985	Statement Dates	11/01/22 thru 11/30/22
Previous Balance	209,332.21	Days in the statement period	30
4 Deposits/Credits	6,976.73	Avg Daily Ledger	209,718.70
14 Checks/Debits	2,977.44	Avg Daily Collected	209,718.70
Maintenance Fee	.00		
Interest Paid	.00		
Ending Balance	213,331.50		

DEPOSITS AND OTHER CREDITS		
Date	Description	Amount
11/15	DIRECT DEP M D PROPERTIES PPD 051000019365423 CHAE, DONALD	1,716.49
11/15	DIRECT DEP M D PROPERTIES PPD 051000019365424 CHAE, DONALD	1,771.87
11/30	DIRECT DEP M D PROPERTIES PPD 051000016690268 CHAE, DONALD	1,716.50
11/30	DIRECT DEP M D PROPERTIES PPD 051000016690269 CHAE, DONALD	1,771.87



Date 11/30/22
Primary Account

Page 2
3985

Commercial Checking 3985 (Continued)

CHECKS AND WITHDRAWALS		
Date	Description	Amount
11/07	DIRECTPAY SO CAL EDISON CO PPD 021000027858832 DONALD CHAE	128.50-
11/07	INS. EQUITABLE PPD 021000020080714 DONALD CHAE	136.00-
11/07	ONLINE PMT BK OF AMER VISA WEB 064100856679569 CHAE, EUN CKF948078439POS	985.27-
11/08	WEB PYMT CARDMEMBER SERV WEB 042000017740285 CHAE, EUN H 18 *****0108	144.05-
11/14	CREDITCARD BARCLAYCARD US WEB 026002579401805 EUN CHAE 919865034	163.70-
11/15	Payment ATT PPD 031100200588196 Eun Chae	44.16-
11/15	Payment ATT PPD 031100200505721 Eun Chae	114.16-
11/16	PAYMENT CALIFORNIA-AMERI PPD 043000265322031 DONALD CHAE	97.32-
11/17	SPECTRUM SPECTRUM PPD 021000023265476 DONALD CHAE	84.99-
11/25	PAYMENT QUARTERLY FEE WEB 041036049511930 DONALD CHAE 60TCMHU4C81	250.12-
11/28	BMWFS PYMT BMW BANK PPD 021000022505406 Eun Hee Chae1003504012	500.06-
11/29	PAID SCGC SO CAL GAS WEB 122000494085597	32.11-



Date 11/30/22
Primary Account

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3985

Commercial Checking 3985 (Continued)

CHECKS AND WITHDRAWALS

Date	Description	Amount
	301601474210350014	
	2006190100	

CHECKS IN SERIAL NUMBER ORDER

Date	Check No	Amount	Date	Check No	Amount
11/22	1017	210.00	11/14	1018	87.00
* Indicates Skip In Check Number Sequence					

DAILY BALANCE INFORMATION

Date	Balance	Date	Balance	Date	Balance
11/01	209,332.21	11/15	211,017.73	11/25	210,375.30
11/07	208,082.44	11/16	210,920.41	11/28	209,875.24
11/08	207,938.39	11/17	210,835.42	11/29	209,843.13
11/14	207,687.69	11/22	210,625.42	11/30	213,331.50

*** END OF STATEMENT ***

THE RED THERMO SECURED "SP" LOGO IN THE LOWER CORNER OF THIS CHECK MUST FADE TEMPORARILY WHEN WARMED BY TOUCH OR FRICTION. SEE BACK FOR ADDITIONAL FEATURES.

Donald Chase
Debtor in Possession
Case Number: 2:51-BK-17696-SK
2200 Shirewood Rd
San Marino, CA 91108

DATE 9/28/2022 1017 90-87251222

PAY TO THE ORDER OF Tartarus Tea Hawaii \$ 210.00

Two Hundred Ten & 00/100 DOLLARS

axos
MEMO Tea Order Pmuletum

398 51*

Check 1017 Date: 11/22 Amount: \$210.00

THE RED THERMO SECURED "SP" LOGO IN THE LOWER CORNER OF THIS CHECK MUST FADE TEMPORARILY WHEN WARMED BY TOUCH OR FRICTION. SEE BACK FOR ADDITIONAL FEATURES.

Donald Chase
Debtor in Possession
Case Number: 2:51-BK-17696-SK
2200 Shirewood Rd
San Marino, CA 91108

DATE 11/9/2022 1018 90-87251222

PAY TO THE ORDER OF Auto Club \$ 87.00

Eighty Seven & 00/100 DOLLARS

axos
MEMO # 9435967601 Pmuletum

398 51*

Check 1018 Date: 11/14 Amount: \$87.00

In Case of Errors or Questions About Your Electronic Transfers

In Case of Errors or Questions About Your Electronic Transfers, Telephone us at 1-888-502-2967 or Write us at the address on the front of this statement as soon as you can, if you think your statement or receipt is wrong or if you need more information about a transfer on the statement or receipt. We must hear from you no later than 60 days after we sent you the FIRST statement on which the error or problem appeared.

- Tell us your name and account number (if any).
- Describe the error or the transfer you are unsure about, and explain as clearly as you can why you believe it is an error or why you need more information.
- Tell us the dollar amount of the suspected error.

We will tell you all the results of our investigation within 10 business days and will correct any error promptly. If we need more time, we may take up to 45 days to investigate your complaint. In that case, we will provisionally credit your account for the amount you think is in error, so that you may have use of the money during the time it takes us to complete our investigation. For transfers initiated outside the United States or transfers resulting from a point of sale (POS) debit card transactions, the time period for provisional credit is 10 business days and the time to resolve the investigation is 90 days.

IMPORTANT DISCLOSURES TO OUR BUSINESS CUSTOMERS

Errors related to any transaction on a business account will be governed by any agreement between us and/or all applicable rules and regulations governing such transactions, including the rules of the Automated Clearing House Association (NACHA Rules) as may be amended from time to time. If you think this statement is wrong, please telephone us at the number listed on the front of this statement immediately.

For our 24-hour Automated Banking System, please call the number located on the front of the Statement.
CONSUMER BILLING RIGHTS SUMMARY REGARDING YOUR RESERVE LINE

What to do if you think you find a mistake on your statement:

Contact us at the address shown on the front of this statement as soon as you can, if you think your statement or receipt is wrong or if you need more information about a transfer on the statement or receipt. We must hear from you within 60 days after the error appeared on your statement.

- Tell us your name and account number.
- Tell us the dollar amount of the suspected error.
- Describe the error you are unsure about, and explain as clearly as you can why you believe there is an error or why you need more information.

You must notify us of any potential errors in writing or electronically. You may call us, but if you do, we are not required to investigate any potential errors and you may have to pay the amount in question.

While we investigate whether or not there has been an error, the following are true:

- We cannot try to collect the amount in question, or report you as delinquent on that amount.
- The amount in question may remain on your statement, and we may continue to charge you interest on that amount. But, if we determine that we made a mistake, you will not have to pay the amount in question or other fees related to that amount.
- While you do not have to pay the amount in question, you are responsible for the remainder of your balance.
- We can apply any unpaid amount against your credit limit.

REPORTS TO AND FROM CREDIT BUREAUS FOR RESERVE LINES

We may report information about your account to credit bureaus. Late payments, missed payments or other defaults on your account may be reflected in your credit report.

CONSUMER REPORT DISPUTES

We may report information about negative account activity on consumer and small business deposit accounts and consumer reserve lines to Consumer Reporting Agencies (CRA). As a result, this may prevent you from obtaining services at other financial institutions. If you believe we have inaccurately reported information to a CRA, you may submit a dispute by calling 1-800-428-9623 or by writing to Chex Systems, Attention Consumer Relations, 7805 Hudson Road, Suite 100, Woodbury, MN 55125. In order to assist you with your dispute, you must provide your name, address and phone number; the account number; the specific information you are disputing; the explanation of why it is incorrect; and any supporting documentation (i.e. affidavit of identity theft). If applicable.

EXHIBIT "8"

Fill in this information to identify your case:

Debtor 1	DONALD CHAE		
	First Name	Middle Name	Last Name
Debtor 2			
(Spouse if, filing)	First Name	Middle Name	Last Name
United States Bankruptcy Court for the:	CENTRAL DISTRICT OF CALIFORNIA		
Case number (if known)	8:21-bk-12493-ES		

☐ Check if this is an amended filing

Official Form 107

Statement of Financial Affairs for Individuals Filing for Bankruptcy

4/19

Be as complete and accurate as possible. If two married people are filing together, both are equally responsible for supplying correct information. If more space is needed, attach a separate sheet to this form. On the top of any additional pages, write your name and case number (if known). Answer every question.

Part 1: Give Details About Your Marital Status and Where You Lived Before

1. What is your current marital status?

- ☒ Married
☐ Not married

2. During the last 3 years, have you lived anywhere other than where you live now?

- ☒ No
☐ Yes. List all of the places you lived in the last 3 years. Do not include where you live now.

Debtor 1 Prior Address:

**Dates Debtor 1
lived there**

Debtor 2 Prior Address:

**Dates Debtor 2
lived there**

3. Within the last 8 years, did you ever live with a spouse or legal equivalent in a community property state or territory? (*Community property states and territories include Arizona, California, Idaho, Louisiana, Nevada, New Mexico, Puerto Rico, Texas, Washington and Wisconsin.*)

- ☐ No
☒ Yes. Make sure you fill out *Schedule H: Your Codebtors* (Official Form 106H).

Part 2 Explain the Sources of Your Income

4. Did you have any income from employment or from operating a business during this year or the two previous calendar years?

Fill in the total amount of income you received from all jobs and all businesses, including part-time activities. If you are filing a joint case and you have income that you receive together, list it only once under Debtor 1.

- ☐ No
☒ Yes. Fill in the details.

**From January 1 of current year until
the date you filed for bankruptcy:**

Debtor 1

Sources of income
Check all that apply.

Gross income
(before deductions and
exclusions)

☒ Wages, commissions,
bonuses, tips

☐ Operating a business

\$95,533.40

Debtor 2

Sources of income
Check all that apply.

Gross income
(before deductions
and exclusions)

☐ Wages, commissions,
bonuses, tips

☐ Operating a business

Debtor 1 **DONALD CHAE**Case number (if known) **8:21-bk-12493-ES**

	Debtor 1		Debtor 2
	Sources of income Check all that apply.	Gross income (before deductions and exclusions)	Sources of income Check all that apply.
For last calendar year: (January 1 to December 31, 2020)	☒ Wages, commissions, bonuses, tips ☐ Operating a business	\$109,599.36	☐ Wages, commissions, bonuses, tips ☐ Operating a business
For the calendar year before that: (January 1 to December 31, 2019)	☒ Wages, commissions, bonuses, tips ☐ Operating a business	\$111,954.76	☐ Wages, commissions, bonuses, tips ☐ Operating a business

5. Did you receive any other income during this year or the two previous calendar years?

Include income regardless of whether that income is taxable. Examples of *other income* are alimony; child support; Social Security, unemployment, and other public benefit payments; pensions; rental income; interest; dividends; money collected from lawsuits; royalties; and gambling and lottery winnings. If you are filing a joint case and you have income that you received together, list it only once under Debtor 1.

List each source and the gross income from each source separately. Do not include income that you listed in line 4.

- ☐ No
☒ Yes. Fill in the details.

	Debtor 1		Debtor 2
	Sources of income Describe below.	Gross income from each source (before deductions and exclusions)	Sources of income Describe below.
From January 1 of current year until the date you filed for bankruptcy:	Rent	\$33,500.00	
For last calendar year: (January 1 to December 31, 2020)	Rent	\$52,104.00	
For the calendar year before that: (January 1 to December 31, 2019)	Rent	\$36,183.53	

Part 3: List Certain Payments You Made Before You Filed for Bankruptcy**6. Are either Debtor 1's or Debtor 2's debts primarily consumer debts?**

- ☒ No. **Neither Debtor 1 nor Debtor 2 has primarily consumer debts.** *Consumer debts* are defined in 11 U.S.C. § 101(8) as "incurred by an individual primarily for a personal, family, or household purpose."

During the 90 days before you filed for bankruptcy, did you pay any creditor a total of \$6,825* or more?

☐ No. Go to line 7.

☒ Yes List below each creditor to whom you paid a total of \$6,825* or more in one or more payments and the total amount you paid that creditor. Do not include payments for domestic support obligations, such as child support and alimony. Also, do not include payments to an attorney for this bankruptcy case.

* Subject to adjustment on 4/01/22 and every 3 years after that for cases filed on or after the date of adjustment.

- ☐ Yes. **Debtor 1 or Debtor 2 or both have primarily consumer debts.**

During the 90 days before you filed for bankruptcy, did you pay any creditor a total of \$600 or more?

☐ No. Go to line 7.

☐ Yes List below each creditor to whom you paid a total of \$600 or more and the total amount you paid that creditor. Do not include payments for domestic support obligations, such as child support and alimony. Also, do not include payments to an attorney for this bankruptcy case.

Creditor's Name and Address	Dates of payment	Total amount paid	Amount you still owe	Was this payment for ...
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Debtor 1 **DONALD CHAE**Case number (if known) **8:21-bk-12493-ES**

Creditor's Name and Address	Dates of payment	Total amount paid	Amount you still owe	Was this payment for ...
United Business Bank	\$1,020.00 United Business Bank loan - 08/27/21 (ext. fee) \$4,010.66 United Business Bank loan - 08/27/21 (mo. pymt) \$5,000.00 United Business Bank loan - 08/27/21 (app fee) \$2,632.84 United Business Bank loan - 09/02/21 (pymt) \$2,214.50 United Business Bank loan - 09/21/21 (deposit)	\$14,878.00	\$351,036.79	☐ Mortgage ☐ Car ☐ Credit Card ☒ Loan Repayment ☐ Suppliers or vendors ☒ Other _____
Browne George Ross LLP	July 14, 2021	\$50,000.00	\$0.00	☐ Mortgage ☐ Car ☐ Credit Card ☐ Loan Repayment ☐ Suppliers or vendors ☒ Other <u>Retainer for counsel for guaranty litigation in New York.</u> <u>[While the Debtor does not believe that disclosure of the retainer is required, the Debtor makes the disclosure in the interest of transparency.]</u>

7. **Within 1 year before you filed for bankruptcy, did you make a payment on a debt you owed anyone who was an insider?**
Insiders include your relatives; any general partners; relatives of any general partners; partnerships of which you are a general partner; corporations of which you are an officer, director, person in control, or owner of 20% or more of their voting securities; and any managing agent, including one for a business you operate as a sole proprietor. 11 U.S.C. § 101. Include payments for domestic support obligations, such as child support and alimony.

- ☒ No
☐ Yes. List all payments to an insider.

Insider's Name and Address	Dates of payment	Total amount paid	Amount you still owe	Reason for this payment
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8. **Within 1 year before you filed for bankruptcy, did you make any payments or transfer any property on account of a debt that benefited an insider?**
Include payments on debts guaranteed or cosigned by an insider.

- ☒ No
☐ Yes. List all payments to an insider

Insider's Name and Address	Dates of payment	Total amount paid	Amount you still owe	Reason for this payment Include creditor's name
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Part 4: Identify Legal Actions, Repossessions, and Foreclosures

9. **Within 1 year before you filed for bankruptcy, were you a party in any lawsuit, court action, or administrative proceeding?**
List all such matters, including personal injury cases, small claims actions, divorces, collection suits, paternity actions, support or custody

Official Form 107

Statement of Financial Affairs for Individuals Filing for Bankruptcy

page 3

Debtor 1 **DONALD CHAE**Case number (if known) **8:21-bk-12493-ES**

modifications, and contract disputes.

☐ No☒ Yes. Fill in the details.

Case title Case number	Nature of the case	Court or agency	Status of the case
INA LED US, Inc. v. The Source at Beach, LLC, et al JAMS Case Reference No. 1200057319	Breach of Contract		☒ Pending ☐ On appeal ☐ Concluded
Square Mixx BP Inc. v. The Source at Beach, LLC, et al BC707928	Civil-contractual fraud	Los Angeles Superior Court	☒ Pending ☐ On appeal ☐ Concluded
3D Design Industries v. Greenland Construction Services LLC 30-2020-01165120-CU-BC-CJC	Mechanic's lien action	Orange County Superior Court	☒ Pending ☐ On appeal ☐ Concluded
Beach Orangethorpe Hotel, LLC v. Shady Bird Lending LLC Adversary Case in No. 8:21-ap-01088-ES		US Bankruptcy Court, Central District	☒ Pending ☐ On appeal ☐ Concluded
Evertrust Bank v. Donald Chae et al 30-2020-01153205-CU-BC-CJC	Guaranty	Orange County Superior Court	☒ Pending ☐ On appeal ☐ Concluded
Innoarc v. John C. Kim, et al 30-2020-01153205-CU-BC-WJC	Breach of contract	Orange County Superior Court	☒ Pending ☐ On appeal ☐ Concluded
Kim v. Comex Korean BBQ, LLC 21STCV01634	Wage and hour action	Los Angeles County Superior Court	☒ Pending ☐ On appeal ☐ Concluded
Martinez v. The Source Office, LLC 30-2020-01123838-CL-CR-CJC	ADA action	Orange County Superior Court	☒ Pending ☐ On appeal ☐ Concluded
Preferred Bank v. M&D Properties, et al 21GDCV00361	Breach of contract	Los Angeles County Superior Court	☒ Pending ☐ On appeal ☐ Concluded
RCS Safety, LLC v. Innoarc, Inc., et al 30-2021-01206666-CU-BC-CJC	Breach of Contract	Orange County Superior Court	☒ Pending ☐ On appeal ☐ Concluded
Retrolock Corp. v. Greenland Construction Service, LLC 30-2020-01163206-CU-BC-CJC		Orange County Superior Court	☒ Pending ☐ On appeal ☐ Concluded

Debtor 1 **DONALD CHAE**

Case number (if known) **8:21-bk-12493-ES**

Case title Case number	Nature of the case	Court or agency	Status of the case
The Source at Beach, LLC v. Square Mixx BP, Inc., et al 30-2017-00943432-CU-BC-CJC		Orange County Superior Court	☒ Pending ☐ On appeal ☐ Concluded
Wells Fargo, N.C. v. Donald Chae, et al 653404/2021	Breach of Contract	Supreme Court of the State of New York	☒ Pending ☐ On appeal ☐ Concluded

10. Within 1 year before you filed for bankruptcy, was any of your property repossessed, foreclosed, garnished, attached, seized, or levied?
Check all that apply and fill in the details below.

☐ No. Go to line 11.

☒ Yes. Fill in the information below.

Creditor Name and Address	Describe the Property Explain what happened	Date	Value of the property
Shady Bird Lending LLC Attn: Vikas Tandon 205 South Martel Avenue Los Angeles, CA 90036	☐ Property was repossessed. ☐ Property was foreclosed. ☐ Property was garnished. ☒ Property was attached, seized or levied.	03/10/2021	Unknown

11. Within 90 days before you filed for bankruptcy, did any creditor, including a bank or financial institution, set off any amounts from your accounts or refuse to make a payment because you owed a debt?

☒ No

☐ Yes. Fill in the details.

Creditor Name and Address	Describe the action the creditor took	Date action was taken	Amount
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12. Within 1 year before you filed for bankruptcy, was any of your property in the possession of an assignee for the benefit of creditors, a court-appointed receiver, a custodian, or another official?

☒ No

☐ Yes

Part 5: List Certain Gifts and Contributions

13. Within 2 years before you filed for bankruptcy, did you give any gifts with a total value of more than \$600 per person?

☐ No

☒ Yes. Fill in the details for each gift.

Gifts with a total value of more than \$600 per person	Describe the gifts	Dates you gave the gifts	Value
Person to Whom You Gave the Gift and Address: Gui Seon Kim	Gift for medical expenses	09/28/2020	\$3,500.00

Person's relationship to you: **Mother of
Debtor's Spouse**

Estelle Chae	Annual amount from Debtor	12/14/2019	\$15,000.00
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Person's relationship to you: **Daughter**

Debtor 1 **DONALD CHAE**

Case number (if known) **8:21-bk-12493-ES**

Gifts with a total value of more than \$600 per person	Describe the gifts	Dates you gave the gifts	Value
Person to Whom You Gave the Gift and Address:			
Leslie Chae	Annual amount from Debtor	12/14/2019	\$15,000.00
Person's relationship to you: Daughter			
Leslie Chae	Annual amount from Debtor's spouse	12/14/2019	\$15,000.00
Person's relationship to you: Daughter			
Estelle Chae	Annual amount from Debtor's spouse	12/14/2019	\$15,000.00
Person's relationship to you: Debtor			
Gui Seon Kim	Gift for medical expenses	02/08/2021	\$3,500.00
Person's relationship to you: Mother of Debtor's Spouse			
Gui Seon Kim	Gift for medical expenses	03/02/2021	\$100,000.00
Person's relationship to you: Mother of Debtor's Spouse			
Yong Ha Woo	Gift for medical expenses	09/16/2021	\$3,500.00
Person's relationship to you: Father of Debtor's Spouse			
Estelle Chae	Annual amount from Debtor's spouse	05/22/2020	\$15,000.00
Person's relationship to you: Daughter			
Estelle Chae	Annual amount from Debtor	05/22/2020	\$15,000.00
Person's relationship to you: Daughter			
Leslie Chae	Annual amount from Debtor's spouse	05/22/2020	\$15,000.00
Person's relationship to you: Daughter			
Leslie Chae	Annual amount from Debtor	05/22/2020	\$15,000.00
Person's relationship to you: Daughter			
Gui Seon Kim	Gift for medical expenses	11/02/2020	\$50,000.00
Person's relationship to you: Mother of Debtor's spouse			

Debtor 1 **DONALD CHAE**

Case number (if known) **8:21-bk-12493-ES**

14. Within 2 years before you filed for bankruptcy, did you give any gifts or contributions with a total value of more than \$600 to any charity?

☒ No

☐ Yes. Fill in the details for each gift or contribution.

Gifts or contributions to charities that total more than \$600 Charity's Name Address (Number, Street, City, State and ZIP Code)	Describe what you contributed	Dates you contributed	Value
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Part 6: List Certain Losses

15. Within 1 year before you filed for bankruptcy or since you filed for bankruptcy, did you lose anything because of theft, fire, other disaster, or gambling?

☒ No

☐ Yes. Fill in the details.

Describe the property you lost and how the loss occurred	Describe any insurance coverage for the loss Include the amount that insurance has paid. List pending insurance claims on line 33 of <i>Schedule A/B: Property</i> .	Date of your loss	Value of property lost
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Part 7: List Certain Payments or Transfers

16. Within 1 year before you filed for bankruptcy, did you or anyone else acting on your behalf pay or transfer any property to anyone you consulted about seeking bankruptcy or preparing a bankruptcy petition?

Include any attorneys, bankruptcy petition preparers, or credit counseling agencies for services required in your bankruptcy.

☐ No

☒ Yes. Fill in the details.

Person Who Was Paid Address Email or website address Person Who Made the Payment, if Not You	Description and value of any property transferred	Date payment or transfer was made	Amount of payment
Smiley Wang-Ekval, LLP 3200 Park Center Drive, Suite 250 Costa Mesa, CA 92626 Comex Food Services		06/08/2021 - \$180,000.00 10/01/2021 - \$85,000.00	\$265,000.00
Leslie Cohen Law PC		11/25/2020	\$10,000.00

17. Within 1 year before you filed for bankruptcy, did you or anyone else acting on your behalf pay or transfer any property to anyone who promised to help you deal with your creditors or to make payments to your creditors?

Do not include any payment or transfer that you listed on line 16.

☒ No

☐ Yes. Fill in the details.

Person Who Was Paid Address	Description and value of any property transferred	Date payment or transfer was made	Amount of payment
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18. Within 2 years before you filed for bankruptcy, did you sell, trade, or otherwise transfer any property to anyone, other than property transferred in the ordinary course of your business or financial affairs?

Include both outright transfers and transfers made as security (such as the granting of a security interest or mortgage on your property). Do not include gifts and transfers that you have already listed on this statement.

☐ No

☒ Yes. Fill in the details.

Person Who Received Transfer Address Person's relationship to you	Description and value of property transferred	Describe any property or payments received or debts paid in exchange	Date transfer was made
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Debtor 1 **DONALD CHAE**

Case number (if known) **8:21-bk-12493-ES**

Person Who Received Transfer Address	Description and value of property transferred	Describe any property or payments received or debts paid in exchange	Date transfer was made
Person's relationship to you Eun Hee Chae 2200 Sherwood Road San Marino, CA 91108-2851	2200 Sherwood Road, San Marino, CA 91108-2851	See addendum	12/2019

19. Within 10 years before you filed for bankruptcy, did you transfer any property to a self-settled trust or similar device of which you are a beneficiary? (These are often called *asset-protection devices*.)

- ☒ No
☐ Yes. Fill in the details.

Name of trust	Description and value of the property transferred	Date Transfer was made
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Part 8: List of Certain Financial Accounts, Instruments, Safe Deposit Boxes, and Storage Units

20. Within 1 year before you filed for bankruptcy, were any financial accounts or instruments held in your name, or for your benefit, closed, sold, moved, or transferred?
Include checking, savings, money market, or other financial accounts; certificates of deposit; shares in banks, credit unions, brokerage houses, pension funds, cooperatives, associations, and other financial institutions.

- ☒ No
☐ Yes. Fill in the details.

Name of Financial Institution and Address (Number, Street, City, State and ZIP Code)	Last 4 digits of account number	Type of account or instrument	Date account was closed, sold, moved, or transferred	Last balance before closing or transfer
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21. Do you now have, or did you have within 1 year before you filed for bankruptcy, any safe deposit box or other depository for securities, cash, or other valuables?

- ☒ No
☐ Yes. Fill in the details.

Name of Financial Institution Address (Number, Street, City, State and ZIP Code)	Who else had access to it? Address (Number, Street, City, State and ZIP Code)	Describe the contents	Do you still have it?
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22. Have you stored property in a storage unit or place other than your home within 1 year before you filed for bankruptcy?

- ☒ No
☐ Yes. Fill in the details.

Name of Storage Facility Address (Number, Street, City, State and ZIP Code)	Who else has or had access to it? Address (Number, Street, City, State and ZIP Code)	Describe the contents	Do you still have it?
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Part 9: Identify Property You Hold or Control for Someone Else

23. Do you hold or control any property that someone else owns? Include any property you borrowed from, are storing for, or hold in trust for someone.

- ☒ No
☐ Yes. Fill in the details.

Owner's Name Address (Number, Street, City, State and ZIP Code)	Where is the property? (Number, Street, City, State and ZIP Code)	Describe the property	Value
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Part 10: Give Details About Environmental Information

For the purpose of Part 10, the following definitions apply:

- ☒ **Environmental law** means any federal, state, or local statute or regulation concerning pollution, contamination, releases of hazardous or toxic substances, wastes, or material into the air, land, soil, surface water, groundwater, or other medium, including statutes or

Debtor 1 **DONALD CHAE**

Case number (if known) **8:21-bk-12493-ES**

regulations controlling the cleanup of these substances, wastes, or material.

- ☒ **Site** means any location, facility, or property as defined under any environmental law, whether you now own, operate, or utilize it or used to own, operate, or utilize it, including disposal sites.
- ☒ **Hazardous material** means anything an environmental law defines as a hazardous waste, hazardous substance, toxic substance, hazardous material, pollutant, contaminant, or similar term.

Report all notices, releases, and proceedings that you know about, regardless of when they occurred.

24. Has any governmental unit notified you that you may be liable or potentially liable under or in violation of an environmental law?

- ☒ No
- ☐ Yes. Fill in the details.

Name of site Address (Number, Street, City, State and ZIP Code)	Governmental unit Address (Number, Street, City, State and ZIP Code)	Environmental law, if you know it	Date of notice
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25. Have you notified any governmental unit of any release of hazardous material?

- ☒ No
- ☐ Yes. Fill in the details.

Name of site Address (Number, Street, City, State and ZIP Code)	Governmental unit Address (Number, Street, City, State and ZIP Code)	Environmental law, if you know it	Date of notice
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26. Have you been a party in any judicial or administrative proceeding under any environmental law? Include settlements and orders.

- ☒ No
- ☐ Yes. Fill in the details.

Case Title Case Number	Court or agency Name Address (Number, Street, City, State and ZIP Code)	Nature of the case	Status of the case
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Part 11: Give Details About Your Business or Connections to Any Business

27. Within 4 years before you filed for bankruptcy, did you own a business or have any of the following connections to any business?

- ☐ A sole proprietor or self-employed in a trade, profession, or other activity, either full-time or part-time
- ☒ A member of a limited liability company (LLC) or limited liability partnership (LLP)
- ☐ A partner in a partnership
- ☒ An officer, director, or managing executive of a corporation
- ☒ An owner of at least 5% of the voting or equity securities of a corporation

- ☒ No. None of the above applies. Go to Part 12.
- ☐ Yes. Check all that apply above and fill in the details below for each business.

Business Name Address (Number, Street, City, State and ZIP Code)	Describe the nature of the business Name of accountant or bookkeeper	Employer Identification number Do not include Social Security number or ITIN. Dates business existed
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28. Within 2 years before you filed for bankruptcy, did you give a financial statement to anyone about your business? Include all financial institutions, creditors, or other parties.

- ☐ No
- ☒ Yes. Fill in the details below.

Name Address (Number, Street, City, State and ZIP Code)	Date Issued
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Debtor 1 DONALD CHAE

Case number (if known) 8:21-bk-12493-ES

Name
Address
(Number, Street, City, State and ZIP Code)

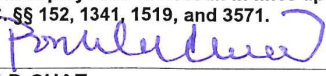
Unknown

Date Issued

It is possible that a party may
have submitted financial
statements on the Debtor's
behalf, but it is currently unknown
if any were.

Part 12: Sign Below

I have read the answers on this *Statement of Financial Affairs* and any attachments, and I declare under penalty of perjury that the answers are true and correct. I understand that making a false statement, concealing property, or obtaining money or property by fraud in connection with a bankruptcy case can result in fines up to \$250,000, or imprisonment for up to 20 years, or both.
18 U.S.C. §§ 152, 1341, 1519, and 3571.


DONALD CHAE
Signature of Debtor 1

Signature of Debtor 2

Date 1/18/23

Date

Did you attach additional pages to *Your Statement of Financial Affairs for Individuals Filing for Bankruptcy* (Official Form 107)?

☐ No

☒ Yes

Did you pay or agree to pay someone who is not an attorney to help you fill out bankruptcy forms?

☒ No

☐ Yes. Name of Person _____. Attach the *Bankruptcy Petition Preparer's Notice, Declaration, and Signature* (Official Form 119).

The Debtor resides at 2200 Sherwood Road, San Marino, CA 91108 (the "Sherwood Residence"). The Sherwood Residence was purchased in May 1993 from the separate property savings of the Debtor's spouse, Eun Hee Chae ("Spouse"), and, at the time of acquisition, title to the Sherwood Residence was placed in the name of Spouse, as her sole and separate property. The Sherwood Property remained in Spouse's name alone for approximately 13 years until about March 2006, when, due to a mistake, title was changed from Spouse to the Debtor and Spouse, husband and wife, as community property. Upon the discovery of this mistake in 2019, title to the Sherwood Residence was changed back to Spouse as her sole and separate property by a interspousal transfer grant deed recorded on December 6, 2019. The Sherwood Residence is the subject of a Post-Nuptial (Transmutation) Agreement dated November 8, 2019. It is the Debtor's position that the Sherwood Residence is the separate property of Spouse (and has been since its purchase) and the change of title in December 2019 did not constitute a transfer of an interest of the Debtor in property. Nevertheless, in the interests of disclosure, the Debtor has included the transfer of title in his Statement of Financial Affairs.

EXHIBIT "9"

CLASS 7 – GENERAL UNSECURED CLAIMS

Claimant	Asserted Claim Amount¹	Claim (POC or Scheduled)
6555 Beach LLC	\$3,000,000.00	POC No. 16
Abra Lending	\$6,000,000.00	POC No. 21
American Contractors Indemnity Company	\$10,104.00	POC No. 24
AT&T	\$40.95	Scheduled; No POC filed
AT&T (Direct TV)	\$111.21	Scheduled; No POC filed
Athens Services	\$139.88	Scheduled; No POC filed
Beach Orangethorpe Hotel II, LLC	\$11,500,000.00	POC No. 12
Beach Orangethorpe Hotel III, LLC	\$14,500,000.00	POC No. 6
Beach Orangethorpe Hotel, LLC	\$10,000,000.00	POC No. 7
BO Lenders United, LLC	\$172,617,015.99	POC No. 8
California American Water	\$33.91	Scheduled; No POC filed
Chen Hu	\$500,000.00	POC No. 27
Equitable	\$136.00	Scheduled; No POC filed
GAP Visa/Synchrony Bank	\$13.23	Scheduled; No POC filed
Guannan Shi	\$500,000.00	POC No. 30
Guo Kun	\$500,000.00	POC No. 29
Ho Bin Nhin	\$1,000,000.00	POC No. 15
Jianchi Chen	\$500,000.00	POC No. 26
JP Morgan Chase	\$38,673.84	POC No. 3
JP Morgan Chase	\$5,248.56	POC No. 4-2
Manh Thong Nguyen	\$500,000.00	POC No. 18
Nationwide Insurance Co of America	\$145.58	Scheduled (Auto); No POC filed
Nationwide Insurance Co of America	\$198.43	Scheduled (Homeowners Insurance); No POC filed
Northstar Demolition & Remediation	\$53,948.00	POC No. 11
Peng Jing	\$500,000.00	POC No. 28

¹ The claim amounts represent the amounts asserted by the claimants and shall not be construed as an admission by the Debtor and the validity and amount of each claim remain subject to the rights of the Debtor or any other party in interest to object.

CLASS 7 – GENERAL UNSECURED CLAIMS

Claimant	Asserted Claim Amount¹	Claim (POC or Scheduled)
Preferred Bank	\$994,620.08	POC No. 14
Quang Cong Nguyen	\$500,000.00	POC No. 17
Quang D Tran	\$500,000.00	POC No. 19
RCS Safety	\$82,502.50	POC No. 9
Shady Bird Lending, LLC	\$31,931,000.70	POC No. 5
SoCalGas	\$25.48	Scheduled; No POC filed
Southern California Edison	\$69.61	Scheduled; No POC filed
Spectrum	\$84.99	Scheduled; No POC filed
Woori America Bank	\$9,166,646.00	POC No. 22
Xiaoping Cao	\$500,000.00	POC No. 25
YG Entertainment	\$5,225,000.00	POC No. 20
Yubing Yuan	\$500,000.00	POC No. 31
TOTAL	\$271,125,758.94	

EXHIBIT "10"

SCHEDULE OF ALLEGED TRANSFERS

Date	Amount	Recipient
12/26/2017	\$14,000	Leslie Chae
12/27/2017	\$14,000	Estelle Chae
2/26/2018	\$80,000	Estelle Chae
3/15/2018	\$14,000	Leslie Chae
3/19/2018	\$880,000	Estelle Chae
4/20/2018	\$14,000	Estelle Chae
1/4/2019	\$10,000	Justine Chae
1/07/2019	\$15,000	Estelle Chae
1/07/2019	\$650	Estelle Chae
1/22/2019	\$15,000	Leslie Chae
2/28/2019	\$20,400	Min Chae
12/30/2019*	\$15,000	Estelle Chae
12/30/2019*	\$15,000	Estelle Chae
1/02/2020*	\$15,000	Leslie Chae
1/02/2020*	\$15,000	Leslie Chae

* These alleged transfers are the same transfers dated December 14, 2019 disclosed in Exhibit "8" to the Disclosure Statement.

PROOF OF SERVICE OF DOCUMENT

I am over the age of 18 and not a party to this bankruptcy case or adversary proceeding. My business address is 3200 Park Center Drive, Suite 250, Costa Mesa, CA 92626.

A true and correct copy of the foregoing document entitled (*specify*): **FIRST AMENDED DISCLOSURE STATEMENT DESCRIBING THE FIRST AMENDED PLAN OF REORGANIZATION OF DONALD CHAE** will be served or was served **(a)** on the judge in chambers in the form and manner required by LBR 5005-2(d); and **(b)** in the manner stated below:

1. TO BE SERVED BY THE COURT VIA NOTICE OF ELECTRONIC FILING (NEF): Pursuant to controlling General Orders and LBR, the foregoing document will be served by the court via NEF and hyperlink to the document. On (*date*) March 10, 2023, I checked the CM/ECF docket for this bankruptcy case or adversary proceeding and determined that the following persons are on the Electronic Mail Notice List to receive NEF transmission at the email addresses stated below:

☒ Service information continued on attached page.

2. SERVED BY UNITED STATES MAIL:

On (*date*) March 10, 2023, I served the following persons and/or entities at the last known addresses in this bankruptcy case or adversary proceeding by placing a true and correct copy thereof in a sealed envelope in the United States mail, first class, postage prepaid, and addressed as follows. Listing the judge here constitutes a declaration that mailing to the judge will be completed no later than 24 hours after the document is filed.

Hon. Scott C. Clarkson
United States Bankruptcy Court
411 West Fourth Street, Suite 5130
Santa Ana, CA 92701-4593

☐ Service information continued on attached page.

3. SERVED BY PERSONAL DELIVERY, OVERNIGHT MAIL, FACSIMILE TRANSMISSION OR EMAIL

(*state method for each person or entity served*): Pursuant to F.R.Civ.P. 5 and/or controlling LBR, on (*date*) _____, I served the following persons and/or entities by personal delivery, overnight mail service, or (for those who consented in writing to such service method), by facsimile transmission and/or email as follows. Listing the judge here constitutes a declaration that personal delivery on, or overnight mail to, the judge will be completed no later than 24 hours after the document is filed.

☐ Service information continued on attached page.

I declare under penalty of perjury under the laws of the United States that the foregoing is true and correct.

March 10, 2023
Date

Gabriela Gomez-Cruz
Printed Name

/s/ Gabriela Gomez-Cruz
Signature

1. **SERVED BY THE COURT VIA NOTICE OF ELECTRONIC FILING (“NEF”)**

- Alexander F Berk alexander.berk@bfkn.com, courtnotification@mayerbrown.com
- Sean R Bozarth seanb@novianlaw.com
- Steven Casselberry Steve.Casselberry@procopio.com, jessica.stuhlmiller@procopio.com
- Vikrant Chaudhry vik@thevclawgroup.com
- Caroline Djang cdjang@buchalter.com, docket@buchalter.com;lverstegen@buchalter.com
- Timothy W Evanston tevanston@swelawfirm.com, gcruz@swelawfirm.com;lgarrett@swelawfirm.com;jchung@swelawfirm.com
- Michael G Fletcher mfletcher@frandzel.com, sking@frandzel.com
- Amir Gamliel amir-gamliel-9554@ecf.pacerpro.com, cmallahi@perkinscoie.com;DocketLA@perkinscoie.com
- Jeffrey Garfinkle jgarfinkle@buchalter.com, docket@buchalter.com;lverstegen@buchalter.com
- Nancy S Goldenberg nancy.goldenberg@usdoj.gov
- David M. Guess dguess@buchalter.com, david-guess-9268@ecf.pacerpro.com
- Carson Heninger heningerc@gtlaw.com
- Harry Kim harrykim@lacwkrr.com
- Daniel A Lev daniel.lev@gmlaw.com, cheryl.caldwell@gmlaw.com;dlev@ecf.courtdrive.com
- Robert K Lu ewu@reidwise.com
- Patricia H Lyon phlyon@frenchlyontang.com, mwoodward@frenchlyontang.com
- Aaron J Malo amalo@sheppardmullin.com, clopez@sheppardmullin.com;abilly@sheppardmullin.com;HSiddiqui@sheppardmullin.com
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